

Handelsbanken

Svenska Handelsbanken AB (publ)
Corporate identity no.: 502007-7862
Registered office: Stockholm
handelsbanken.com

Since 1871

Handelsbanken was founded in 1871. Today, a little over 150 years later, we are one of the world's strongest banks.

Our idea of how to run our Bank is based on trust and respect for individuals, both customers and employees. Through personal relationships, a long-term approach and a strong local presence, we create value in every customer meeting.

Our ambition is to provide the best bank offering within financing, savings and advisory services. With satisfied customers, we see potential for continued strong business development and profitable growth at a low risk. Our home markets are Sweden, Norway, the UK and the Netherlands, with business also conducted in Luxembourg and the USA.

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Introduction

Handelsbanken provides this information in compliance with Part Eight of Regulation (EU) No 575/2013 (CRR) and the Swedish Financial Supervisory Authority's regulations (FFFS 2014:12) regarding prudential requirements and capital buffers.

The disclosures pursuant to CRR can be found in this report in the form of quantitative and qualitative information to be provided as stipulated in the Commission Implementing Regulation (EU) 2021/637. Note that the information is presented as at 31 December 2024 and new CRR rules as well as Regulation (EU) 2024/3172 on Pillar 3 disclosures will start applying on 1 January 2025.

For additional information regarding Handelsbanken, please see the Annual and Sustainability Report 2024.

Svenska Handelsbanken AB (publ) is the parent institution in Handelsbanken's consolidated situation. For Handelsbanken, the conglomerate rules mean that the capital requirements for the consolidated situation and the capital requirement for the insurance operations are combined.

Companies that are part of the consolidated situation and that are thus covered by the capital adequacy requirements according to the capital adequacy regulations are listed in table EU LI3. All subsidiaries which are subject to the regulations are included in the consolidated situation. Handelsbanken has no subsidiaries in which the actual own funds are less than the prescribed own funds. For additional information regarding related party disclosures, own funds and capital requirements, please see the Annual and Sustainability Report 2024 notes G50 and G52.

For periodic information, for which Handelsbanken has identified a need to submit information more often than once a year, please refer to the Bank's interim reports and quarterly Pillar 3 reports. Information to be provided on a quarterly basis as stipulated in the CRR is published on Handelsbanken's website.

The information is presented as at 31 December 2024, and the comparative figures as at 31 December 2023 unless otherwise specified. The amounts in parentheses are the figures for the preceding year.

Key metrics and overview of risk-weighted exposure amount

Template (KM1) shows Key metrics related to risk-based capital ratios, leverage ratio and liquidity standards and provides a set of Key metrics covering the Bank's available capital (including buffer requirements and ratios). KM1 encompasses total risk-weighted assets, leverage ratio, Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR). KM1 consist of the information on the impact of the Bank's regulatory capital and leverage ratios compared to the Bank's capital and leverage.

EU KM1

Key metrics 2024			
SEK m		2024	2023
Available own funds (amounts)			
1	Common Equity Tier 1 (CET1) capital	155 345	157 576
2	Tier 1 capital	166 296	172 603
3	Total capital	193 191	200 081
Risk-weighted exposure amounts			
4	Total risk-weighted exposure amount	825 457	836 790
Capital ratios (as a percentage of risk-weighted exposure amount)			
5	Common Equity Tier 1 ratio (%)	18.8	18.8
6	Tier 1 ratio (%)	20.2	20.6
7	Total capital ratio (%)	23.4	23.9
Additional own funds requirements to address risks other than the risk of excessive leverage (as a percentage of risk-weighted exposure amount)			
EU 7a	Additional own funds requirements to address risks other than the risk of excessive leverage (%)	1.8	2.0
EU 7b	of which: to be made up of CET1 capital (percentage points)	1.2	1.3
EU 7c	of which: to be made up of Tier 1 capital (percentage points)	1.4	1.5
EU 7d	Total SREP own funds requirements (%)	9.8	10.0
Combined buffer requirement (as a percentage of risk-weighted exposure amount)			
8	Capital conservation buffer (%)	2.5	2.5
EU 8a	Conservation buffer due to macro-prudential or systemic risk identified at the level of a Member State (%)		
9	Institution specific countercyclical capital buffer (%)	2.0	1.9
EU 9a	Systemic risk buffer (%)	3.2	3.2
10	Global Systemically Important Institution buffer (%)		
EU 10a	Other Systemically Important Institution buffer	1.0	1.0
11	Combined buffer requirement (%)	8.7	8.6
EU 11a	Overall capital requirements (%)	18.5	18.6
12	CET1 available after meeting the total SREP own funds requirements (%)	13.1	13.1
Leverage ratio			
13	Total exposure measure	3 368 806	3 390 498
14	Leverage ratio (%)	4.9	5.1
Additional own funds requirements to address risks of excessive leverage (as a percentage of leverage ratio total exposure amount)			
EU 14a	Additional own funds requirements to address the risk of excessive leverage (%)		
EU 14b	of which: to be made up of CET1 capital (percentage points)		
EU 14c	Total SREP leverage ratio requirements (%)	3.0	3.0
Leverage ratio buffer and overall leverage ratio requirement (as a percentage of total exposure measure)			
EU 14d	Leverage ratio buffer requirement (%)		
EU 14e	Overall leverage ratio requirements (%)	3.0	3.0
Liquidity Coverage Ratio			
15	Total high-quality liquid assets (HQLA) (Weighted value - average)	962 211	895 982
EU 16a	Cash outflows - Total weighted value	603 635	617 192
EU 16b	Cash inflows - Total weighted value	75 835	88 942
16	Total net cash outflows (adjusted value)	527 801	528 250
17	Liquidity coverage ratio (%)	183.4	172
Net Stable Funding Ratio			
18	Total available stable funding	2 143 849	2 101 503
19	Total required stable funding	1 734 333	1 758 065
20	NSFR ratio (%)	123.6	120

EU KM2

Presentation in accordance with the implementing technical standards for the application of Regulation (EU) No 575/2013 and Directive 2014/59/EU with regards to the supervisory reporting and public disclosure of the minimum requirement for own funds and eligible liabilities. Excluded rows are deemed not relevant for Handelsbanken at present.

Key metrics - MREL and, where applicable, G-SII requirement for own funds and eligible liabilities 2024

SEK m		Minimum requirement for own funds and eligible liabilities (MREL)
Own funds and eligible liabilities, ratios and components		
1	Own funds and eligible liabilities	409 100
EU-1a	Of which own funds and subordinated liabilities	269 421
2	Total risk exposure amount of the resolution group (TREA)	825 457
3	Own funds and eligible liabilities as a percentage of the TREA	49.56%
EU-3a	Of which own funds and subordinated liabilities	32.64%
4	Total exposure measure (TEM) of the resolution group	3 368 806
5	Own funds and eligible liabilities as percentage of the TEM	12.14%
EU-5a	Of which own funds or subordinated liabilities	8.00%
Minimum requirement for own funds and eligible liabilities (MREL)		
EU-7	MREL expressed as a percentage of the TREA	27.12%
EU-8	Of which to be met with own funds or subordinated liabilities	19.96%
EU-9	MREL expressed as a percentage of the TEM	6.00%
EU-10	Of which to be met with own funds or subordinated liabilities	6.00%

EU OV1

The table shows risk exposure amounts (REA) for credit, counterparty, market and operational risk at the end of the previous and current period. Credit risk is calculated by the Standardised approach, the Foundation IRB approach and the Advanced IRB approach. Market risk and operational risk is calculated by the standardised approach. REA for credit risk, counterparty credit risk and operational risk is in line with previous period. REA for market risk has decreased compared to the previous year.

Overview of total risk exposure amounts 2024

SEK m		Total risk exposure amounts (TREA)	Total risk exposure amounts (TREA)	Total own funds requirements
		2024	2023	2024
1	Credit risk (excluding CCR)	706 444	726 276	56 516
2	Of which the standardised approach	196 867	183 549	15 749
3	Of which the Foundation IRB (F-IRB) approach	51 667	53 702	4 133
4	Of which slotting approach			
EU 4a	Of which equities under the simple riskweighted approach	2 922	2 240	234
5	Of which the Advanced IRB (A-IRB) approach	234 160	278 625	18 734
5a	Of which risk weight floors	220 828	208 160	17 666
6	Counterparty credit risk – CCR	10 985	11 827	879
7	Of which the standardised approach	8 194	8 507	656
8	Of which internal model method (IMM)			
EU 8a	Of which exposures to a CCP	266	268	21
EU 8b	Of which credit valuation adjustment - CVA	2 127	2 463	170
9	Of which other CCR	398	589	32
10	Not applicable			
11	Not applicable			
12	Not applicable			
13	Not applicable			
14	Not applicable			
15	Settlement risk			
16	Securitisation exposures in the non-trading book (after the cap)			
17	Of which SEC-IRBA approach			
18	Of which SEC-ERBA (including IAA)			
19	Of which SEC-SA approach			
EU 19a	Of which 1250 %			
20	Position, foreign exchange and commodities risks (Market risk)	22 511	23 471	1 801
21	Of which standardised approach	22 511	23 471	1 801
22	Of which IMA			
23	Operational risk	85 517	75 216	6 841
EU 23a	Of which basic indicator approach			
EU 23b	Of which standardised approach	85 517	75 216	6 841
EU 23c	Of which advanced measurement approach			
24	Amounts below the thresholds for deduction (subject to 250 % risk weight)			
25	Not applicable			
26	Not applicable			
27	Not applicable			
28	Not applicable			
29	Total	825 457	836 790	66 037

KEY METRICS AND OVERVIEW OF RISK-WEIGHTED EXPOSURE AMOUNT

EU INS1

Insurance participations 2024		Exposure value	Risk-weighted exposure amount
SEK m			
1	Own fund instruments held in insurance or re-insurance undertakings or insurance holding company not deducted from own funds	6 254	15 636

EU INS2

Financial conglomerates information on own funds and capital adequacy ratio 2024		
SEK m		
1	Supplementary own fund requirements of the financial conglomerate (amount)	12 482
2	Capital adequacy ratio of the financial conglomerate (%)	127.0

EU OVC ICAAP information

Article 438(a) CRR

Approach to assessing the adequacy of the internal capital.

In addition to the regulatory capital and buffer requirements, the Bank performs internal capital adequacy assessments in which all risks and capital requirements are assessed. The Bank's assessment is based on an economic capital (EC) model and conservative stress tests. The EC model is calibrated to a confidence level of 99.97% over a one-year horizon. The stress tests cover a five-year horizon and affirm that the capital supply in a normal business cycle should be sufficient to cover potential losses and capital requirement changes which may occur under stressed conditions.

Article 438(c) CRR

Upon demand from the relevant competent authority, the result of the institution's internal capital adequacy assessment process.

Provided upon demand from the relevant competent authority.

Risk management policies and objectives

Handelsbanken's restrictive approach to risk means that the Bank deliberately avoids high-risk transactions. The risk strategy is founded on a strong risk culture that is sustainable in the long term and applies to all areas of the Group. This restrictive approach to risk over time means that the Bank is a stable and long-term business partner for its customers, regardless of the economic climate and market situation. The Bank is characterised by a clear division of responsibility where each part of the business operations bears full responsibility for its business and risk management. The decentralised business model is combined with strong centralised processes and internal controls. The same principles for the Bank's approach to risk apply in all countries where the Bank operates.

EU OVA - Institution risk management approach

Point (f) of Article 435(1) CRR

Disclosure of concise risk statement approved by the management body.

Risk statement

Handelsbanken's business goal is to have higher profitability than the average of peer competitors in our home markets. This goal is mainly to be achieved by having more satisfied customers and lower costs than its competitors. Handelsbanken is a bank with a strong local presence and a decentralised way of working.

The Bank's low risk tolerance means that its overall risk profile is to be low. The Group must also be well capitalised at all times in relation to the risks, fulfil all requirements imposed by the authorities, and hold liquid assets so that it can meet its payment obligations, including in situations of financial stress in the short and long term. The Bank must also have appropriate protection and incident management capabilities in the event of an attack, disruption or interruption to the Bank's critical operations. The risk tolerance and the risk strategy support Handelsbanken's aim to have a business model that is independent of changes in the business cycle.

The Bank has, and will maintain, a low level of credit risk. The Bank's tolerance of credit risk is reflected in the expectation that the Bank will be able to have good capacity for granting credit without government support, even in a serious recession. This is achieved by such measures as its strong local presence and close customer relations. The quality of credits must never be neglected in favour of achieving higher volume or a higher margin. The Bank is selective when choosing customers with the requirement that borrowers have a good repayment capacity. As a consequence of this, the credit portfolio has a clear concentration on risk classes where the probability of loss is low. This consistent approach is reflected in the Bank's low credit losses over time. In 2024, credit losses were -0.02% (0.01) of loans to the public.

To ensure that the Bank is well capitalised in relation to the risks and has a good liquidity situation, the Board stipulates the Bank's risk tolerance for capitalisation and liquidity. When the risk tolerance for capitalisation is decided, the capital measure is set partly in relation to the statutory requirements and partly in relation to Handelsbanken's assessed capital requirement based on the Bank's model for economic capital (EC), which encompasses all of the Group's risks in one single metric. The risk tolerance for the Bank's liquidity risk is decided on the one hand through requirements that the Bank under stressed circumstances must have a sufficiently large liquidity reserve in the form of liquid assets and assets which can be pledged, including liquidity-generating measures to be able to continue its operations during determined time periods, and on the other hand through requirements regarding the accumulated net amount of incoming and outgoing cash flows in different time intervals.

The common equity tier 1 ratio must, under normal circumstances, exceed the total common equity tier 1 capital requirement communicated by the Swedish Financial Supervisory Authority by at least 1 percentage point. The leverage ratio must exceed the total capital requirement communicated by the Swedish Financial Supervisory Authority by at least 0.6 percentage points.

The ratio between AFR (Available Financial Resources) and EC must exceed 120%.

The Bank's assessment of the Swedish Financial Supervisory Authority's common equity tier 1 capital requirement at year-end 2024 was 14.9% (14.8), including the Swedish Financial Supervisory Authority's guidance of 0.5% within the framework of Pillar 2. Similarly, the Bank's assessment of the leverage ratio requirement was 3.5%

(3.5), including the Swedish Financial Supervisory Authority's guidance of 0.5% within the framework of Pillar 2.

At the end of 2024, the Bank's common equity tier 1 ratio was 18.8% (18.8) and the AFR/EC ratio was 383% (366). The Bank must have accumulated positive net cash flows over a period of at least one year, taking into account the liquidity reserve, and with the assumption that parts of the nonfixed-term deposits from households and companies disappear during the first month. With Handelsbanken's total liquidity reserve, including liquidity-generating measures, the liquidity requirement would be covered for over three years during such stressed conditions.

The Bank's risk profile is in accordance with the risk tolerance and risk strategy established by the Board.

Point (b) of Article 435(1) CRR

Information on the risk governance structure for each type of risk.

The Board is responsible for the Bank's organisation and manages the Bank's affairs on behalf of its shareholders. The Board must continuously assess the Bank's financial situation and ensure that the Bank is organised in such a way that the accounting records, management of funds and other aspects of the Bank's financial circumstances are satisfactorily controlled. The Board establishes policies and instructions on how this is to be executed, and establishes rules of procedure for the Board and also an instruction for the Chief Executive Officer.

These steering documents state how responsibility and authority are allocated among the Board as a whole, the committees, the Chairman of the Board and the Chief Executive Officer. The appointments made by the Board include the Chief Executive Officer, Executive Vice Presidents, the Chief Risk Officer, the Chief Compliance Officer and the Chief Audit Executive, and the Board also stipulates the employment terms for these persons. The Chairman is responsible for evaluating the Board's work and informs the Nomination committee of the results of this evaluation.

The Board's Risk committee monitors the effectiveness of the Handelsbanken Group's risk control and risk management. The committee prepares decisions in the Board regarding the Bank's risk strategy, risk tolerance, etc., and examines reports from Handelsbanken Compliance and Handelsbanken Risk Control. The committee also makes decisions independently, including decisions on the significant parts of the Bank's risk rating and estimation processes linked to the IRB approach.

The Risk and Compliance committee has been set up by the Chief Executive Officer for follow-up of risk management within several areas and for in-depth discussions regarding the Bank's overall risk situation prior to such matters being addressed by the Risk committee and the Board. In addition to the Chief Executive Officer, the Risk and Compliance Committee comprises, among others, the heads of business support units and heads of control functions.

Responsibility for fulfilling organisational requirements in order to ensure internal control, risk control and regulatory compliance within each respective unit has been delegated from the CEO to managers who report directly to the CEO. In turn, these managers have delegated operational responsibility for meeting these requirements to managers who report to them. Among other things, this responsibility means that suitable instructions and procedures for the operations must be in place, and compliance with these procedures must be monitored regularly. Thus, internal control, risk control and compliance are integral parts of managerial responsibility at all levels in the Bank.

THREE LINES OF DEFENCE FOR RISK MANAGEMENT

Handelsbanken has three lines of defence for risk management, follow-up and internal control of the Bank's risks. These are described in more detail below.

First line of defence

The business operations and the units that support the business operations constitute the first line of defence, with responsibility for managing and restricting the risks facing the business in accordance with external and internal rules. Responsibility for ensuring that the appropriate procedures, systems and processes are in place such that the operations can be conducted in accordance with external and internal rules regarding internal control, risk control and regulatory compliance in each respective unit has been delegated by the Chief Executive Officer to managers who report directly to the Chief Executive Officer. In turn, these managers may delegate operational responsibility for meeting these requirements to managers who report to them. Among other things, this responsibility means that fit-for-purpose instructions and procedures for the operation must be in place, and compliance with these procedures must be monitored regularly. Thus, internal control, risk control and compliance are integral parts of managers' responsibility at all levels in the Bank.

Second line of defence

The Handelsbanken Risk Control and Handelsbanken Compliance control functions constitute the second line of defence. Both functions are independent and organisationally separated from the activities they monitor and control.

The subsidiaries' control functions are an integral part of Handelsbanken's control functions. The subsidiaries must incorporate the Handelsbanken Group's governing policies into their own corresponding documents unless local or sector specific requirements give rise to deviations.

Handelsbanken Compliance

Handelsbanken Compliance identifies, monitors, controls and reports on compliance risks within the Group. This includes controlling and assessing the suitability and effectiveness of the procedures in place and actions taken to minimise the risk of non-compliance with applicable rules. In addition, Handelsbanken Compliance provides advice and support about compliance to employees, the Chief Executive Officer and the Board, and continually informs the units concerned about the risks which may arise in the operations due to non-compliance. Handelsbanken Compliance also monitors the risk level relative to the risk tolerance for compliance risks established by the Board.

The function includes the Appointed Officer for Controlling and Reporting Obligations according to the applicable money laundering and terrorist financing regulations, and the Data Protection Officer (DPO) according to the applicable regulations on data protection and personal data processing.

The Chief Compliance Officer is appointed by the Board and reports directly and regularly to the Chief Executive Officer on matters regarding compliance in the Group, as well as quarterly to the Risk committee and the Board. This includes the report from the Appointed Officer regarding risks linked to financial crime, as well as the report from the DPO on data protection risks.

Handelsbanken Risk Control

Handelsbanken Risk Control identifies, measures, analyses and reports all the Group's material risks. This includes monitoring and checking the Group's risk management and assessing that Handelsbanken's risk management framework is efficient and fit-for-purpose. Handelsbanken Risk Control also checks that the risks and risk management comply with the Bank's risk strategy, and fall within the risk tolerance established by the Board.

The Chief Risk Officer is appointed by the Board and reports directly and regularly to the Chief Executive Officer and the Board. In 2024, the Chief Risk Officer attended all meetings of the Risk committee and most meetings of the Board and the Board's Credit Committee.

Third line of defence

The third line of defence is Handelsbanken Internal Audit, the Board's controlling body. The Chief Audit Executive is appointed by and reports to the Board. Handelsbanken Internal Audit is tasked with performing an independent, impartial audit of the operations and financial reporting of the Group. This includes assessing, evaluating and verifying processes for risk management, internal control and corporate governance. The assignment is based on a policy established by the Board and is performed on the basis of a risk-based methodology in accordance with internationally accepted standards issued by the Institute of Internal Auditors (IIA). The planned

auditing activities are documented every year in an audit plan which is established by the Board. Handelsbanken Internal Audit's conclusions, the actions to be taken and their status are reported regularly to the Audit committee and every year to the Board as a whole.

The Chief Audit Executive is also a recipient of reports made via Handelsbanken's separate system for whistleblowing.

Handelsbanken Internal Audit is regularly subject to independent external quality reviews. In addition, the Bank's external auditors perform an annual quality review of the work of Handelsbanken Internal Audit.

Steering documents

The steering documents issued by the Board and the Chief Executive Officer state the most important and fundamental principles, and also establish a framework for the Group's business operations, including the requirements for ensuring internal control for the business operations. These steering documents are complemented by other internal rules that provide more detailed instructions and guidance on how the business operations are to be conducted.

Some examples of the Board's policies are:

- Policy on governance and steering documents
- Credit policy
- Policy for risk control
- Policy for operational risk
- Capital policy
- Financial policy
- Policy for sustainability
- Policy for internal audit
- Policy for compliance

A summary of the Board's policies can be found on handelsbanken.com. Certain policies are also available in their entirety on the website.

Employees

The Bank's policies and guidelines also include rules regarding the conduct of employees. Examples of such conduct rules are that Handelsbanken's employees must not be in a position where they may be suspected of taking improper advantage of knowledge about the financial markets which they obtain in the course of their work, must be familiar with legislation concerning trading in financial instruments and observe the Bank's rules for employees' private securities and currency transactions. Furthermore, in their work at the Bank and in their private affairs, employees must refrain from business transactions that violate the Bank's rules and refrain from transactions or other commitments that could seriously jeopardise their personal financial position. Employees are not permitted to process transactions in which they, or persons closely associated with them, have a personal interest - this also applies to companies in which co-workers, or persons closely associated with them, are involved.

Co-workers must report to a manager or can notify Compliance or Internal Audit if they suspect irregularities at the Bank.

Handelsbanken's separate whistleblowing system provided by an external supplier may be used as well as these reporting channels.

For a detailed description of the Bank's management of market risk, liquidity risk, credit risk (including counterparty risk) and operational risk see, EU MRA, EU LIQA, EU CRA and EU ORA.

Point (e) of Article 435(1) CRR.

Declaration approved by the management body on the adequacy of the risk management arrangements

Risk declaration

Handelsbanken has satisfactory arrangements for risk management which are fit for purpose in relation to the Bank's business goal, the risk tolerance and risk strategy which the Board has decided for the operations and the Bank's overall risk profile.

Point (c) of Article 435(1) CRR

Disclosure on the scope and nature of risk disclosure and/or measurement systems.

In 2024, the CRO reported the Group's risks (except for compliance risks) to the CEO, the Board's Risk committee and the Board at least quarterly. The Chief Compliance Officer reported the Group's compliance risks in a corresponding manner.

The Risk and Compliance committee has been set up by the Chief Executive Officer for follow-up of risk management within several areas and for in-depth discussions regarding the Bank's overall risk situation prior to such matters being addressed by the Risk committee and the Board. In addition to the Chief Executive Officer, the Risk and Compliance Committee comprises, among others, the heads of business support units and heads of control functions.

For a more detailed description of the Bank's scope and nature of risk disclosure and/or measurement systems for market risk, liquidity risk, credit risk (including counterparty risk) and operational risk see, EU MRA, EU LIQA, EU CRA and EU ORA.

Point (c) of Article 435(1) CRR

Disclose information on the main features of risk disclosure and measurement systems.

The Board evaluates the Bank's risk tolerance and risk strategy on a regular basis and, if needed, implements updates.

The Bank's risk tolerance and risk strategy are expressed mainly through the Credit policy, Policy for operational risk, Capital policy, Financial policy, Policy for sustainability and Policy for compliance.

In accordance with the Policy for risk control, Policy for compliance and the Policy for Internal Audit the control functions are responsible for monitoring that the risk management is expedient and effective and that the risks are within the risk tolerance and risk strategy adopted by the Board.

Handelsbanken Risk Control reports all the Group's material risks at an aggregated level on a regular basis to the Board's risk committee with an assessment of whether the risks are within the risk tolerance and risk strategy established by the Board. The Board is presented with a proposal to approve the Bank's internal capital- and liquidity adequacy assessment and thereby confirm that the risks are within the risk tolerance for capital and liquidity adopted by the Board.

Handelsbanken Risk Control's assessment of the expediency and efficiency of the framework for risk management is presented in "Assessment of the Bank's framework for risk management" on an annual basis.

Point (a) of Article 435(1) CRR

Strategies and processes to manage risks for each separate category of risk.

Handelsbanken's Board has overall responsibility for the Bank's risk management and establishes internal rules for this. The Board establishes policies and the CEO establishes guidelines describing how various risks should be managed and reported.

The Board's Financial policy for the Handelsbanken Group states that Handelsbanken has a low risk tolerance.

In order to ensure the low tolerance of liquidity risks, both at aggregate level and in each individual currency, the Bank aims to have good access to liquidity, low variation in results and a considerable capacity to meet customers' funding needs, even in difficult times. This is achieved by maintaining a good matching of incoming and outgoing cash flows over time in all currencies essential to the Bank and by maintaining large liquidity reserves of good quality. The Bank thus minimises the economic risks in funding and can thereby maintain stable and long-term funding for the business-operating units.

The restrictive view of market risks means that, essentially, market risks in the banking operations are primarily taken as part of meeting customers' investment and risk management needs. Market risks must be limited by matching cash flows and interest rate adjustment periods, hedging open positions and taking other actions to limit risk. Market risks at Handelsbanken are thus very low. As a result of the Bank's market risk strategy, only a small fraction of the Bank's earnings comes from net gains/losses on financial transactions.

The Board's steering documents, as well as internal instructions, reflect the Group's risk tolerance and risk strategy for credit risks. Handelsbanken's risk tolerance for credit risk includes restrictions

within a number of areas i.e. Geographical focus, Portfolio composition, Repayment capacity, Counterparty risks and Collateral. Handelsbanken has a low credit risk tolerance, and the Bank's business model focuses on credit risks being taken and managed in the business operations. While business decisions in Handelsbanken are decentralised, the Bank's credit process is centralised.

In order to maintain the Group's low risk tolerance for credit risks, credit decisions must be made according to the limitation in place for the respective decision levels, as stipulated in the delegation procedure determined by the Board and described in the credit instructions for the Handelsbanken Group.

Handelsbanken has a low tolerance for operational risk, although this risk is an inevitable component in all operations. As far as possible, Handelsbanken must endeavour to prevent these risks. Operational losses must be low. An operational risk which could have serious adverse consequences for the Bank, the Bank's customers or the financial system in the event of an incident must be reduced to a lower risk level. Risk mitigation measures must be taken so that the risk is made acceptable.

The Bank also has a low tolerance for compliance risks and must prevent these risks as far as possible and prioritise the work that needs to be carried out to quickly address any risks which have been identified. A compliance risk is beyond risk tolerance if the Compliance function deems that the risk is major or critical, and is of the view that there is no adequate action plan, or that there are material deviations from the existing action plan.

The Bank's principles for remuneration to employees are long established. In general, Handelsbanken has a low tolerance of risk and holds the opinion that fixed remuneration contributes to healthy operations. This is, therefore, the main principle. The Board decides on the remuneration policy.

Sustainability risks are to be managed in line with Handelsbanken's generally low risk tolerance and comply with the risk tolerance for the risk classes in which sustainability risks are an integral part of the risk assessment.

Points (a) and (d) of Article 435(1) CRR

Information on the strategies and processes to manage, hedge and mitigate risks, as well as on the monitoring of the effectiveness of hedges and mitigants.

Handelsbanken's Board has overall responsibility for the Bank's risk management and establishes internal rules for this. The Board establishes policies and the CEO establishes guidelines describing how various risks should be managed and reported. The steering documents issued by the Board and the Chief Executive Officer state the most important and fundamental principles, and also establish a framework for the Group's business operations, including the requirements for ensuring internal control for the business operations. These steering documents are complemented by other internal rules that provide more detailed instructions and guidance on how the business operations are to be conducted.

Handelsbanken's low risk tolerance is a central element of the Bank's business concept. The low risk tolerance, together with a decentralised way of working, stable finances, and accountability, make up the foundation of Handelsbanken's long-term customer relationships. The local presence, coupled with internal control, promotes low risks. Among other things, the restrictive approach to risk means that the Bank deliberately avoids high-risk transactions, even if the expected financial reward may be high at the time.

The Bank's risk tolerance and risk strategy are expressed mainly through the Credit policy, Policy for operational risk, Capital policy, Financial policy, Policy for sustainability and Policy for compliance.

The Bank has a strong capital and liquidity situation and continuous access to the financial markets via the Bank's short-term and long-term funding programmes. The Bank has a large and high-quality liquidity reserve, which provides a good degree of resistance to possible disruptions in the financial markets. Handelsbanken Treasury's liquidity portfolio, which is part of the Bank's liquidity reserve, has a low risk profile and primarily consists of balances with central banks, government bonds and covered bonds. In addition, there is a comprehensive unutilised issue amount for covered bonds at Stadshypotek. Liquidity reserves are kept in all currencies that are important to the Bank. Operations can thus be maintained for a considerable period of time even in an extreme situation when markets are closed. The total liquidity reserve including the unutilised issue amount covers the Bank's liquidity requirements for more than three years in a stressed scenario.

RISK MANAGEMENT POLICIES AND OBJECTIVES

The Bank's capital situation remains strong. Good earnings and low credit losses during the year have contributed to this.

The Bank's limit system restricts the size of the exposure to liquidity- and market risks. Measurement methods and limits are established by the Board. The CFO has the functional responsibility for liquidity and funding, while the Head of Handelsbanken Treasury, who reports to the CFO, is responsible for the Group's liquidity and funding. This responsibility includes managing the Group's interest rate, foreign exchange and liquidity risks in its banking operations. The limits for interest rate, foreign exchange and liquidity risk are allocated by the CEO and the CFO to the Head of Handelsbanken Treasury, who in turn allocates these to the business-operating units. Limits for equity price risk and commodity price risk are allocated directly to Handelsbanken Markets by the CFO.

The CEO and the CFO also decide on supplementary risk measures, intraday limits and detailed guidelines. The supplementary limit measures aim to reduce the Bank's sensitivity to volatility changes in the financial markets, and to limit the risks of specific holdings and the liquidity risk per currency. These measures also limit the risks from a maturity perspective. The Board, CEO and CFO regularly receive reports on the liquidity- and market risks and utilisation of the limits.

The risk control function is independent and organisationally separated from the activities they monitor and control. Handelsbanken Risk Control identifies, measures, analyses and reports all the Group's material risks. This includes monitoring and checking the Group's risk management and assessing that Handelsbanken's risk management framework is efficient and fit-for-purpose. Handelsbanken Risk Control also checks that the risks and risk management comply with the Bank's risk strategy, and fall within the risk tolerance established by the Board.

EU OVB - Disclosure on governance arrangements

Point (a) of Article 435(2) CRR

The number of directorships held by members of the management body.

Name	Position and significant board assignments	Background	Education
Pär Boman Chairman	Chairman of AB Volvo, Deputy Chairman of AB Industrivärden, Board Member of Skanska AB. Chairman of Pensionskassan SHB, Jan Wallanders och Tom Hedelius stiftelse and Tore Browaldhs stiftelse.	2006–2015 President and CEO of Handelsbanken.	Engineer and Business/Economics degree, Dr. h.c. econ.
Fredrik Lundberg Deputy Chairman	President and CEO of L E Lundbergföretagen AB, Chairman of Holmen AB, Hufvudstaden AB and AB Industrivärden, Board Member of L E Lundbergföretagen AB and Skanska AB.	President of L E Lundbergföretagen AB since 1981, active at Lundbergs since 1977.	Graduate Engineer and Graduate in Economics/Business Administration Dr. h.c. mult..
Jon Fredrik Baksaas Board member	Chairman of DNV Group AS, Board member of Telefonaktiebolaget LM Ericsson and Scale Leap Capital AS.	2008–2016 GSM Association member, Chairman 2013–2016, 2002–2015 Telenor Group, President and CEO, 1989–2002 Telenor Group, various positions within finance, financial control and management, 1988–1989 Aker AS, 1985–1988 Stolt Nielsen Seaway AS, 1979–1985 Det Norske Veritas, Norway and Japan.	Graduate in Economics/Business Administration and PED from IMD.
Hélène Barnekow Board member	Chairman of Mindler AB and Storytel AB, Board member of GN Store Nord A/S.	2018-2022 CEO of Microsoft Sweden, 2014-2018 CEO and various management roles, Telia Sverige, 2009-2014 Various market leader roles, EMC Corporation (UK and USA), 2001-2009 Various market leader roles, etc., Sony Ericsson Mobile Communications (USA, UK and Sweden), 1999-2001 Market leader, Novo Nordisk (Denmark), 1995-1999 Various management roles, Ericsson, 1993-1995 Market leader, Microsoft Corporation (Malta), 1991-1993 Project manager/consultant, DLF, Sweden.	Graduate in Economics/business administration
Stina Bergfors Board member	Board member of H&M Hennes & Mauritz AB and Tele2 AB.	2013 – 2018 Co-founder and CEO and other roles, United Screens, 2008 – 2013 Country Director, Google and Youtube, 2004 – 2007 CEO and other roles, Carat, 2000 – 2004 Director and other roles, OMD Worldwide, 1999 – 1999 Account Manager, TV3 Sweden, Modern Times Group.	Graduate in Economics/Business Administration, Dr. h.c. phil.
Hans Björck Board member	Chairman of Skanska AB.	2001–2011 Skanska, Executive Vice President and CFO, 1998–2001 Autoliv, CFO, 1997–1998 Self-employed, 1977–1997 Various positions in Esselte.	Graduate in Economics/Business Administration.
Kerstin Hessius Board member	Chairman of Hemsö Fastighets AB, Board member of Lumera AB	2004-2022 AP3, Third Swedish National Pension Fund, CEO 2001–2004 Stockholm Stock Exchange, CEO, 1999–2000 Sveriges Riksbank, Deputy Governor of the central bank, 1998 Danske Bank, CEO Asset Management, 1990–1997 ABN Amro Bank/Alfred Berg, 1989–1990 Finanstidningen, 1986–1989 Swedish National Debt Office, 1985–1986 Sveriges Riksbank (Swedish central bank), 1984–1985 Swedish Agency for Public Management.	Graduate in Economics/Business Administration.
Louise Lind Board member	Chairman of J2L Holding AB and Fastighets AB L E Lundberg, Board member L E Lundbergföretagen AB, Hufvudstaden AB and Holmen AB.	2017–2024 President and CEO, Fastighets AB L E Lundberg, 2005 – 2017 Various positions, including assistant to the CEO, Executive Vice President and Regional Manager, Fastighets AB L E Lundberg, 2003 – 2005 audit assistant, KPMG.	Graduate in Economics/Business Administration.
Ulf Riese Board Member	Board member Jan Wallanders och Tom Hedelius stiftelse and Tore Browaldhs stiftelse.	Various positions at Handelsbanken, 2016–2018 Senior Advisor, 2007–2016 CFO, 2004–2007 Head of Handelsbanken Asset Management, 2004 Executive Vice President of Handelsbanken, Employed at Handelsbanken 1983.	Graduate in Economics/Business Administration.
Anna Hjelmberg Employee representative	Chair of Finansförbundet's Handelsbanken union club, Board member of Pensionskassan SHB.	Insurance Officer at Handelsbanken Liv and union roles in Handelsbanken Group.	Economics Programme at upper secondary school.
Lena Renström Employee representative	Chair of Finansförbundet's Handelsbanken SE union club.	Advisory services in Handelsbanken's branch operations.	Graduate in Economics/Business Administration.
Stefan Henricson Employee representative, Deputy member	Board member of Finansförbundet's Handelsbanken SE union club.	Managerial and advisory services at branches and regional head offices at Handelsbanken.	Economics Programme at upper secondary school.
Mikael Almvret Employee representative, Deputy member	Chair of Akademikerföreringen (Association for graduate professionals) at Handelsbanken.	Specialist, System Owner and Business operations developer within Anti-Money Laundering, International operations and trading.	Graduate in Economics /Business Administration.

Point (b) of Article 435(2) CRR

Information regarding the recruitment policy for the selection of members of the management body and their actual knowledge, skills and expertise.

In compiling its proposal for the AGM, the nomination committee considers relevant parts of the policy adopted by the Board regarding suitability assessment of Board members and the Chief Executive Officer. The policy contains criteria for knowledge, experience, reputation, sufficient time, other commitments etc. The nomination committee also considers the evaluation of the Board carried out by the Chairman of the Board. Please also see table in point a) above.

Point (c) of Article 435(2) CRR

Information on the diversity policy with regard of the members of the management body.

In the Bank's recruitment and diversity-related work, the nomination committee takes into account matters relating to diversity on the Board, including gender distribution. Handelsbanken's Board has adopted a policy to promote diversity on the Board.

The policy stipulates that to promote independent opinions and critical questioning, it is desirable that the Board should be characterised by appropriate diversity and breadth in terms of its members' qualifications, experience and background and an even gender balance. During the 2024 financial year, the percentage of women on the Board of the Bank was 44 per cent of the elected members, and the percentage of the elected members with a different geographical origin than the country where Handelsbanken is domiciled was 11 per cent.

Point (d) of Article 435(2) CRR

Information whether or not the institution has set up a separate risk committee and the frequency of the meetings.

The Board's risk committee monitors risk control and risk management in the Handelsbanken Group. The committee prepares decisions regarding the Bank's risk strategy, risk tolerance, etc. and examines reports from Handelsbanken Compliance and Handelsbanken Risk Control.

In 2024, the risk committee had nine meetings.

Point (e) Article 435(2) CRR

Description on the information flow on risk to the management body.

The Chief Executive Officer, the risk committee and the Board must be kept regularly informed of material risks and of situations with particular development of risks.

Every quarter, the Chief Risk Officer must submit an overall Group risk report to the Chief Executive Officer, the risk committee, and the Board. The report must also be presented by the Chief Risk Officer to the risk committee and to the Board. The Chief Risk Officer must also ensure that other units which need for the report gain access to it.

The Group risk report must contain a description of the Group's material risks and deficiencies, including the Group's material deficiencies in both risk data aggregation and the Handelsbanken Group's ability to manage risk data. These reports shall cover:

1. impact analysis and proposals for action
2. follow-up of previously reported risks and deficiencies
3. follow-up of measures adopted
4. forward-looking risk assessments

The report must enable an assessment of whether Handelsbanken is fulfilling the risk strategy and remaining within the risk tolerance decided by the Board.

Once a year, or at the request of the risk committee, the Board or the Chief Executive Officer, the Chief Risk Officer must evaluate and assess whether there is a need to update the Handelsbanken Group's risk tolerance and risk strategy.

The result of the evaluation of methods used for the calculation and application of limits, capital requirements, economic capital and stress tests must be reported to the risk committee on an annual basis.

The Chief Risk Officer must present Risk Control's reports and attend meetings when matters that could affect the Group's risk are on the agenda.

Scope of application

EU LH

The table shows which regulatory framework is used to calculate the capital requirement for each asset type in the balance sheet. Derivatives, repos and securities lending capital requirements are calculated according to both the CCR framework and the market risk framework.

Differences between accounting and regulatory scopes of consolidation and mapping of financial statement categories with regulatory risk categories 2024			Carrying values of items				
			Subject to the credit risk framework	Subject to the CCR framework	Subject to the securitisation framework	Subject to the market risk framework	Not subject to own funds requirements or subject to deduction from own funds
SEK m	Carrying values as reported in published financial statements	Carrying values under scope of regulatory consolidation ¹					
1 Assets							
2 Cash and balances with central banks	529 995	530 009	530 009				
3 Other loans to central banks	12 547	12 547	12 547	0			
4 Interest-bearing securities available as collateral with central banks	172 606	172 606	167 890	1		4 715	
5 Loans to other credit institutions	18 922	18 872	7 599	11 274			
6 Loans to the public	2 297 878	2 372 086	2 312 842	58 907	337		
7 Value change of interest-hedged item in portfolio hedge	-6 399	-6 399	-6 399				
8 Bonds and other interest-bearing securities	47 508	47 508	31 638			15 870	
9 Shares and participating interests	14 746	8 952	694	513		8 258	
10 Investments in associates	860	7 131	7 064				68
11 Assets where the customer bears the value change risk	287 984	2 232	2 232				
12 Derivative instruments	47 069	47 069		47 069		47 069	
13 Reinsurance assets	0	0	0				
14 Intangible assets	8 426	8 076	0				8 076
15 Property and equipment	4 803	4 852	4 852				
16 Current tax assets	100	249	249				
17 Deferred tax assets	157	261	66				195
18 Pension assets	13 102	13 110	0				13 110
19 Assets held for sale	74 555	0	0				
20 Other assets	11 896	11 630	11 630				
21 Prepaid expenses and accrued income	2 468	2 444	2 444				
22 Total assets	3 539 222	3 253 236	3 085 357	117 764	337	75 912	21 449
1 Liabilities							
2 Liabilities to credit institutions	84 280	84 528					
3 Deposits and borrowing from the public	1 310 739	1 332 947					
4 Liabilities where the customer bears the value change risk	288 263	2 232					
5 Issued securities	1 550 027	1 550 027					
6 Derivative instruments	15 956	15 956				15 956	
7 Short positions	1 007	1 007				881	
8 Insurance liabilities	7 808	0					
9 Current tax liabilities	957	872					
10 Deferred tax liabilities	3 744	3 722					
11 Provisions	378	551					
12 Pension obligations	0	0					
13 Liabilities related to assets held for sale	10 672	0					
14 Other liabilities	15 376	14 878					
15 Accrued expenses and deferred income	2 935	2 790					
16 Subordinated liabilities	37 054	37 054					
17 Total liabilities	3 329 195	3 046 563				16 837	

¹ Carrying values under scope of regulatory consolidation are shown prior to the reclassification of the disposal group Finland to Assets held for sale and Liabilities held for sale, as in the published financial statements.

SCOPE OF APPLICATION

EU LI2

The table shows the difference between the carrying amount under the scope of regulatory consolidation and exposures considered for regulatory purposes.

Main sources of differences between regulatory exposure amounts and carrying values in financial statements 2024		Items subject to			
SEK m	Total	Credit risk framework	CCR framework	Securitisation framework	Market risk framework
1 Assets carrying value amount under the scope of regulatory consolidation (as per template EU LI1)	3 279 370	3 085 357	117 764	337	75 912
2 Liabilities carrying value amount under the regulatory scope of consolidation (as per template EU LI1)	16 837				16 837
3 Total net amount under the regulatory scope of consolidation	3 262 533	3 085 357	117 764	337	59 075
4 Off-balance-sheet amounts	480 832	480 832			
5 Differences in valuations					
6 Differences due to different netting rules, other than those already included in row 2	-41 351		-4 787		-36 564
7 Differences due to consideration of provisions	1 155	1 155			
8 Differences due to the use of credit risk mitigation techniques (CRMs)	-24 954	42 145	-67 099		
9 Differences due to credit conversion factors	-296 793	-296 793			
10 Differences due to Securitisation with risk transfer					
11 Other differences	-12 827		-12 827		
12 Exposure amounts considered for regulatory purposes	3 368 595	3 312 696	33 051	337	22 511

EU LIA Explanations of differences between accounting and regulatory exposure amounts

Article 436(b) CRR

Differences between columns (a) and (b) in template EU LI1.

The regulatory consolidation (consolidated situation) consists of the parent company, subsidiaries and associates that are also included in the consolidated Group accounts reported in published financial statements, as shown in table EU LI3. The companies that are included in the consolidated accounts but are excluded from the consolidated situation are also shown in table EU LI3. Just as in the consolidated accounts, associates are consolidated using the equity method in the regulatory consolidated situation. All subsidiaries which are subject to the CRR are included in the consolidated situation.

Article 436(d) CRR

Qualitative information on the main sources of differences between the accounting and regulatory scope of consolidation shown in template EU LI2.

The main sources of differences between regulatory exposure amounts and carrying values in financial statements are the off balance sheet exposures reported under the credit risk framework, the differences due to the use of credit risk mitigation techniques and the reporting of derivative exposures under both the market risk and the counterparty credit risk framework.

SCOPE OF APPLICATION

EU LI3

The table outlines the scopes of consolidation for the companies included in the consolidated situation at year-end.

Outline of the differences in the scopes of consolidation (entity by entity) 2024		Ownership share %	Method of accounting consolidation	Method of regulatory consolidation					Description of the entity
				Full consolidation	Proportional consolidation	Equity method	Neither consolidated nor deducted	Deducted	
Name of the entity	Corporate identity number								
Svenska Handelsbanken AB (publ)	502007-7862	N/A	Parent company	N/A					Credit institution
Handelsbanken Finans AB (publ)	556053-0841	100.00	Full consolidation	X					Credit institution
Stadshypotek AB (publ)	556459-6715	100.00	Full consolidation	X					Credit institution
Svenska Intecknings Garanti AB Sigab (inactive)	556432-7285	100.00	Full consolidation	X					Non-financial corporation
Handelsbanken Fonder AB	556418-8851	100.00	Full consolidation	X					Financial corporations other than credit institutions
AB Handel och Industri	556013-5336	100.00	Full consolidation	X					Non-financial corporation
Ecster AB (publ)	556993-2311	100.00	Full consolidation	X					Credit institution
Handelsbanken plc	11305395	100.00	Full consolidation	X					Credit institution
Handelsbanken Wealth and Asset Management Limited	04132340	100.00	Full consolidation	X					Financial corporations other than credit institutions
Handelsbanken Nominees Limited (inactive)	2299877	100.00	Full consolidation	X					Non-financial corporation
Handelsbanken Second Nominees Limited (inactive)	3193458	100.00	Full consolidation	X					Non-financial corporation
Handelsbanken ACD Limited	4332528	100.00	Full consolidation	X					Non-financial corporation
Svenska Property Nominees Limited (inactive)	2308524	100.00	Full consolidation	X					Non-financial corporation
Optimix Vermogensbeheer N.V.	33194359	100.00	Full consolidation	X					Financial corporations other than credit institutions
Add Value Fund Management B.V.	19196768	80.00	Full consolidation	X					Financial corporations other than credit institutions
Optimix Beheer en Belegging B.V. (inactive)	33186584	100.00	Full consolidation	X					Non-financial corporation
Handelsbanken Markets Securities, Inc.	11-3257438	100.00	Full consolidation	X					Financial corporations other than credit institutions
Handelsbanken Rahoitus Oy	012308-8	100.00	Full consolidation	X					Financial corporations other than credit institutions
Handelsbanken Fastigheter AB	556873-0021	100.00	Full consolidation	X					Non-financial corporation
Rådstuplass 4 AS	910508423	100.00	Full consolidation	X					Non-financial corporation
Handelsbanken Ventures AB	556993-9357	100.00	Full consolidation	X					Non-financial corporation
Bidtruster AB	556993-9084	100.00	Full consolidation	X					Non-financial corporation
Bankomat AB	556817-9716	20.00	Equity method			X			Non-financial corporation
BGC Holding AB	556607-0933	25.54	Equity method			X			Non-financial corporation
Finansiell ID-teknik BID AB	556630-4928	28.30	Equity method			X			Non-financial corporation
USE Intressenter AB	559161-9464	24.48	Equity method			X			Non-financial corporation
Getswish AB	556913-7382	20.00	Equity method			X			Non-financial corporation
P27 Nordic Payments Platform AB	559198-9610	20.84	Equity method			X			Non-financial corporation
Invidem AB	559210-0779	16.70	Equity method			X			Non-financial corporation
Tibern AB	559384-3542	14.30	Equity method			X			Non-financial corporation
Handelsbanken Liv Försäkrings AB (group excl. Handelsbanken Fastigheter AB)	516401-8284	100.00	Full consolidation					X	Insurance company
Svenska Re S.A.	RCS Lux B-32053	100.00	Full consolidation					X	Insurance company
Handelsbanken Skadeförsäkrings AB	516401-6767	100.00	Full consolidation					X	Insurance company
SHB Liv Försäkringsaktiebolag	2478149-7	100.00	Full consolidation				X		Insurance company
Svenska RKA International Insurance Services AB (inactive)	556324-2964	100.00	Full consolidation				X		Insurance company
Dyson Group plc	00163096	27.00	Equity method				X		Non-financial corporation
Dyson Industries Ltd	1187031	100.00					X		Non-financial corporation
Beepart Ltd	177682	100.00					X		Non-financial corporation
Pickford Holland & Company Ltd	128414	100.00					X		Non-financial corporation
EFN Ekonomikanalen AB	556930-1608	100.00	Full consolidation				X		Non-financial corporation

Note: These entities are outside consolidated situation: Handelsbanken Liv Försäkrings AB, SHB Liv Försäkringsaktiebolag, Svenska RKA International Insurance Services AB, Handelsbanken Skadeförsäkrings AB, EFN Ekonomikanalen AB, Svenska Re S.A. Dyson Group plc, Dyson Industries Ltd, Beepart Ltd and Pickford Holland & Company Ltd.

SCOPE OF APPLICATION

EU LIB Other qualitative information on the scope of application

Article 436(f) CRR

Impediment to the prompt transfer of own funds or to the repayment of liabilities within the group.

For the Bank's risk management, it is important that in risk terms, both the Group and the regulatory consolidation can be viewed as one unit. To enable efficient risk management in the Group, capital may need to be re-allocated among the various companies in the Group. In general, Handelsbanken is able to reallocate capital among the Group companies, to the extent that is permitted by legislation, for example, with reference to capital adequacy requirements and restrictions in corporate law. The Bank sees no other material or legal obstacles to a rapid transfer of funds from own funds, or repayment of liabilities between the parent company and its subsidiaries.

Article 436(g) CRR

Subsidiaries not included in the consolidation with own funds less than required.

Handelsbanken has no subsidiaries where the actual own funds are less than the prescribed own funds.

Article 436(h) CRR

Use of derogation referred to in Article 7 CRR or individual consolidation method laid down in Article 9 CRR.

Not applicable.

Article 436(g) CRR

Aggregate amount by which the actual own funds are less than required in all subsidiaries that are not included in the consolidation.

Handelsbanken has no subsidiaries where the actual own funds are less than the prescribed own funds.

EU PV1

Prudent valuation adjustments (PVA) 2024		Risk category					Category level AVA - Valuation uncertainty		Total category level post- diversification		
		Equity	Interest Rates	Foreign exchange	Credit	Commodities	Unearned credit spreads AVA	Investment and funding costs AVA		Of which: Total core approach in the trading book	Of which: Total core approach in the banking book
SEK m											
1	Market price uncertainty	0	190		101		0		146	121	25
2	Set not applicable in the EU										
3	Close-out cost	1	0	1	3	0			4	4	
4	Concentrated positions				1				1	1	
5	Early termination										
6	Model risk	4					47	11	34	27	6
7	Operational risk	0	10	0	5	0			15	12	3
8	Set not applicable in the EU										
9	Set not applicable in the EU										
10	Future administrative costs		47						47	47	
11	Set not applicable in the EU										
12	Total Additional Valuation Adjustments (AVAs)								421	212	208

Regulatory own funds

The disclosed regulatory adjustments comprise deductions from own funds and prudential filters as referred to in points (a), (d), (e) and (f) of Article 437 of Regulation EU 575/2013. The right hand column of this template shows the source of every major input, which is cross-referenced to the corresponding rows in template EU CC2.

EU CC1

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637. Excluded rows are deemed not relevant for Handelsbanken at present.

Composition of regulatory own funds 2024		Source based on reference numbers/ letters of the balance sheet under the regulatory scope of consolidation amount of regulation (EU) No 575/2013	
SEK m		Amount at disclosure date	
Common equity tier 1 capital: instruments and reserves			
1	Capital instruments and the related share premium accounts	11 827	E - 2, E - 4
	of which: share capital	11 827	E - 2, E - 4
2	Retained earnings	151 405	E - 7
3	Accumulated other comprehensive income (and any other reserves)	18 061	E - 6
5a	Independently reviewed interim profits net of any foreseeable charge or dividend	-4 326	E - 8
6	Common equity tier 1 (CET1) capital before regulatory adjustments	176 967	
Common equity tier 1 (CET1) capital: regulatory adjustments			
7	Additional value adjustments (negative amount)	-421	
8	Intangible assets (net of related tax liability) (negative amount)	-8 143	A - 18
11	Fair value reserves related to gains or losses on cash flow hedges of financial instruments that are not valued at fair value	-308	E - 6
12	Negative amounts resulting from the calculation of expected loss amounts	-1 727	
14	Gains or losses on liabilities valued at fair value resulting from changes in own credit standing	-22	
15	Defined benefit pension fund assets (negative amount)	-10 410	A - 24
16	Direct, indirect and synthetic holdings by an institution of own CET1 instruments (negative amount)	-589	
19	Direct, indirect and synthetic holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities (amount above 10% threshold and net of eligible short positions) (negative amount)		
20a	Exposure amount of the following items which qualify for a RW of 1250%, where the institution opts for the deduction alternative		
20c	of which: securitisation positions (negative amount)		
21	Deferred tax assets arising from temporary differences (amount above 10% threshold, net of related tax liability where the conditions in Article 38 (3) are met) (negative amount)		
22	Amount exceeding the 17,65% threshold (negative amount)		
23	of which: direct, indirect and synthetic holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities		
25	Of which: deferred tax assets arising from temporary differences		
25a	Losses for the current financial year (negative amount)		
25b	Foreseeable tax charges relating to CET1 items except where the institution suitably adjusts the amount of CET1 items insofar as such tax charges reduce the amount up to which those items may be used to cover risks or losses (negative amount)		
27	Qualifying AT1 deductions that exceed the AT1 capital of the institution (negative amount)		
27a	Other regulatory adjustments	-3	
28	Total regulatory adjustments to common equity tier 1 (CET1) capital	-21 622	
29	Common equity tier 1 (CET1) capital	155 345	
Additional tier 1 (AT1) capital: instruments			
30	Capital instruments and the related share premium accounts	10 951	L - 19
32	of which: classified as liabilities under applicable accounting standards	10 951	L - 19
33	Amount of qualifying items referred to in Article 484 (4) and the related share premium accounts subject to phase-out from AT1		
36	Additional tier 1 (AT1) capital before regulatory adjustments	10 951	L - 19
Additional tier 1 (AT1) capital: regulatory adjustments			
37	Direct, indirect and synthetic holdings by an institution of own AT1 instruments (negative amount)		
40	Direct, indirect and synthetic holdings by the institution of the AT1 instruments of financial sector entities where the institution has a significant investment in those entities (net of eligible short positions) (negative amount)		
42	Qualifying (T2) deductions that exceed the T2 capital of the institution (negative amount)		
43	Total regulatory adjustments to additional tier 1 (AT1) capital		
44	Additional tier 1 (AT1) capital	10 951	
45	Tier 1 capital (T1 = CET1 + AT1)	166 296	

REGULATORY OWN FUNDS

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637. Excluded rows are deemed not relevant for Handelsbanken at present.

Composition of regulatory own funds 2024

SEK m		Amount at disclosure date	Source based on reference numbers/ letters of the balance sheet under the regulatory scope of consolidation amount of regulation (EU) No 575/2013
	Tier 2 (T2) capital: instruments and provisions		
46	Capital instruments and the related share premium accounts	26 896	L - 20
50	Credit risk adjustments	0	
51	Tier 2 (T2) capital before regulatory adjustments	26 896	L - 20
	Tier 2 (T2) capital: regulatory adjustments		
52	Direct, indirect and synthetic holdings by an institution of own T2 instruments and subordinated loans (negative amount)		
55	Direct, indirect and synthetic holdings of the T2 instruments and subordinated loans of financial sector entities where the institution has a significant investment in those entities (net of eligible short positions) (negative amounts)	0	A - 5
57	Total regulatory adjustments to tier 2 (T2) capital	0	A - 5
58	Tier 2 (T2) capital	26 896	
59	Total capital (TC = T1 + T2)	193 191	
60	Total risk-weighted assets	825 457	
	Capital ratios and requirements including buffers		
61	Common equity tier 1 capital (as a percentage of total risk exposure amount)	18.8	
62	Tier 1 capital (as a percentage of total risk exposure amount)	20.1	
63	Total capital (as a percentage of total risk exposure amount)	23.4	
64	Institution CET1 overall capital requirements	14.4	
65	of which: capital conservation buffer requirement	2.5	
66	of which: countercyclical buffer requirement	2.0	
67	of which: systemic risk buffer requirement	3.2	
67a	of which: Global Systemically Important Institution (G-SII) or Other Systemically Important Institution (O-SII) buffer requirement	1.0	
67b	of which: additional own funds requirements to address the risks other than the risk of excessive leverage	1.2	
68	Common Equity Tier 1 capital (as a percentage of risk exposure amount) available after meeting the minimum capital requirements	12.7	
	Amounts below the thresholds for deduction (before risk weighting)		
72	Direct and indirect holdings of the capital of financial sector entities where the institution does not have a significant investment in those entities amount below 10% threshold and net of eligible short positions)	0	
73	Direct and indirect holdings by the institution of the CET1 instruments of financial sector entities where the institution has a significant investment in those entities (amount below 17.65% thresholds and net of eligible short positions)	6 254	
75	Deferred tax assets arising from temporary differences (amount below 17.65% threshold, net of related tax liability where the conditions in Article 38 (3) are met)	0	
	Applicable caps on the inclusion of provisions tier 2 capital		
76	Credit risk adjustments included in T2 in respect of exposures subject to standardised approach (prior to the application of the cap)		
77	Cap on inclusion of credit risk adjustments in T2 under standardised approach	2 465	
78	Credit risk adjustments included in T2 in respect of exposures subject to internal ratings-based approach (prior to the application of the cap)		
79	Cap for inclusion of credit risk adjustments in T2 under internal ratings-based approach	3 109	

EU CC2

Reconciliation of regulatory own funds to balance sheet in the audited financial statements 2024		Balance-sheet as in published financial statements	Under regulatory scope of consolidation	Reference
SEK m				
ASSETS				
A – 1	Cash and balances with central banks	529 995	530 009	
A – 2	Other loans to central banks	12 547	12 547	
A – 3	Interest-bearing securities available as collateral with central banks	172 606	172 606	
A – 4	Loans to other credit institutions	18 922	18 872	
A – 5	Loans to the public	2 297 878	2 372 086	55, 57
A – 6	Value change of interest-hedged item in portfolio hedge	-6 399	-6 399	
A – 7	Bonds and other interest-bearing securities	47 508	47 508	
A – 8	of which interest-bearing instruments classified as fair value through other comprehensive income (carrying amount)	13 259	13 259	
A – 9	of which interest-bearing instruments classified as fair value through other comprehensive income, accumulated value change	-90	-90	
A – 10	Shares and participating interests	14 746	8 952	
A – 11	of which shares classified as fair value through other comprehensive income (carrying amount)	804	694	
A – 12	of which shares classified as fair value through other comprehensive amount, accumulated value change	530	520	
A – 13	Investments in associates	860	7 131	
A – 14	Assets where the customer bears the value change risk	287 984	2 232	
A – 15	Derivative instruments	47 069	47 069	
A – 16	of which cash flow hedges	308	308	
A – 17	Reinsurance assets	0	0	
A – 18	Intangible assets	8 426	8 076	8
A – 19	Property and equipment	4 803	4 852	
A – 20	Current tax assets	100	249	
A – 21	Deferred tax assets	157	261	
A – 22	of which related to cash flow hedges	-	-	
A – 23	of which related to interest-bearing instruments classified as fair value through other comprehensive income	17	17	
A – 24	Pension assets	13 102	13 110	15
A – 25	Assets held for sale	74 555	0	
A – 26	Other assets	11 896	11 630	
A – 27	Prepaid expenses and accrued income	2 468	2 444	
A – 28	Total assets	3 539 222	3 253 236	
LIABILITIES AND EQUITY				
L – 1	Liabilities to credit institutions	84 280	84 528	
L – 2	Deposits and borrowing from the public	1 310 739	1 332 947	
L – 3	Liabilities where the customer bears the value change risk	288 263	2 232	
L – 4	Issued securities	1 550 027	1 550 027	
L – 5	Derivative instruments	15 956	15 956	
L – 6	of which cash flow hedges	-	-	
L – 7	Short positions	1 007	1 007	
L – 8	Insurance liabilities	7 808	0	
L – 9	Current tax liabilities	957	872	
L – 10	Deferred tax liabilities	3 744	3 722	
L – 11	of which related to cash flow hedges	80	80	
L – 12	of which related to shares classified as fair value through other comprehensive income	85	85	
L – 13	Provisions	378	551	
L – 14	Pension obligations	0	0	
L – 15	Liabilities related to assets held for sale	10 672	-	
L – 16	Other liabilities	15 376	14 878	
L – 17	Accrued expenses and deferred income	2 935	2 790	
L – 18	Subordinated liabilities	37 054	37 054	
L – 19	of which tier 1 capital loans	10 951	10 951	30, 32, 36
L – 20	of which loans with remaining time to maturity > 5 yrs	26 896	26 896	46, 51
L – 21	of which loans with remaining time to maturity < 5 yrs	-	-	
L – 22	of which other loans	-	-	
L – 23	Total liabilities	3 329 195	3 046 563	
E – 1	Minority interest	6	6	
E – 2	Share capital	3 069	3 069	1
E – 3	Holdings of own shares	-195	-195	
E – 4	Share premium reserve	8 758	8 758	
E – 5	of which equity from compound financial instruments	-	-	
E – 6	Other reserves	18 659	18 061	3, 11
E – 7	Retained earnings	152 085	151 405	2
E – 8	Profit for the year (belonging to shareholders of Svenska Handelsbanken AB)	27 451	25 375	5a
E – 9	Total equity	210 027	206 673	
LE - 1	Total liabilities and equity	3 539 222	3 253 236	

REGULATORY OWN FUNDS

EU CCA, CET1

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637. For meeting own funds and eligible liabilities requirements.

Main features - regulatory own funds instruments, CET1

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	SE0007100599	SE0007100607
EU-2a	Public or private placement	Public	Public
3	Governing law(s) of the instrument	Swedish law	Swedish law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	N/A	N/A
	<i>Regulatory treatment</i>		
4	Current treatment taking into account, where applicable, transitional CRR rules	Common equity tier 1 capital	Common equity tier 1 capital
5	Post-transitional CRR rules	Common equity tier 1 capital	Common equity tier 1 capital
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Share capital, class A	Share capital, class B
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 11 616m	SEK 211m
9	Nominal amount of instrument	SEK 3 014m	SEK 55m
EU-9a	Issue price	SEK 11 616m	SEK 211m
EU-9b	Redemption price	N/A	N/A
10	Accounting classification	Equity	Equity
11	Original date of issuance	1871	1990
12	Perpetual or dated	Perpetual	Perpetual
13	Original maturity date	N/A	N/A
14	Issuer call subject to the previous supervisory approval	N/A	N/A
15	Optional call date, contingent call dates and redemption amount	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A
	<i>Coupons/dividends</i>		
17	Fixed or floating dividend/coupon	N/A	N/A
18	Coupon rate and any related index	N/A	N/A
19	Existence of a dividend stopper	N/A	N/A
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	N/A	N/A
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	N/A	N/A
21	Existence of step-up or other incentive to redeem	No	No
22	Non-cumulative or cumulative	Non-cumulative	Non-cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A
25	If convertible, fully or partially	N/A	N/A
26	If convertible, conversion rate	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A
30	Write-down features	No	No
31	If write-down, write-down trigger(s)	N/A	N/A
32	If write-down, full or partial	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	N/A	N/A
EU-34b	Ranking of the instrument in normal insolvency proceedings	1	1
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Lowest, next senior is additional tier 1 capital	Lowest, next senior is additional tier 1 capital
36	Non-compliant transitioned features	No	No
37	If yes, specify non-compliant features	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)		

EU CCA, AT1

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637. For meeting own funds and eligible liabilities requirements.

Main features - regulatory own funds instruments, AT1 2024

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS2233263404	XS2233263586
EU-2a	Public or private placement	Public	Public
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes
	<i>Regulatory treatment</i>		
4	Current treatment taking into account, where applicable, transitional CRR rules	Additional tier 1 capital	Additional tier 1 capital
5	Post-transitional CRR rules	Tier 1 capital	Tier 1 capital
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Additional tier 1 capital	Additional tier 1 capital
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 5 482m	SEK 5 470m
9	Nominal amount of instrument	USD 500m	USD 500m
EU-9a	Issue price	100%	100%
EU-9b	Redemption price	100%	100%
10	Accounting classification	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	6 Oct, 2020	6 Oct, 2020
12	Perpetual or dated	Perpetual	Perpetual
13	Original maturity date	No maturity date	No maturity date
14	Issuer call subject to the previous supervisory approval	Yes	Yes
15	Optional call date, contingent call dates and redemption amount	1 Mar 2027, Tax/Regulatory call, 100% of nominal amount	1 Mar 2031 Tax/Regulatory call, 100% of nominal amount
16	Subsequent call dates, if applicable	Callable each subsequent interest reset date after first redemption date	Callable each subsequent interest reset date after first redemption date
	<i>Coupons/dividends</i>		
17	Fixed or floating dividend/coupon	Fixed	Fixed
18	Coupon rate and any related index	4.375%	4.75%
19	Existence of a dividend stopper	No	No
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	N/A	N/A
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	N/A	N/A
21	Existence of step-up or other incentive to redeem	No	No
22	Non-cumulative or cumulative	Non-cumulative	Non-cumulative
23	Convertible or non-convertible	Convertible	Convertible
24	If convertible, conversion trigger(s)	Common equity tier 1 ratio 8% consolidated, 5.125% parent company	Common equity tier 1 ratio 8% consolidated, 5.125% parent company
25	If convertible, fully or partially	Fully	Fully
26	If convertible, conversion rate	The greater of the current market price of an ordinary share on the conversion date translated into USD at the prevailing exchange rate, and the floor price (USD 7.58) on the conversion date. The floor price may not be lower than the quota value (Sw: kvotvärde) of the share.	The greater of the current market price of an ordinary share on the conversion date translated into USD at the prevailing exchange rate, and the floor price (USD 7.58) on the conversion date. The floor price may not be lower than the quota value (Sw: kvotvärde) of the share.
27	If convertible, mandatory or optional conversion	Mandatory	Mandatory
28	If convertible, specify instrument type convertible into	Share capital, class A	Share capital, class A
29	If convertible, specify issuer of instrument it converts into	Svenska Handelsbanken AB	Svenska Handelsbanken AB
30	Write-down features	No	No
31	If write-down, write-down trigger(s)	N/A	N/A
32	If write-down, full or partial	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	N/A	N/A
EU-34b	Ranking of the instrument in normal insolvency proceedings	3	3
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Subordinate to all instruments except shares, next in priority are subordinated loans	Subordinate to all instruments except shares, next in priority are subordinated loans
36	Non-compliant transitioned features	N/A	N/A
37	If yes, specify non-compliant features	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)		

REGULATORY OWN FUNDS

EU CCA, T2

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637. For meeting own funds and eligible liabilities requirements.

Main features - regulatory own funds instruments, T2

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS2486857431	XS252351165	XS2667124569	XS2930111096
EU-2a	Public or private placement	Public	Public	Public	Public
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes	Yes
	<i>Regulatory treatment</i>				
4	Current treatment taking into account, where applicable, transitional CRR rules	Tier 2 capital	Tier 2 capital	Tier 2 capital	Tier 2 capital
5	Post-transitional CRR rules	Tier 2 capital	Tier 2 capital	Tier 2 capital	Tier 2 capital
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Subordinated loan	Subordinated loan	Subordinated loan	Subordinated loan
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 5 723m	SEK 6 910m	SEK 8 573m	SEK 5 687m
9	Nominal amount of instrument	EUR 500m	GBP 500m	EUR 750m	EUR 500m
EU-9a	Issue price	99.914%	99.934%	99.792%	99.388%
EU-9b	Redemption price	100%	100%	100%	100%
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	1 Jun 2022	23 Aug 2022	16 Aug 2023	4 Nov 2024
12	Perpetual or dated	Dated	Dated	Dated	Dated
13	Original maturity date	1 Jun 2033	23 Aug 2032	16 Aug 2034	4 Nov 2036
14	Issuer call subject to the previous supervisory approval	Yes	Yes	Yes	Yes
15	Optional call date, contingent call dates and redemption amount	1 Jun 2028, Tax/Regulatory call, 100% of nominal amount	23 Aug 2027, Tax/Regulatory call, 100% of nominal amount	16 Aug 2029, Tax/Regulatory call, 100% of nominal amount	4 Nov 2031, Tax/Regulatory call, 100% of nominal amount
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>				
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed	Fixed
18	Coupon rate and any related index	3.25%	4.625%	5.0%	3.625%
19	Existence of a dividend stopper	No	No	No	No
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No
22	Non-cumulative or cumulative	Non-cumulative	Non-cumulative	Non-cumulative	Non-cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	N/A	N/A	N/A	N/A
EU-34b	Ranking of the instrument in normal insolvency proceedings	4	4	5	6
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Subordinate to all senior lending	Subordinate to all senior lending	Subordinate to all senior lending	Subordinate to all senior lending
36	Non-compliant transitioned features	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)				

Eligible liabilities

Handelsbanken's eligible liabilities instruments within the meaning of Article 72b CRR are disclosed in the below tables, CCA.

EU CCA, EMTN

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637

Main features - regulatory own funds instruments, EMTN 1(5)

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS2618499177	XS2049582542	XS2404629235
EU-2a	Public or private placement	Public	Public	Public
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes
	<i>Regulatory treatment</i>			
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior preferred	Senior non-preferred liabilities	Senior preferred
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 14 347m	SEK 8 608m	SEK 11 477m
9	Nominal amount of instrument	EUR 1 250m	EUR 750m	EUR 1 000m
EU-9a	Issue price	99.724%	99.805%	99.751%
EU-9b	Redemption price	100%	100%	100%
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	05 May 2023	03 Sep 2019	03 Nov 2021
12	Perpetual or dated	Dated	Dated	Dated
13	Original maturity date	05 May 2026	03 Sep 2026	03 Nov 2026
14	Issuer call subject to the previous supervisory approval	No	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A
	<i>Coupons/dividends</i>			
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed
18	Coupon rate and any related index	3.75%	0.05%	0.125%
19	Existence of a dividend stopper			
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A
30	Write-down features	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings			
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Subordinated to senior	Indebtedness entitled to preference under Swedish law
36	Non-compliant transitioned features	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)	shb_trade_may_2023_-_pricing_supplement.pdf (alertir.com)	emtn_346_isin_xs2049582542 (alertir.com)	Document (alertir.com)

ELIGIBLE LIABILITIES

Main features - eligible liabilities instruments, EMTN page 2(5)

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS2782828649	XS2715276163	CH1184694714	XS2551280436	XS2551374254
EU-2a	Public or private placement	Public	Public	Public	Public	Public
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes	Yes	Yes
	<i>Regulatory treatment</i>					
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior preferred	Senior preferred	Senior preferred	Senior preferred	Senior preferred
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 5 739m	SEK 8 608m	SEK 4 267m	SEK 8 608m	SEK 1 198m
9	Nominal amount of instrument	EUR 500m	EUR 750m	CHF 350m	EUR 750m	USD 109m
EU-9a	Issue price	100%	99.893%	100.012%	99.821%	100%
EU-9b	Redemption price	100%	100%	100%	100%	100%
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	08 Mar 2024	10 Nov 2022	24 May 2022	01 Nov 2022	10 Nov 2022
12	Perpetual or dated	Dated	Dated	Dated	Dated	Dated
13	Original maturity date	08 Mar 2027	10 May 2027	24 May 2027	01 Nov 2027	10 Nov 2027
14	Issuer call subject to the previous supervisory approval	No	No	No	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>					
17	Fixed or floating dividend/coupon	Floating	Fixed	Fixed	Fixed	Floating
18	Coupon rate and any related index	EURIBOR + 0.45% quartely	3.875%	1.25%	3.75%	SOFR + 1.25% quarterly
19	Existence of a dividend stopper					
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings					
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law
36	Non-compliant transitioned features	No	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)	Microsoft Word - SHB PP March 2024 - Pricing Supplement(2007805753.3)	uko2-2007210257-v1_shb_trade_november_2023 - pricing_supplement_execution_version.pdf (alertr.com)	AODocument (alertr.com)	AODocument (alertr.com)	Svenska Handelsbanken Pricing Supplement EMTN 361 (alertr.com)

ELIGIBLE LIABILITIES

Main features - eligible liabilities instruments, EMTN page 3(5)

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS2265968284	XS2588099981	XS1835013050	XS1865236100	XS2345317510
EU-2a	Public or private placement	Public	Public	Private	Private	Public
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	English law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes	Yes	Yes
	<i>Regulatory treatment</i>					
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior non-preferred liabilities	Senior preferred	Senior	Senior	Senior preferred
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 5 739m	SEK 11 477m	SEK 1 722m	SEK 1 099m	SEK 11 477m
9	Nominal amount of instrument	EUR 500m	EUR 1 000m	EUR 150m	USD 100m	EUR 1 000m
EU-9a	Issue price	99.958%	99.440%	99.856%	100%	99.714%
EU-9b	Redemption price	100%	100%	100%	100%	100%
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	02 Dec 2020	17 Feb 2023	12 Jun 2018	14 Aug 2018	06 Sep 2021
12	Perpetual or dated	Dated	Dated	Dated	Dated	Dated
13	Original maturity date	02 Dec 2027	17 Feb 2028	12 Jun 2028	14 Aug 2028	06 Sep 2028
14	Issuer call subject to the previous supervisory approval	No	No	No	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>					
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed	Fixed	Fixed
18	Coupon rate and any related index	0.01%	3.375%	1.26%	3.678%	0.05%
19	Existence of a dividend stopper					
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings					
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Subordinated to senior	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law
36	Non-compliant transitioned features	No	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)	Document (alertr.com)	AODocument (alertr.com)	N/A	N/A	Document (alertr.com)

ELIGIBLE LIABILITIES

Main features - eligible liabilities instruments, EMTN page 4(5)						
1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS1909084375	XS0994979044	XS1016849462	XS2447983813	XS2527451905
EU-2a	Public or private placement	Private	Public	Public	Public	Public
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	English law	English law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	No	No	Yes	Yes
	<i>Regulatory treatment</i>					
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior	Senior	Senior	Senior non-preferred	Senior preferred
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 1 099m	SEK 1 205m	SEK 516m	SEK 11 477m	SEK 8 608m
9	Nominal amount of instrument	USD 100m	EUR 105m	EUR 45m	EUR 1 000m	EUR 750m
EU-9a	Issue price	100%	100%	100%	99.874%	99.358%
EU-9b	Redemption price	100%	100%	100%	100%	100%
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	15 Nov 2018	20 Nov 2013	17 Jan 2014	23 Feb 2022	05 Sep 2022
12	Perpetual or dated	Dated	Dated	Dated	Dated	Dated
13	Original maturity date	15 Nov 2028	20 Nov 2028	17 Jan 2029	23 Feb 2029	05 Sep 2029
14	Issuer call subject to the previous supervisory approval	No	No	No	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>					
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed	Fixed	Fixed
18	Coupon rate and any related index	3.983%	3.08%	3.08%	1.375%	2.625%
19	Existence of a dividend stopper					
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings					
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Subordinated to senior	Indebtedness entitled to preference under Swedish law
36	Non-compliant transitioned features	No	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)	N/A	FINAL TERMS (alertir.com)	FINAL TERMS (alertir.com)	Document	

ELIGIBLE LIABILITIES

Main features - eligible liabilities instruments, EMTN page 5(5)

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	XS2121207828	XS2888395659	XS1904734495	XS2767224921	XS2530441109
EU-2a	Public or private placement	Public	Public	Private	Public	Public
3	Governing law(s) of the instrument	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law	Mainly English law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes	Yes	Yes
	<i>Regulatory treatment</i>					
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior non-preferred liabilities	Senior non-preferred liabilities	Senior	Senior non-preferred liabilities	Senior non-preferred liabilities
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 11 477m	SEK 8 608m	SEK 689m	SEK 8 608m	SEK 1 722m
9	Nominal amount of instrument	EUR 1000m	EUR 750m	EUR 60m	EUR 750m	EUR 150m
EU-9a	Issue price	99.602%	99.600%	100%	99.468%	100%
EU-9b	Redemption price	100%	100%	100%	100%	100%
10	Accounting classification	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost	Liability – amortised cost
11	Original date of issuance	18 Feb 2020	27 Aug 2024	12 Nov 2018	15 Feb 2024	12 Sep 2022
12	Perpetual or dated	Dated	Dated	Dated	Dated	Dated
13	Original maturity date	18 Feb 2030	27 Aug 2031	12 Nov 2031	15 Feb 2034	12 Sep 2034
14	Issuer call subject to the previous supervisory approval	No	No	No	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>					
17	Fixed or floating dividend/coupon	Fixed	Fixed	Fixed	Fixed	Fixed
18	Coupon rate and any related index	0.5%	3.250%	1.563%	3.750%	3.696%
19	Existence of a dividend stopper					
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings					
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Subordinated to senior	Subordinated to senior	Indebtedness entitled to preference under Swedish law	Subordinated to senior	Subordinated to senior
36	Non-compliant transitioned features	No	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)	XS2121207828	368_handelsbanken_green_bond.pdf	N/A	366_handelsbanken_green_bond.pdf	AQDocument

ELIGIBLE LIABILITIES

EU CCA, AMTN

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637

Main features - eligible liabilities instruments, AMTN page 1(2)

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	AU3CB0236123	AU3FN0058632	AU3CB0278232	AU3FN0067476	AU3CB0297232
EU-2a	Public or private placement	Private	Private	Private	Private	Private
3	Governing law(s) of the instrument	Australian law	Mainly NSW law, Swedish insolvency law	Mainly NSW law, Swedish insolvency law	Mainly NSW law, Swedish insolvency law	Mainly NSW law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes	Yes	Yes
	<i>Regulatory treatment</i>					
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior	Senior preferred	Senior preferred	Senior preferred	Senior preferred
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 856m	SEK 2 740m	SEK 1 370m	SEK 685m	SEK 4 453m
9	Nominal amount of instrument	AUD 125m	AUD 400m	AUD 200m	AUD 100m	AUD 650m
EU-9a	Issue price	99.796%	100%	99.915%	100%	99.672%
EU-9b	Redemption price	100%	100%	100%	100%	100%
10	Accounting classification					
11	Original date of issuance	02 Mar 2016	04 Mar 2021	04 Mar 2021	24 Mar 2022	02 Mar 2023
12	Perpetual or dated	Dated	Dated	Dated	Dated	Dated
13	Original maturity date	02 Mar 2026	04 Mar 2026	04 Mar 2026	24 Mar 2027	02 Mar 2028
14	Issuer call subject to the previous supervisory approval	No	No	No	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>					
17	Fixed or floating dividend/coupon	Fixed	Floating	Fixed	Floating	Fixed
18	Coupon rate and any related index	4.00% s.a	90 days BBSW+ 0.45%	1.20% s.a	90 days BBSW + 1.10% qa	5.00% s.a
19	Existence of a dividend stopper	No	No	No	No	No
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings					
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law
36	Non-compliant transitioned features	No	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)	N/A	N/A	N/A	N/A	N/A

ELIGIBLE LIABILITIES

Main features - eligible liabilities instruments, AMTN page 2(2)

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	AU3FN0075636	AU3FN0081485	AU3CB0303121
EU-2a	Public or private placement	Private	Private	Private
3	Governing law(s) of the instrument	Mainly NSW law, Swedish insolvency law	Mainly NSW law, Swedish insolvency law	Mainly NSW law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes
	<i>Regulatory treatment</i>			
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior preferred	Senior preferred	Senior preferred
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 2 398m	SEK 1 370m	SEK 685m
9	Nominal amount of instrument	AUD 350m	AUD 200m	AUD 100m
EU-9a	Issue price	100%	100%	99.974%
EU-9b	Redemption price	100%	100%	100%
10	Accounting classification			
11	Original date of issuance	02 Mar 2023	05 Oct 2023	05 Oct 2023
12	Perpetual or dated	Dated	Dated	Dated
13	Original maturity date	02 Mar 2028	05 Oct 2028	05 Oct 2028
14	Issuer call subject to the previous supervisory approval	No	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A
	<i>Coupons/dividends</i>			
17	Fixed or floating dividend/coupon	Floating	Floating	Fixed
18	Coupon rate and any related index	90 days BBSW + 1.05% qa	90 days BBSW + 1.15% qa	5.40% s.a
19	Existence of a dividend stopper	No	No	No
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A
30	Write-down features	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings			
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law
36	Non-compliant transitioned features	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)	N/A	N/A	N/A

ELIGIBLE LIABILITIES

EU CCA, 144A

Presentation in accordance with the requirements of Commission Implementing Regulation (EU) No 2021/637

Main features - eligible liabilities instruments, 144A page 1(2)

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	US86959LAH69	US86959LAM5	US86959LAN3	US86959LAQ6	US86959LAR4
EU-2a	Public or private placement	Public	Public	Public	Public	Public
3	Governing law(s) of the instrument	Mainly New York law, Swedish insolvency law	Mainly New York law, Swedish insolvency law	Mainly New York law, Swedish insolvency law	Mainly New York law, Swedish insolvency law	Mainly New York law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes	Yes	Yes	Yes
	<i>Regulatory treatment</i>					
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A	N/A	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior non-preferred	Senior preferred	Senior preferred	Senior preferred	Senior preferred
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 10 995m	SEK 7 696m	SEK 5 497m	SEK 6 597m	SEK 4 398m
9	Nominal amount of instrument	USD 1 000m	USD 700m	USD 500m	USD 600m	USD 400m
EU-9a	Issue price	100%	99.896%	100%	99.896%	100%
EU-9b	Redemption price	100%	100%	100%	100%	100%
10	Accounting classification					
11	Original date of issuance	11 Jun 2021	15 Jun 2023	15 Jun 2023	28 May 2024	28 May 2024
12	Perpetual or dated	Dated	Dated	Dated	Dated	Dated
13	Original maturity date	11 Jun 2027	15 Jun 2026	15 Jun 2026	28 May 2027	28 May 2027
14	Issuer call subject to the previous supervisory approval	Yes*	No	No	No	No
15	Optional call date, contingent call dates and redemption amount	11 Jun 2026	N/A	N/A	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A	N/A	N/A	N/A
	<i>Coupons/dividends</i>					
17	Fixed or floating dividend/coupon	Fixed rate reset note	Fixed	Floating	Fixed	Floating
18	Coupon rate and any related index	1.418% s.a	5.25% s.a	SOFR + 1.25% quarterly	5.125% s.a.	SOFR+0.66% quarterly
19	Existence of a dividend stopper	No	No	No	No	No
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory	Mandatory	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No	No	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative	Cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A	N/A	N/A	N/A
25	If convertible, fully or partially	N/A	N/A	N/A	N/A	N/A
26	If convertible, conversion rate	N/A	N/A	N/A	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A	N/A	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A	N/A	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A	N/A	N/A	N/A
30	Write-down features	No	No	No	No	No
31	If write-down, write-down trigger(s)	N/A	N/A	N/A	N/A	N/A
32	If write-down, full or partial	N/A	N/A	N/A	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A	N/A	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A	N/A	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual	Contractual	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings					
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Subordinated to senior preferred notes and 3a2 notes	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law	Indebtedness entitled to preference under Swedish law
36	Non-compliant transitioned features	No	No	No	No	No
37	If yes, specify non-compliant features	N/A	N/A	N/A	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)	N/A	N/A	N/A	N/A	N/A

ELIGIBLE LIABILITIES

Main features - eligible liabilities instruments, 144A page 2(2)

1	Issuer	Svenska Handelsbanken AB	Svenska Handelsbanken AB
2	Unique identifier (eg CUSIP, ISIN or Bloomberg identifier for private placement)	US86959LAL7	US86959LAP8
EU-2a	Public or private placement	Public	Public
3	Governing law(s) of the instrument	Mainly New York law, Swedish insolvency law	Mainly New York law, Swedish insolvency law
3a	Contractual recognition of write-down and conversion powers of resolution authorities	Yes	Yes
	<i>Regulatory treatment</i>		
4	Current treatment taking into account, where applicable, transitional CRR rules	N/A	N/A
5	Post-transitional CRR rules	Eligible liabilities	Eligible liabilities
6	Eligible at solo/(sub)consolidated/solo & (sub)consolidated	Solo & (sub)consolidated	Solo & (sub)consolidated
7	Instrument type (types to be specified by each jurisdiction)	Senior preferred	Senior non-preferred
8	Amount recognised in regulatory capital or eligible liabilities (currency in million, as of most recent reporting date)	SEK 8 796m	SEK 10 995m
9	Nominal amount of instrument	USD 800m	USD 1 000m
EU-9a	Issue price	99.852%	99.556%
EU-9b	Redemption price	100%	100%
10	Accounting classification		
11	Original date of issuance	10 Jun 2022	15 Jun 2023
12	Perpetual or dated	Dated	Dated
13	Original maturity date	10 Jun 2027	15 Jun 2028
14	Issuer call subject to the previous supervisory approval	No	No
15	Optional call date, contingent call dates and redemption amount	N/A	N/A
16	Subsequent call dates, if applicable	N/A	N/A
	<i>Coupons/dividends</i>		
17	Fixed or floating dividend/coupon	Fixed	Fixed
18	Coupon rate and any related index	3.95% s.a	5.5% s.a
19	Existence of a dividend stopper	No	No
EU-20a	Fully discretionary, partially discretionary or mandatory (in terms of timing)	Mandatory	Mandatory
EU-20b	Fully discretionary, partially discretionary or mandatory (in terms of amount)	Mandatory	Mandatory
21	Existence of step-up or other incentive to redeem	No	No
22	Non-cumulative or cumulative	Cumulative	Cumulative
23	Convertible or non-convertible	Non-convertible	Non-convertible
24	If convertible, conversion trigger(s)	N/A	N/A
25	If convertible, fully or partially	N/A	N/A
26	If convertible, conversion rate	N/A	N/A
27	If convertible, mandatory or optional conversion	N/A	N/A
28	If convertible, specify instrument type convertible into	N/A	N/A
29	If convertible, specify issuer of instrument it converts into	N/A	N/A
30	Write-down features	No	No
31	If write-down, write-down trigger(s)	N/A	N/A
32	If write-down, full or partial	N/A	N/A
33	If write-down, permanent or temporary	N/A	N/A
34	If temporary write-down, description of write-up mechanism	N/A	N/A
34a	Type of subordination (only for eligible liabilities)	Contractual	Contractual
EU-34b	Ranking of the instrument in normal insolvency proceedings		
35	Position in subordination hierarchy in liquidation (specify instrument type immediately senior to instrument)	Indebtedness entitled to preference under Swedish law	Subordinated to senior preferred notes and 3a2 notes
36	Non-compliant transitioned features	No	No
37	If yes, specify non-compliant features	N/A	N/A
EU-37a	Link to the full term and conditions of the instrument (signposting)	N/A	N/A

ELIGIBLE LIABILITIES

EU TLAC1

Presentation in accordance with the implementing technical standards for the application of Regulation (EU) No 575/2013 and Directive 2014/59/EU with regards to the supervisory reporting and public disclosure of the minimum requirement for own funds and eligible liabilities. Excluded rows/column are deemed not relevant for Handelsbanken at present.

Composition - MREL 2024		Minimum requirement for own funds and eligible liabilities (MREL)
SEK m		
Own funds and eligible liabilities and adjustments		
1	Common Equity Tier 1 capital (CET1)	155 345
2	Additional Tier 1 capital (AT1)	10 951
6	Tier 2 capital (T2)	26 896
11	Own funds for the purpose of Articles 92a of Regulation (EU) No 575/2013 and 45 of Directive 2014/59/EU	193 191
Own funds and eligible liabilities: Non-regulatory capital elements		
12	Eligible liabilities instruments issued directly by the resolution entity that are subordinated to excluded liabilities (not grandfathered)	76 229
EU-12a	Eligible liabilities instruments issued by other entities within the resolution group that are subordinated to excluded liabilities (not grandfathered)	
EU-12b	Eligible liabilities instruments that are subordinated to excluded liabilities issued prior to 27 June 2019 (subordinated grandfathered)	
EU-12c	Tier 2 instruments with a residual maturity of at least one year to the extent they do not qualify as Tier 2 items	
13	Eligible liabilities that are not subordinated to excluded liabilities (not grandfathered pre-cap)	137 958
EU-13a	Eligible liabilities that are not subordinated to excluded liabilities issued prior to 27 June 2019 (pre-cap)	1 722
14	Amount of non subordinated eligible liabilities instruments, where applicable after application of Article 72b (3) CRR	139 680
17	Eligible liabilities items before adjustments	215 909
EU-17a	Of which subordinated liabilities items	78 229
Own funds and eligible liabilities: Adjustments to non-regulatory capital elements		
18	Own funds and eligible liabilities items before adjustments	409 100
19	(Deduction of exposures between multiple point of entry (MPE) resolution groups)	
20	(Deduction of investments in other eligible liabilities instruments)	
22	Own funds and eligible liabilities after adjustments	409 100
EU-22a	Of which: own funds and subordinated liabilities	269 421
Risk-weighted exposure amount and leverage exposure measure of the resolution group		
23	Total risk exposure amount (TREA)	825 457
24	Total exposure measure (TEM)	3 368 806
Ratio of own funds and eligible liabilities		
25	Own funds and eligible liabilities as a percentage of TREA	49.56%
EU-25a	Of which own funds and subordinated liabilities	32.64%
26	Own funds and eligible liabilities as a percentage of TEM	12.14%
EU-26a	Of which own funds and subordinated liabilities	8.00%
27	CET1 (as a percentage of the TREA) available after meeting the resolution group's requirements	13.06%

EU TLAC3b

Presentation in accordance with the implementing technical standards for the application of Regulation (EU) No 575/2013 and Directive 2014/59/EU with regards to the supervisory reporting and public disclosure of the minimum requirement for own funds and eligible liabilities. Excluded rows are deemed not relevant for Handelsbanken at present.

Creditor ranking - resolution entity 2024		Insolvency ranking							Sum of
		1 (most junior)	2	3	4	5	6	7 (most senior)	1 to 7
SEK m									
1	Description of insolvency rank	Common Equity Tier 1 Capital	Fines and penalties	Additional Tier 1 capital instruments	Tier 2 capital instruments	Other Sub-ordinated debt	Senior non-preferred debt	Senior unsecured debt	
5	Own funds and liabilities potentially eligible for meeting MREL	155 345		10 951	26 896		58 626	139 680	391 497
6	of which residual maturity ≥ 1 year < 2 years							43 985	43 985
7	of which residual maturity ≥ 2 year < 5 years						28 211	95 006	123 217
8	of which residual maturity ≥ 5 years < 10 years				26 896		30 415	689	58 000
9	of which residual maturity ≥ 10 years, but excluding perpetual securities								
10	of which perpetual securities	155 345		10 951					166 296

Countercyclical capital buffers

EU CCyB1

The table shows the geographical breakdown of credit exposures relevant for the calculation of the countercyclical capital buffer.

Geographical distribution of credit exposures relevant for the calculation of the countercyclical buffer 2024		General credit exposures		Relevant credit exposures – Market risk				Own funds requirements						
		Exposure value under the standardised approach	Exposure value under the IRB approach	Sum of long and short positions of trading book exposures for SA	Value of trading book exposures for internal models			Securitisation exposures Exposure value for non-trading book	Total exposure value	Relevant credit risk exposures - Credit risk				Relevant credit exposures – Market risk
SEK m														
010	Breakdown by country													
	Sweden	21 418	1 684 126	351			1 705 895	32 830	56		32 886	411 079	60.0	2.0
	Norway	2 348	355 412	123			357 883	6 732	24		6 756	84 453	12.3	2.5
	Other countries	363 378	84 378	4			447 760	15 134	3		15 137	189 209	27.6	1.8
020	Total	387 144	2 123 916	478			2 511 538	54 696	83		54 779	684 740	100.0	

EU CCyB2

The table shows the total amount for the institution-specific countercyclical capital buffer.

Amount of institution-specific countercyclical capital buffer 2024												
SEK m												
10	Total risk exposure amount											825 457
20	Institution specific countercyclical buffer rate (%)											2.0
30	Institution specific countercyclical buffer requirement											16 583

Leverage ratio

EU LRA Disclosure of LR qualitative information
Article 451.1 d CRR.

Description of the processes used to manage the risk of excessive leverage

The Bank's capital requirement is reported weekly to the CFO and the CEO and at least quarterly to the Board. In cases where various thresholds are exceeded, or if the Head of Group Treasury or the CFO deems it appropriate for some other reason, proposals for appropriate measures are presented to the CEO. The capital situation in a medium- and long-term perspective is summarised quarterly by the capital committee. Group Treasury performs a complete update of the capital forecast on a quarterly basis, or when there are significant changes in conditions.

Description of the factors that had an impact on the leverage Ratio during the period to which the disclosed leverage Ratio refers

The leverage ratio decreased during the year from 5.1% to 4.9%. Both the nominator (Tier 1 capital) and the denominator (Exposures Measure) decreased during the year. The decrease in tier 1 capital can to a large extent be explained by increased proposed dividend to shareholders.

EU LR1

The table shows the summary reconciliation of accounting assets and leverage ratio exposures.
The leverage ratio total exposure measure has decreased compared to the previous period.

LRSum: Summary reconciliation of accounting assets and leverage ratio exposures 2024		
SEK m		Applicable amount
1	Total assets as per published financial statements	3 253 187
2	Adjustment for entities which are consolidated for accounting purposes but are outside the scope of prudential consolidation	285 985
3	(Adjustment for securitised exposures that meet the operational requirements for the recognition of risk transference)	0
4	(Adjustment for temporary exemption of exposures to central banks (if applicable))	0
5	(Adjustment for fiduciary assets recognised on the balance sheet pursuant to the applicable accounting framework but excluded from the total exposure measure in accordance with point (i) of Article 429a(1) CRR)	0
6	Adjustment for regular-way purchases and sales of financial assets subject to trade date accounting	0
7	Adjustment for eligible cash pooling transactions	0
8	Adjustment for derivative financial instruments	4 673
9	Adjustment for securities financing transactions (SFTs)	5 906
10	Adjustment for off-balance sheet items (ie conversion to credit equivalent amounts of off-balance sheet exposures)	135 529
11	(Adjustment for prudent valuation adjustments and specific and general provisions which have reduced Tier 1 capital)	-421
EU-11a	(Adjustment for exposures excluded from the total exposure measure in accordance with point (c) of Article 429a(1) CRR)	0
EU-11b	(Adjustment for exposures excluded from the total exposure measure in accordance with point (j) of Article 429a(1) CRR)	0
12	Other adjustments	-316 053
13	Total exposure measure	3 368 806

EU LR2

The table shows the leverage ratio for the current and previous period. The exposures are specified for the categories on-balance, derivatives, securities finance and off-balance. The leverage ratio is calculated as tier 1 capital divided by the total exposures. The leverage ratio has decreased compared to the previous year.

LRCom: Leverage ratio common disclosure 2024			
SEK m		2024	2023
	On-balance-sheet exposures (excluding derivatives and SFTs)		
1	On-balance-sheet items (excluding derivatives, SFTs and fiduciary assets, but including collateral)	3 173 131	3 224 615
2	Gross-up for derivatives collateral provided, where deducted from the balance sheet assets pursuant to the applicable accounting framework		
3	(Deductions of receivables assets for cash variation margin provided in derivatives transactions)	-5 083	-18 705
4	(Adjustment for securities received under securities financing transactions that are recognised as an asset)		
5	(General credit risk adjustments to on-balance sheet items)		
6	(Asset amounts deducted in determining Tier 1 capital)	-21 622	-20 623
7	Total on-balance sheet exposures (excluding derivatives and SFTs)	3 146 426	3 185 287
	Derivative exposures		
8	Replacement cost associated with SA-CCR derivatives transactions (ie net of eligible cash variation margin)	26 158	15 731
EU-8a	Derogation for derivatives: replacement costs contribution under the simplified standardised approach		
9	Add-on amounts for potential future exposure associated with SA-CCR derivatives transactions	23 569	19 296
EU-9a	Derogation for derivatives: Potential future exposure contribution under the simplified standardised approach		
EU-9b	Exposure determined under Original Exposure Method		
10	(Exempted CCP leg of client-cleared trade exposures) (SA-CCR)		
EU-10a	(Exempted CCP leg of client-cleared trade exposures) (simplified standardised approach)		
EU-10b	(Exempted CCP leg of client-cleared trade exposures) (Original Exposure Method)		
11	Adjusted effective notional amount of written credit derivatives	2 115	2 395
12	(Adjusted effective notional offsets and add-on deductions for written credit derivatives)	-100	
13	Total derivatives exposures	51 742	37 423
	Securities financing transaction (SFT) exposures		
14	Gross SFT assets (with no recognition of netting), after adjustment for sales accounting transactions	32 987	31 655
15	Netted amounts of cash payables and cash receivables of gross SFT assets)	1	110
16	Counterparty credit risk exposure for SFT assets	2 169	3 917
EU-16a	Derogation for SFTs: Counterparty credit risk exposure in accordance with Articles 429e(5) and 222 CRR		
17	Agent transaction exposures		
EU-17a	(Exempted CCP leg of client-cleared SFT exposure)		
18	Total securities financing transaction exposures	35 156	35 681
	Other off-balance-sheet exposures		
19	Off-balance sheet exposures at gross notional amount	480 790	468 770
20	(Adjustments for conversion to credit equivalent amounts)	-345 261	-335 445
21	(General provisions deducted in determining Tier 1 capital and specific provisions associated with off-balance sheet exposures)		
22	Off-balance sheet exposures	135 529	133 326
	Excluded exposures		
EU-22a	(Exposures excluded from the total exposure measure in accordance with point (c) of Article 429a(1) CRR)		
EU-22b	(Exposures exempted in accordance with point (j) of Article 429a(1) CRR (on and off balance sheet))		
EU-22c	(Excluded exposures of public development banks (or units) - Public sector investments)		
EU-22d	(Excluded exposures of public development banks (or units) - Promotional loans)		
EU-22e	(Excluded passing-through promotional loan exposures by non-public development banks (or units))		
EU-22f	(Excluded guaranteed parts of exposures arising from export credits)	-47	-1 219
EU-22g	(Excluded excess collateral deposited at triparty agents)		
EU-22h	(Excluded CSD related services of CSD/institutions in accordance with point (o) of Article 429a(1) CRR)		
EU-22i	(Excluded CSD related services of designated institutions in accordance with point (p) of Article 429a(1) CRR)		
EU-22j	(Reduction of the exposure value of pre-financing or intermediate loans)		
EU-22k	(Total exempted exposures)	-47	-1 219
	Capital and total exposure measure		
23	Tier 1 capital	166 296	172 603
24	Total exposure measure	3 368 806	3 390 498
	Leverage ratio		
25	Leverage ratio (%)	4.9	5.1
EU-25	Leverage ratio (excluding the impact of the exemption of public sector investments and promotional loans) (%)	4.9	5.1
25a	Leverage ratio (excluding the impact of any applicable temporary exemption of central bank reserves) (%)	4.9	5.1
26	Regulatory minimum leverage ratio requirement (%)	3.0	3.0
EU-26a	Additional own funds requirements to address the risk of excessive leverage (%)	5.0	
EU-26b	of which: to be made up of CET1 capital	5.0	
27	Leverage ratio buffer requirement (%)	3.0	3.0
EU-27a	Overall leverage ratio requirement (%)		
	Choice on transitional arrangements and relevant exposures		
EU-27b	Choice on transitional arrangements for the definition of the capital measure	NA	NA
	Disclosure of mean values		
28	Mean of daily values of gross SFT assets, after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables	38 989	36 133
29	Quarter-end value of gross SFT assets, after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables	32 987	31 765
30	Total exposure measure (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	3 374 808	3 394 866
30a	Total exposure measure (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	3 374 808	3 394 866
31	Leverage ratio (including the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	4.9	5.1
31a	Leverage ratio (excluding the impact of any applicable temporary exemption of central bank reserves) incorporating mean values from row 28 of gross SFT assets (after adjustment for sale accounting transactions and netted of amounts of associated cash payables and cash receivables)	4.9	5.1

LEVERAGE RATIO

EU LR3

The table specifies on-balance-sheet exposures excluding derivatives, SFTs, and exposures exempt from the leverage ratio calculation. The total exposure has increased compared to the previous period.

LRSpI: Split-up of on balance sheet exposures (excluding derivatives, SFTs and exempted exposures) 2024		CRR leverage ratio exposures
SEK m		
EU-1	Total on-balance sheet exposures (excluding derivatives, SFTs, and exempted exposures), of which:	3 200 988
EU-2	Trading book exposures	79 377
EU-3	Non-trading book exposures, of which:	3 121 611
EU-4	Covered bonds	33 208
EU-5	Exposures treated as sovereigns	714 612
EU-6	Exposures to regional governments, MDB, international organisations and PSE not treated as sovereigns	0
EU-7	Institutions	7 356
EU-8	Secured by mortgages of immovable properties	2 149 481
EU-9	Retail exposures	22 375
EU-10	Corporates	171 250
EU-11	Exposures in default	7 171
EU-12	Other exposures (e.g. equity, securitisations, and other non-credit obligation assets)	16 157

Funding and liquidity risk

Liquidity risk is the risk that the Bank will not be able to meet its payment obligations when they fall due without being affected by unacceptable costs or losses.

Handelsbanken has a low tolerance of liquidity risks, both at aggregate level and in each individual currency. The aim is to have good access to liquidity, low variation in results and a considerable capacity to meet customers' funding needs, even in difficult times. This is achieved by maintaining a good matching of incoming and outgoing cash flows over time in all currencies essential to the Bank and by maintaining large liquidity reserves of good quality.

EU LIQA Liquidity risk management

In accordance with Articles 435(1) and 451a(4) CRR.

Strategies and processes in the management of the liquidity risk, including policies on diversification in the sources and tenor of planned funding.

Handelsbanken's Board has overall responsibility for the Bank's risk management and establishes internal rules for this. The Board establishes policies and the CEO establishes guidelines describing how various risks should be managed and reported.

Handelsbanken has a low tolerance of liquidity risks, both at aggregate level and in each individual currency. The aim is to have good access to liquidity, low variation in results and a considerable capacity to meet customers' funding needs, even in difficult times. This is achieved by maintaining a good matching of incoming and outgoing cash flows over time in all currencies essential to the Bank and by maintaining large liquidity reserves of good quality. The Bank thus minimises the economic risks in funding and can thereby maintain stable and long-term funding for the business-operating units. The Bank strives for a balanced usage of deposit and market funding. Furthermore, the Bank aims for breadth in its funding programmes and their use. This ensures that the Bank can keep its core business intact for a long period of time, even if there is extensive disruption in the financial markets. The result of this work is a well-matched balance sheet, where illiquid assets are financed using stable funding.

Good diversification between different types of funding sources in various markets, currencies and forms of funding instruments is a key component of the funding strategy. This reduces the significance of individual markets or sources of funding.

Structure and organisation of the liquidity risk management function (authority, statute, other arrangements).

Handelsbanken's Board has overall responsibility for the Bank's liquidity risk management and establishes internal rules for this. Funding and liquidity management is governed by policies established by the Board, which also decides on limits. Instructions from the CFO concretise these policies. The instructions establish parameters such as limits, the composition of the funding, and benchmarks in the case of disruptions in the funding markets. Furthermore, all liquidity risk limits are channelled to the operations via Handelsbanken Treasury. Handelsbanken Risk Control has the responsibility for risk measurement and methodology.

The CFO has the functional responsibility for liquidity and funding, while the Head of Handelsbanken Treasury, who reports to the CFO, is responsible for the Group's liquidity and funding. This responsibility includes managing the Group's liquidity risks in its banking operations. The Head of Handelsbanken Treasury then allocates the limits between the different business-operating units. Handelsbanken Risk Control monitors business operations' risk management. Exceeded limits and objectives are identified and reported by Handelsbanken Risk Control.

A description of the degree of centralisation of liquidity management and interaction between the group's units.

Handelsbanken has a decentralised business model, but all funding and liquidity risk management in the Group is centralised to Handelsbanken Treasury where all liquidity risk limits are channelled to the operations. Handelsbanken Treasury is also responsible for the Bank's liquidity reserve, including the pledged assets that must be kept in different payment and clearing systems, and monitors liquidity flows during the day to ensure that the Bank has sufficient collateral in its payment systems at any given time to meet the Bank's payment obligations.

Scope and nature of liquidity risk reporting and measurement systems.

Limit utilisation for liquidity risks is compiled and controlled on a daily basis by Handelsbanken Risk Control. Exceeded limits are immediately reported to the person who makes the decision about the limits. The liquidity risk is summarised and reported daily to the CEO and the CFO and to the Board at every regular Board meeting. The Liquidity committee, chaired by the Head of Handelsbanken Treasury, meets before each regular Board meeting and on other occasions when necessary. In Liquidity committee meetings, reports are presented on the current liquidity situation, on results of stress tests, scenario analyses, and other information which is relevant for the assessment of the Group's liquidity situation.

Policies for hedging and mitigating the liquidity risk and strategies and processes for monitoring the continuing effectiveness of hedges and mitigants.

In order to limit risk in liquidity management, the Bank has a robust risk tolerance framework including both limits and qualitative targets for liquidity risk. Handelsbanken Risk Control is responsible for measuring risks and reports risk utilisation daily to the CEO and the CFO, and on a regular basis to the Board. Liquidity planning is based on an analysis of cash flows for the respective currency. As a general rule, a larger exposure is permitted in currencies with high liquidity than in currencies where the liquidity is low. The funding strategy is that illiquid assets are financed in a stable and long-term manner, and that a positive liquidity position (cash flow plus liquid assets) must be maintained – even in stressed conditions. This gap analysis is supplemented by scenarios, in which the effect on liquidity is further stressed and analysed using various assumptions.

An outline of the Bank's contingency funding plans.

Handelsbanken maintains a contingency funding plan in the event of a liquidity shortfall (*Group Contingency Plan for Managing a Liquidity Crisis*). The plan specifies responsibilities, sets out practical steps and considerations needed in order to implement various contingency actions. It also determines a set of indicators to be used to help identify when it is appropriate to take contingency actions. A traffic light system is adopted, where each indicator has a baseline level and three trigger levels with prescribed escalation and reporting processes.

The focus is on being proactive rather than reactive, to ensure continued access to liquidity and continued confidence in the Bank, in times of crisis.

The indicators cover the Bank's short-term and long-term liquidity positions, counterbalancing capacity, dependence on deposits, the use of credit facilities and the cost of wholesale funding. They also distinguish between key currencies.

Each indicator is monitored at the applicable level of periodicity, i.e. from daily to quarterly, depending on the indicator and the current business state. Indicators are evaluated and discussed by the Liquidity Committee on a monthly basis and trigger levels are recalibrated if necessary. A review of the indicator framework is conducted annually.

All indicators are monitored over time, e.g. by including historic values, and hence trending information is an integral part of the reporting conducted within the Bank's general risk management framework. An escalation process is associated with all indicators, regardless of type. Pre-determined levels activate an escalation process to predefined decision-making bodies.

Handelsbanken Risk Control and Handelsbanken Treasury follow the liquidity metrics on a daily basis. If any of the metrics are in jeopardy, it is the responsibility of the Head of Handelsbanken Treasury to take remedial action. Remedial actions may be to use non-encumbered assets (most likely mortgages) in secured financing transactions, selling assets in the liquidity reserve and utilising the funding programmes. In a very severe crisis measures such as withholding dividends, or reduced lending to the public would also be available. In such cases the Board and the CEO are involved in the decision-making.

An explanation of how stress testing is used.

The governance of the Bank's liquidity situation is based on stress tests, which are performed at an aggregate level and also individually for the currencies that are essential to the Bank. The stress tests ensure that the Bank has sufficient liquidity, from both a short-term and long-term perspective, in various stressed scenarios and with various liquidity-generating measures. The stress tests are carried out with the application of both market wide and idiosyncratic stress, on a daily basis. These are also supplemented with scenario analyses which consider substantial falls in housing prices. In these stress tests, it is assumed that the Bank does not have access to market funding, at the same time as some deposits from households and companies gradually disappear in the first month. It is further assumed that the Bank will continue to conduct its core business by renewing loans to households and companies at maturity and that customers will partly utilise issued commitments and credit facilities. The stress tests assume that the cash assets in the liquidity reserve are used and that securities can immediately supply liquidity if provided as collateral, primarily in the market and as a last resort in central banks. In addition, the Bank can generate liquidity through the unutilised issue amount for covered bonds and by implementing other liquidity-generating measures to gradually provide the Bank with liquidity. The volume and quality of unutilised collateral must be such that in a crisis situation it can provide the Bank with the necessary liquidity.

A declaration approved by the management body on the adequacy of liquidity risk management arrangements of the institution providing assurance that the liquidity risk management systems put in place are adequate with regard to the institution's profile and strategy.

Handelsbanken has satisfactory arrangements for risk management which are fit for purpose in relation to the Bank's business goal, the risk tolerance and risk strategy which the Board has decided for the operations and the Bank's overall risk profile.

A concise liquidity risk statement approved by the management body succinctly describing the institution's overall liquidity risk profile associated with the business strategy.

This statement shall include key ratios and figures (other than those already covered in the EU LIQ1 template under this ITS) providing external stakeholders with a comprehensive view of the institution's management of liquidity risk, including how the liquidity risk profile of the institution interacts with the risk tolerance set by the management body.

Please also see the Board's complete risk statement in EU OVA.

To ensure that the Bank has a good liquidity situation, the Board stipulates the Bank's risk tolerance for liquidity. Handelsbanken has a low risk tolerance. The structural risk in the balance sheet must promote a low variation in financial performance and stable, long-term profit growth and not be so high as to prevent Handelsbanken from being able to, in the short and long term, fulfil the requirements set by supervisory authorities. Financial risks shall only arise as a natural part of business with customers, in connection with the Handelsbanken Group's funding and liquidity management, and in its role as a market maker. The Group's risks must be limited through the good matching of both cash flows and interest-fixing periods, the hedging of open positions, and the use of collateral, netting agreements and other risk mitigation measures. In addition, the Group should avoid business proposals and trading in products that appear to be complicated or difficult to understand.

The purpose of the Group's funding and liquidity management is to ensure that Handelsbanken is able to meet its payment commitments in the short and long term. A further aim is that the Group should have better access to the capital markets and a lower funding cost than the average for peer banks. In addition, Handelsbanken should continue to have a high rating from the most important rating agencies in comparison with peer banks and taking into account the rating for each state in which the Bank has its main operations.

To achieve this goal Handelsbanken maintains funding programmes in all currencies and instruments that are important to the Bank. The target intervals for the Bank's short- and long-term market funding are also established by the management body.

Short-term market funding by currency 2024

Refers to the currency breakdown as at 31 December 2024 for issued securities with a short-term¹ original time to maturity.

	Percent (%)	Amount (SEK bn)
SEK	0%	0
EUR	32%	202
USD	62%	383
Other	6%	35

¹Short-term maturity corresponds to a maturity of less than one year and one month.

Long-term market funding by currency 2024

Refers to the currency breakdown as at 31 December 2024 for issued securities with a long-term¹ original time to maturity.

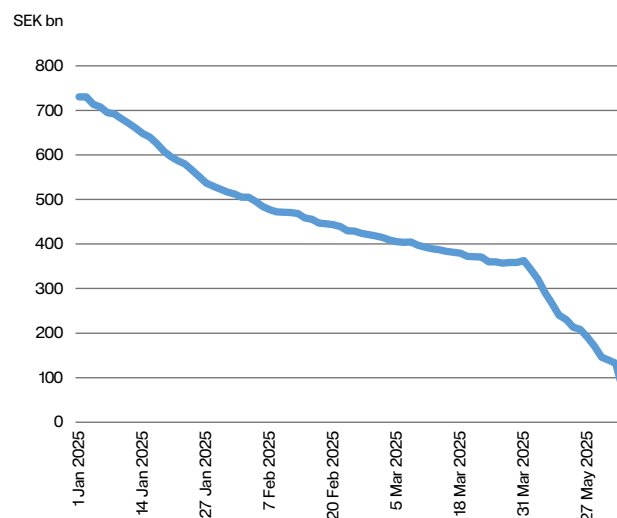
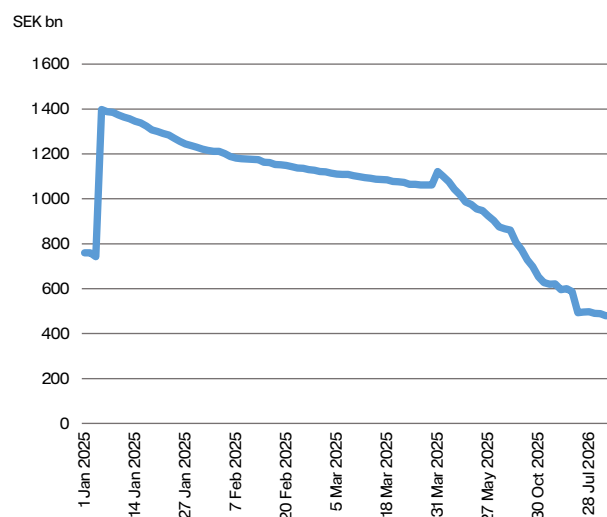
	Percent (%)	Amount (SEK bn)
SEK	60%	561
EUR	27%	249
USD	8%	74
Other	5%	50

¹Long-term maturity corresponds to a maturity equal to or exceeding one year and month.

Handelsbanken must have a good match of maturities for liabilities and assets, and positive structural net funding that reflects the difference between stable funding and illiquid assets.

Handelsbanken's illiquid assets are risk weighted and consist of lending to households and companies, and other assets requiring stable funding. Handelsbanken's stable funding is risk weighted and consists of shareholders' equity, deposits from households and companies, and other funding with sufficiently long residual maturity or quality to withstand a protracted liquidity crisis. In addition, Handelsbanken must have adequate liquidity in the form of cash available from central banks and assets that are liquid and can be pledged, to be able to continue its operations for pre-determined periods of time, without new funding on the financial markets. This requirement must also be fulfilled in times of financial strain. In addition, the Bank must have the liquidity-generating capacity to cope with a lengthy period of financial strain without requiring new funding on the financial markets.

The maturity mismatch of assets and liabilities is monitored through internal short- and long-term stress tests, as described above in the section regarding stress testing. The mismatch analysis also includes effects from off-balance sheet items, such as increased cash collateral requirements and increased utilisation of outstanding credit facilities.

Short-term stress test of liquidity – accumulated liquidity position**Long-term stress test of liquidity, including liquidity-generating measures - accumulated liquidity position**

FUNDING AND LIQUIDITY RISK

EU LIQ1

The following table shows weighted and unweighted components and levels for the liquidity coverage ratio (LCR) where the values presented are simple averages of month-end observations over the 12 months preceding the end of each quarter.

LCR disclosure template 2024		Total unweighted value (average)				Total weighted value (average)			
SEK m		31 Dec 24	30 Sep 24	30 Jun 24	31 Mar 24	31 Dec 24	30 Sep 24	30 Jun 24	31 Mar 24
Number of data points used in the calculation of averages		12	12	12	12	12	12	12	12
HIGH-QUALITY LIQUID ASSETS									
1	Total high-quality liquid assets (HQLA)					962 211	946 297	934 576	924 173
CASH – OUTFLOWS									
2	Retail deposits and deposits from small business customers, of which:								
3	Stable deposits	653 440	648 596	651 028	658 523	56 781	55 961	55 904	56 274
4	Less stable deposits	362 357	361 307	363 851	369 258	18 118	18 065	18 193	18 463
5	Unsecured wholesale funding	291 083	287 289	287 177	289 264	38 663	37 895	37 712	37 811
6	Operational deposits (all counterparties) and deposits in networks of cooperative banks	783 651	770 182	772 470	778 284	440 340	428 736	427 984	428 881
7	Non-operational deposits (all counterparties)	297 287	297 364	298 801	300 289	71 973	72 010	72 362	72 736
8	Unsecured debt	391 456	380 471	378 372	382 790	273 459	264 379	260 324	260 941
9	Secured wholesale funding	94 908	92 347	95 298	95 205	94 908	92 347	95 298	95 205
10	Additional requirements					4 058	4 538	4 321	5 233
11	Outflows related to derivative exposures and other collateral requirements	476 144	480 054	485 259	489 899	92 972	97 571	100 083	102 934
12	Outflows related to loss of funding on debt products	48 093	52 321	54 007	55 849	46 941	51 162	53 052	55 107
13	Credit and liquidity facilities								
14	Other contractual funding obligations	428 050	427 733	431 252	434 051	46 031	46 409	47 031	47 827
15	Other contingent funding obligations	10 245	10 939	13 209	13 120	8 349	9 081	11 382	11 331
16	TOTAL CASH OUTFLOWS	60 517	60 696	60 211	59 908	1 135	1 155	1 191	1 214
CASH – INFLOWS						603 635	597 040	600 865	605 867
17	Secured lending (e.g. reverse repos)								
18	Inflows from fully performing exposures	45 845	45 842	46 118	46 335	12 501	12 330	12 461	12 860
19	Other cash inflows	81 191	83 753	78 806	78 429	50 040	51 245	47 729	47 187
EU-19a	(Difference between total weighted inflows and total weighted outflows arising from transactions in third countries where there are transfer restrictions or which are denominated in non-convertible currencies)	13 293	17 560	23 336	26 849	13 293	17 560	23 336	26 849
EU-19b	(Excess inflows from a related specialised credit institution)								
20	TOTAL CASH INFLOWS	140 330	147 155	148 260	151 614	75 835	81 134	83 527	86 896
EU-20a	Fully exempt inflows								
EU-20b	Inflows subject to 90% cap								
EU-20c	Inflows subject to 75% cap								
21	LIQUIDITY BUFFER					962 211	946 297	934 576	924 173
22	TOTAL NET CASH OUTFLOWS					527 801	515 906	517 339	518 972
23	LIQUIDITY COVERAGE RATIO (%)					183	184	182	179

FUNDING AND LIQUIDITY RISK

EU LIQ2

The following template shows weighted and unweighted components and level for the Net Stable Funding Ratio (NSFR) at the end of the fourth quarter 2024 in accordance with Article 451a(3) CRR

a. The main driving forces for the NSFR are loans to the public, issued debt and the deposit base. Handelsbanken Treasury monitors the balance sheet and manages the maturity structure of the issued debt to ensure an adequate NSFR. The structure of the liability side should be based on the composition of the assets in order to maintain a sound structural liquidity position. The more long-term lending and other illiquid assets, the more stable financing is required. During the last quarter the NSFR has strengthened. This is mainly due to a lower required stable funding amount after the divestment of Finnish operations.

b. Handelsbanken does not have interdependent assets and liabilities at the reporting period.

Net Stable Funding Ratio 2024		Unweighted value by residual maturity				Weighted value
SEK m		No maturity	< 6 months	6 months to < 1yr	≥ 1yr	
Available stable funding (ASF) Items						
1	Capital items and instruments	192 244			26 896	219 139
2	Own funds	192 244			26 896	219 139
3	Other capital instruments					
4	Retail deposits		757 398	5 157	2 469	708 715
5	Stable deposits		397 020	1 906	1 405	380 384
6	Less stable deposits		360 378	3 251	1 064	328 330
7	Wholesale funding:		1 070 760	289 951	802 633	1 212 274
8	Operational deposits		294 760			147 380
9	Other wholesale funding		776 000	289 951	802 633	1 064 894
10	Interdependent liabilities					
11	Other liabilities:		65 737		3 722	3 722
12	NSFR derivative liabilities					
13	All other liabilities and capital instruments not included in the above categories		65 737		3 722	3 722
14	Total available stable funding (ASF)					2 143 849
Required stable funding (RSF) Items						
15	Total high-quality liquid assets (HQLA)					7 019
EU-15a	Assets encumbered for more than 12m in cover pool		7 611	5 086	575 316	499 810
16	Deposits held at other financial institutions for operational purposes					
17	Performing loans and securities:		344 091	226 364	1 227 559	1 136 619
18	Performing securities financing transactions with financial customers collateralised by Level 1 HQLA subject to 0% haircut		3 622			
19	Performing securities financing transactions with financial customer collateralised by other assets and loans and advances to financial institutions		31 054	112	1 666	3 361
20	Performing loans to non- financial corporate clients, loans to retail and small business customers, and loans to sovereigns, and PSEs, of which:		161 532	97 944	348 153	421 170
21	With a risk weight of less than or equal to 35% under the Basel II Standardised approach for credit risk		8 535	2 176	24 823	21 812
22	Performing residential mortgages, of which:		147 784	128 071	873 026	707 887
23	With a risk weight of less than or equal to 35% under the Basel II Standardised approach for credit risk		145 926	126 449	860 560	695 552
24	Other loans and securities that are not in default and do not qualify as HQLA, including exchange-traded equities and trade finance on-balance sheet products		100	238	4 713	4 201
25	Interdependent assets					
26	Other assets:		21 011	692	64 388	68 494
27	Physical traded commodities					
28	Assets posted as initial margin for derivative contracts and contributions to default funds of CCPs				10 382	8 825
29	NSFR derivative assets		414			414
30	NSFR derivative liabilities before deduction of variation margin posted		11 296			565
31	All other assets not included in the above categories		9 302	692	54 006	58 690
32	Off-balance sheet items		445 202			22 391
33	Total RSF					1 734 333
34	Net Stable Funding Ratio (%)					124

EU LIQB on qualitative information on LCR, which complements template EU LIQ1
In accordance with Article 451a(2) CRR.

Explanations on the main drivers of LCR results and the evolution of the contribution of inputs to the LCR's calculation over time.

The main drivers of the LCR are issued unsecured debt, non-operational deposits and central bank placements. The goal is to manage these three inputs so that they are highly correlated as regards to volume changes. By controlling these inputs, the Bank has achieved a relatively stable LCR over time.

Explanations on the changes in the LCR over time.

The LCR has been quite stable over time. However, given the nature of the measure there are inevitable fluctuations caused by slight changes in the maturity structure of Handelsbanken's issued debt and also from client activities (e.g. deposits, loans issued/repaid). Changes also occur due to the nature of LCR being a fraction where equal increases, or decreases, in outflows and liquid assets will incur a change in the LCR.

Explanations on the actual concentration of funding sources.

The actual concentration follows from the Bank's funding strategy. The strategy aims for well-diversified funding in terms of currencies, investors, debt types and geographic breakdown. The strategy is long-term and has been followed for many years. The result is a funding structure that is relatively stable over time. The most important sources of funding are deposits from households and companies as well as covered and senior bonds. The short-term funding mainly comprises deposits from financial companies and institutions as well as issues of commercial papers and certificates of deposit.

High-level description of the composition of the institution's liquidity buffer.

The liquidity reserve is built up by several different parts. Cash, central bank balances and liquid securities (government bonds, covered bonds and other securities of very high credit quality). Holdings which can provide Handelsbanken with almost immediate liquidity in normal and stressed situations in the relevant currencies for Handelsbanken.

Derivative exposures and potential collateral calls.

Cash flows stemming from derivative exposures and potential collateral calls are reported in row 11 and 19, where row 11 also includes outflows from the impact of an adverse market scenario on derivatives transactions (the historical look back approach) as well as material outflows due to deterioration of own credit quality.

Currency mismatch in the LCR.

The Bank holds large and relevant liquidity reserves to match the outflows and inflows of LCR in all currencies of relevance for Handelsbanken. The Swedish Financial Supervisory Authority also stipulates a 100% LCR in EUR, USD and 75% LCR in all other significant currencies for Handelsbanken within the framework of the supervisory review and evaluation process in Pillar 2 which the Bank is also obligated to fulfil.

Other items in the LCR calculation that are not captured in the LCR disclosure template but that the institution considers relevant for its liquidity profile.

Not applicable.

ENCUMBERED AND UNENCUMBERED ASSETS

EU AE1

The following table shows encumbered and unencumbered assets. The information is presented as quarterly medians over the previous 12 months.

Encumbered and unencumbered assets 2024		Carrying amount of encumbered assets		Fair value of encumbered assets		Carrying amount of unencumbered assets		Fair value of unencumbered assets	
			of which notionally eligible EHQLA and HQLA		of which notionally eligible EHQLA and HQLA		of which EHQLA and HQLA		of which EHQLA and HQLA
SEK m		010	030	040	050	060	080	090	100
010	Assets of the reporting institution	798 073	18 751			2 626 609	852 399		
030	Equity instruments	10 757				15 165			
040	Debt securities	16 501	16 221	16 501	16 501	255 819	249 368	256 329	249 368
050	of which: covered bonds	1 334	1 268	1 334	1 334	41 196	38 795	41 196	38 795
060	of which: asset-backed securities								
070	of which: issued by general governments	14 214	14 214	14 214	14 214	19 237	19 200	19 237	19 200
080	of which: issued by financial corporations	1 555	1 489	1 555	1 555	47 490	44 271	48 000	44 271
090	of which: issued by non-financial corporations					4 663	1 154	4 663	1 154
120	Other assets	770 815	2 441			2 354 247	601 894		

EU AE2

The following table shows collateral received. The information is presented as quarterly medians over the previous 12 months.

Collateral received and own debt securities issued 2024		Fair value of encumbered collateral received or own debt securities issued		Unencumbered	
				Fair value of collateral received or own debt securities issued available for encumbrance	of which EHQLA and HQLA
SEK m		010	030	040	060
130	Collateral received by the disclosing institution	6 917	3 875	44 721	37 138
140	Loans on demand				
150	Equity instruments	3 171		7 583	
160	Debt securities	3 875	3 875	37 138	37 138
170	of which: covered bonds	1 343	1 343	32 000	32 000
180	of which: asset-backed securities				
190	of which: issued by general governments	2 256	2 256	3 621	3 527
200	of which: issued by financial corporations	1 343	1 343	33 688	33 688
210	of which: issued by non-financial corporations				
220	Loans and advances other than loans on demand				
230	Other collateral received				
240	Own debt securities issued other than own covered bonds or asset-backed securities				
241	Own covered bonds and securitisation issued and not yet pledged				
250	Total assets, collateral received and own debt securities issued	807 863			

EU AE3

The following table shows sources of encumbrance. The information is presented as quarterly medians over the previous 12 months.

Sources of encumbrance 2024		Matching liabilities, contingent liabilities or securities lent	Assets, collateral received and own debt securities issued other than covered bonds and ABSs encumbered
SEK m		010	030
010	Carrying amount of selected financial liabilities	701 394	787 289

EU AE4 Accompanying narrative information

In accordance with Article 443 CRR.

General narrative information on asset encumbrance, including:

An important part of Handelsbanken's liquidity management is to retain significant volumes of unutilised collateral that can be used in the event of disruptions in the financial markets. One prerequisite for being able to pledge additional collateral is for the Bank to have unutilised collateral at its disposal from the outset. The Bank therefore retains substantial volumes of non-encumbered assets that could be used as collateral in the issue of covered bonds. Furthermore, the Bank holds liquid securities with very high credit ratings which can be used as collateral in repo-transactions.

The Bank is restrictive with entering into agreements (such as CSA agreements) with other parties than credit institutions, that stipulate that the Bank, according to certain criteria, may be forced to provide collateral to a counterparty.

To assess the degree of subordination between investors of unsecured funding and secured funding, the volume and credit quality of the non-encumbered assets are important factors. The Bank's low risk tolerance ensures that the non-encumbered assets are of a high quality. Since Handelsbanken wishes to have a balanced utilisation of covered and senior bonds, there is a large volume of mortgage loans which are not encumbered. Other non-encumbered loans are also of a good credit quality and thus available for contingent purposes.

a) an explanation of any difference between the regulatory consolidation scope used for the purpose of the disclosures on asset encumbrance and the scope retained for the application of the liquidity requirements on a consolidated basis as defined in Chapter 2 of Title I of Part Two CRR, which is used to define (E)HQLA eligibility;

There are no differences.

b) an explanation of any difference between, on the one hand, pledged and transferred assets in accordance with the applicable accounting frameworks and as applied by the institution and, on the other hand, encumbered assets and an indication of any difference of treatment of transactions, such as when some transactions are deemed to lead to pledge or transfer of assets but not to encumbrance of assets, or vice versa;

There are no differences.

c) the exposure value used for the purposes of disclosure and how median exposure values are derived.

The exposure value used for the purposes of disclosure is based on the accounting balances of each counterparty and quarter.

Narrative information relating to the impact of the institution's business model on its level of encumbrance and the importance of encumbrance on the institution's funding model, including the following:

a) the main sources and types of encumbrance, detailing, where applicable, encumbrance due to significant activities with derivatives, securities lending, repos, covered bonds issuance and securitisation;

Encumbrance is primarily a product of covered bonds issuance and to a lesser extent derivatives trading and banking book hedging.

b) the structure of encumbrance between entities within a group, and especially whether the encumbrance level of the consolidated group stems from particular entities and whether there is significant intragroup encumbrance;

The majority of the encumbered assets consist of Stadshypotek's cover pools, which comprise mortgage loans provided as collateral for outstanding covered bonds. There is no significant intragroup encumbrance.

c) information on over-collateralisation, especially regarding covered bonds and securitisations, and the incidence of over-collateralisation on the levels of encumbrance;

The majority of the encumbered assets consist of Stadshypotek's cover pools, which comprise mortgage loans provided as collateral for outstanding covered bonds. The Bank also has voluntary OC (over-collateralisation – extra assets in addition to those which are needed to cover the issued bonds, and in addition to the 2% statutory requirement) of 8% which is included in the pool.

d) additional information on encumbrance of assets, collateral and off-balance sheet items and the sources of encumbrance by any significant currencies other than the reporting currency as referred to in Article 415(2) CRR;

The main source of encumbrance in significant currencies other than the reporting currency is from the Norwegian cover pool in NOK, approximately 10.2% of encumbered assets. There is also a small proportion of other significant currencies, mainly EUR and GBP.

e) a general description of the proportion of items included in column 060 'Carrying amount of unencumbered assets' in Template EU AE1 that the institution would not deem available for encumbrance in the normal course of its business (e.g. intangible assets, including goodwill, deferred tax assets, property, plant and other fixed assets, derivative assets, reverse repo and stock borrowing receivables);

The proportion of items included in column 060 'Carrying amount of unencumbered assets' in Template EU AE1 that the Bank deem as not available for encumbrance in the normal course of business amounts to approximately 3.3%. This consist of intangible assets such as goodwill, deferred tax assets, property, plant and other fixed assets, derivative assets, reverse repo and stock borrowing receivables. Stemming from the previous divestments of operations in Finland, a decision was made that the remaining part of the Bank's balance sheet in Finland is not to be considered available for encumbrance. These assets account for 3.0% of the available assets.

f) the amount of underlying assets and of cover pool assets of retained securitisations and retained covered bonds, and whether those underlying and cover pool assets are encumbered or unencumbered, along with the amount of associated retained securitisations and retained covered bonds;

The Bank does not have any retained securitisations nor retained covered bonds.

g) where relevant for explaining the impact of their business model on their level of encumbrance, details (including quantitative information if relevant) on each of the following:

Not relevant.

h) where relevant in the context of their use of encumbrance in relation to their business model, additional information on the breakdown of the following rows in the templates EU AE1, EU AE2 and EU AE3:

Not relevant.

Market risk

Handelsbanken aims to have low market risks and low volatility in its earnings. Market risks mainly arise in Handelsbanken Markets as a result of customer-driven transactions, in its role as market maker and in connection with the Bank's funding and liquidity management. Market risks arise from price and volatility changes in the financial markets. Market risks are divided into interest rate risk, equity price risk, foreign exchange risk and commodity price risk.

EU MRA Qualitative disclosure requirements related to market risk

Points (a) and (d) of Article 435 (1) CRR

A description of the institution's strategies and processes to manage market risk, including:

- An explanation of management's strategic objectives in undertaking trading activities, as well as the processes implemented to identify, measure, monitor and control the institution's market risks
- A description of their policies for hedging and mitigating risk and strategies and processes for monitoring the continuing effectiveness of hedges

Handelsbanken has a restrictive view of market risks. Market risks in the banking operations are primarily taken as part of meeting customer's investment and risk management needs. Market risks must be limited by matching cash flows and interest rate adjustment periods, hedging open positions and taking other actions to limit risk. Market risks at Handelsbanken are thus very low. As a result of the Bank's market risk strategy, only a small fraction of the Bank's earnings comes from net gains/losses on financial transactions.

Market risks arise in Handelsbanken's operations in the non-trading book primarily as a result of interest rate and currency positions, which arise in the Bank's funding and lending activities. Market risk arises in cases when these positions cannot be perfectly matched. In addition to customer-driven positions, market risks may also originate from positions required for conducting banking operations, such as Handelsbanken Treasury's liquidity portfolio. Market risks in the trading book arise primarily within Handelsbanken Markets, to meet customers' demand for financial instruments with exposure to the fixed-income, currency, equities or commodity markets. Furthermore, market risks may also arise in connection with the Bank's market maker function. In addition to the above, market risks also arise as a part of Handelsbanken Liv's operations and in the Bank's pension system.

The Bank's limit system restricts the size of the exposure to market risks. Measurement methods and limits are established by the Board. The CFO has the functional responsibility for liquidity and funding, while the Head of Handelsbanken Treasury, who reports to the CFO, is responsible for the Group's liquidity and funding. This responsibility includes managing the Group's interest rate, foreign exchange and liquidity risks in its banking operations. The limits for interest rate, foreign exchange and liquidity risk are allocated by the CEO and CFO to the Head of Handelsbanken Treasury, who in turn allocates these to the business-operating units. Limits for equity price risk and commodity price risk are allocated directly to Handelsbanken Markets by the CFO. The CEO and the CFO also decide on supplementary risk measures, intraday limits and detailed guidelines. The supplementary limit measures aim to reduce the Bank's sensitivity to volatility changes in the financial markets, and to limit the risks of specific holdings and the liquidity risk per currency. These measures also limit the risks from a maturity perspective. The Board, CEO and CFO regularly receive reports on the market risks and utilisation of the limits.

Market risks are measured using several different methods. The sensitivity measures used show which changes in value would occur in the event of predefined changes in prices and volatilities. Position-related risk measures and probability-based Value at Risk models (VaR) are also used.

Point (b) of Article 435 (1) CRR

A description of the structure and organisation of the market risk management function, including a description of the market risk governance structure established to implement the strategies and processes of the institution discussed in row (a) above, and that describes the relationships and the communication mechanisms between the different parties involved in market risk management.

Handelsbanken's Board has overall responsibility for the Bank's management of market risks and establishes internal rules for this. The financial policy describes the Bank's risk tolerance and risk strategy, and applies to the entire Group. Guidelines from the CEO and instructions from the CFO concretise these policies. These instructions include details of risk management and strategy. Within this structure, each part of the business operations bears the responsibility for its own business activities and its management of all risks. However, the risks that arise in conjunction with funding and liquidity management are centralised to Handelsbanken Treasury under the CFO, and Handelsbanken Markets manages the majority of the risks in the trading book. The control functions monitor to ensure that the operations are conducted within the limits of the Bank's risk tolerance and reports on the risks to the Board and senior management.

The Central Board sets limits at Group level for each type of risk. The limits for market risks that are allocated by the Central Board to the CEO are further delegated to the CFO. The CFO in turn allocates the limits and decision-making power concerning limits within the business operations. The limits for interest rate risk, foreign exchange risk and liquidity risk are delegated to the Head of Handelsbanken Treasury, who has overall responsibility for these Asset Liability Management (ALM) risks. The Head of Handelsbanken Treasury then allocates the limits between the different business-operating units. Limits for equity price risk and commodity price risk, along with limits for various risks associated with trading in derivatives, are allocated by the CFO directly to Handelsbanken Markets.

Point (c) of Article 435 (1) CRR

Scope and nature of risk reporting and measurement systems

The Bank's limit system restricts the size of the exposure to market risks. Measurement methods and limits are established by the Board. The CFO has the functional responsibility for liquidity and funding, while the Head of Handelsbanken Treasury, who reports to the CFO, is responsible for the Group's liquidity and funding. This responsibility includes managing the Group's interest rate, foreign exchange and liquidity risks in its banking operations. The limits for interest rate, foreign exchange and liquidity risk are allocated by the CEO and CFO to the Head of Handelsbanken Treasury, who in turn allocates these to the business-operating units. Limits for equity price risk and commodity price risk are allocated directly to Handelsbanken Markets by the CFO. The CEO and the CFO also decide on supplementary risk measures, intraday limits and detailed guidelines. The supplementary limit measures aim to reduce the Bank's sensitivity to volatility changes in the financial markets, and to limit the risks of specific holdings and the liquidity risk per currency. These measures also limit the risks from a maturity perspective. The Board, CEO and CFO regularly receive reports on the market risks and utilisation of the limits.

MARKET RISK

Market risks are measured using several different methods. VaR is calculated for the portfolios at Handelsbanken Markets and Treasury which are classified as trading book. VaR is a probability-based measure and expresses the losses in Swedish kronor from risk positions that cannot be expected to be exceeded due to movements in the underlying markets over a specified holding period and for a given confidence level.

General interest rate risk is measured daily, and limits are set as the absolute sum of the least favourable changes in fair value per currency in the case of instantaneous upward or downward parallel shifts of 1 percentage point for all interest rates. Specific interest rate risk is measured and limited by using sensitivity to changes in credit spreads, that is, the difference between the interest on the current holding and the yield on a government bond with the same maturity. The risk is measured and limits set on the basis of different rating classes and is calculated as the least favourable change in market value in the case of an upward or downward shift of one basis point in all credit spreads.

Changes in the risks in the case of hypothetical changes in various interest rate curves, such as steepening, flattening and basis risk, are measured and followed up on a regular basis. The non-linear interest rate risk, for example, part of the risk in interest rate options, is measured and a limit set with pre-defined stress scenarios expressed in matrices. This means that the risk is measured as changes in underlying market interest rates and volatilities. VaR and other risk measures are also used for the trading book, supplemented by various stress scenarios.

To estimate the effect of interest rate changes on the income statement, the net interest income risk is also measured. The net interest income risk is measured as the least favourable change in net interest income over a 12-month period in the case of a 1 percentage point increase or decrease in market rates. This effect reflects the differences in interest rate adjustment periods and volume composition between assets, liabilities and derivatives outside the trading book, assuming that the size of the balance sheet is constant.

Equity price risk is measured as the market value change in the Bank's total equity positions in the case of an instantaneous change in equity prices of +/-10 % and in volatilities of +/-25 %.

The structural foreign exchange risk is managed by considering the trade-off between the respective impacts of foreign exchange movements on either capital ratios or equity. The Board has established the maximum impact on equity which the structural foreign exchange position is permitted to give rise to in the hedging of the common equity tier 1 ratio and the maximum permitted position and sensitivity in the common equity tier 1 ratio due to fluctuations in exchange rates. The Board, CEO and CFO have set VaR limits and position limits for foreign exchange risk for non-structural risk, i.e. in the trading and non-trading book operations.

Commodity price risk, both linear and non-linear, is measured as the absolute total of risk for all commodities to which the Bank is exposed.

EU MR1

The following table shows RWEAs for market risk according to the standardised approach at year-end 2024

Market risk under the standardised approach 2024		RWEAs
SEK m		
Outright products		
1	Interest rate risk (general and specific)	3 462
2	Equity risk (general and specific)	16
3	Foreign exchange risk	18 923
4	Commodity risk	4
Options		
5	Simplified approach	
6	Delta-plus approach	
7	Scenario approach	107
8	Securitisation (specific risk)	
9	Total	22 511

IRRBB

EU IRRBBA Qualitative information on interest rate risks of non-trading book activities**Article 448(1), point (e)**

A description of how the institution defines IRRBB for purposes of risk control and measurement

Interest rate risk is defined as the risk of earnings and the economic value being affected in an adverse manner for the Bank, as a result of fluctuations in interest rates and volatilities. Exposure to interest rate risk in the non-trading book is divided into general and specific risk (credit spread risk). The general interest rate risk is measured as the change in the economic value of all interest rate risk sensitive items on and off the balance sheet given a momentaneous 1 percentage point change in interest rate curves. The specific interest rate risk is calculated as the changes in economic value for credit-sensitive securities given a one basis point parallel shift in the current credit spread. This is calculated by rating level, sector and by individual counterparty.

The regulatory capital requirement for interest rate risk is measured on the basis of the EBA guidelines. Model and parametric assumptions are different where the Swedish FSA has additional requirements (FI dnr 24-4186). The internal capital assessment for IRRBB is included in the Bank's model for economic capital. IRRBB in the economic capital model is based on empirical scenarios for general interest rate risk, credit spread risk and basis spread risk. Scenarios span from the 1980s to the present day and cover the Swedish banking crisis in the early 1990s, the financial crisis of 2008 and the Covid-19 pandemic in the early 2020s.

Interest rate risk limit utilisation is measured daily. The regulatory capital requirement for IRRBB is calculated daily and reported quarterly to the Board and senior management. IRRBB in the economic capital model is calculated monthly but may be calculated on a daily basis if deemed necessary. Internal hedges and the boundary between the trading and the non-trading book are monitored and regularly evaluated.

Net interest income risk is measured on the basis of the EBA guidelines. Net interest income stress testing is included in Group-wide stress and scenario analysis. It provides forward-looking assessments of risk and provides indications of how much capital might be needed to absorb losses in adverse market conditions. The various scenarios are formulated by Handelsbanken Risk Control and Treasury. The selected scenarios all represent possible adverse economic trends for the Bank. Scenario analysis is conducted regularly, at least quarterly.

Article 448(1), point (f)

A description of the institution's overall IRRBB management and mitigation strategies.

The Board determines the overall market risk tolerance and sets limits for the entire Group within each type of risk. The Bank applies a hierarchical limit structure for financial risks where a set of limits is delegated from the Board to the CEO and, in turn, to the CFO. The CFO has the function responsibility for the Bank's liquidity and funding, and manages the Bank's interest rate risks in the banking operations in accordance with internal and external rules and regulations. The CFO allocates ALM limits (Asset Liability Management) to the Head of Handelsbanken Treasury, who is responsible for the management of ALM throughout the Group and allocates ALM limits to the various business units. Handelsbanken Risk Control is responsible for identifying, measuring, analysing and reporting interest rate risks. Interest rate risks and limit utilisation for Handelsbanken Treasury, the mortgage loan business and other operations, are checked and summarised on a daily basis.

Handelsbanken Risk Control calculates the capital requirement for IRRBB both according to regulatory requirements and according to the Bank's internal model for economic capital. The Board, CEO, CFO and CRO continually receive reports on the market risks, utilisation of the limits and capital requirements. Handelsbanken Internal Audit regularly reviews whether risk measurement and reporting are being undertaken in compliance with internal rules and regulatory requirements.

According to internal policies, the Bank's funding must be well-diversified in terms of markets, currencies and maturities. When the Bank obtains funding on markets other than those in which the primary lending currencies are used, foreign exchange risk arises. Derivatives are used to transform the duration and currency of assets and liabilities in order to reach a suitable match and ensure stable earnings. Derivatives in the non-trading book consist solely of vanilla instruments: interest rate swaps, cross currency basis swaps, FX-swaps and bond futures. The maturity profile of the funding is matched to that of the lending in order to restrict interest rate risk. In general, interest rate risk exposure is in markets which are characterised by good liquidity.

Article 448(1), points (e) (i) and (v); Article 448(2)

The periodicity of the calculation of the institution's IRRBB measures, and a description of the specific measures that the institution uses to gauge its sensitivity to IRRBB

Interest rate risk limit utilisation is evaluated daily. The net interest income risk and the regulatory capital requirement for IRRBB is calculated daily and reported quarterly to the Board and senior management. IRRBB in the Economic capital model is calculated monthly but may be calculated on a daily basis if deemed necessary. Internal hedges and the boundary between the trading and the non-trading book are monitored and regularly evaluated. Net interest income stress testing is conducted regularly and reported quarterly to the Board and senior management.

Article 448(1), point (e) (iii); Article 448(2)

A description of the interest rate shock and stress scenarios that the institution uses to estimate changes in the economic value and in net interest income (if applicable)

The general interest rate risk limit is measured as the change in profit and economic value of all interest rate risk sensitive items on and off the balance sheet when there is a 1 percentage point change in current interest rate levels. Non-parallel gap risk limit is measured in a steepening scenario (short rates fall and long rates increase), short rates down scenario, long rates down scenario, and mid rates down scenario. The specific interest rate risk limit is calculated as the changes in value for credit-sensitive holdings in the case of a one basis point parallel shift in current credit spreads.

The Bank also measures interest rate risk and net interest income risk according to EBA/RTS/2022/10 and in line with EBA/GL/2022/14. Model and parametric assumptions are detailed by the Swedish FSA (FI dnr 24-4186). The internal capital assessment for IRRBB is included in the Bank's model for economic capital. IRRBB in the economic capital model is purely based on empirical scenarios for general interest rate risk, credit spread risk and basis spread risk. Scenarios span from the 1980s to the present day and cover the Swedish banking crisis in the early 1990s, the financial crisis of 2008 and the Covid-19 pandemic in the early 2020s. Net interest income stress testing includes various scenarios formulated by Handelsbanken Risk Control and Treasury. The selected scenarios all represent possible adverse economic trends for the Bank. Net interest income risk is also measured and reported for a 1 percentage point parallel shift of interest curves over a one-year horizon.

MARKET RISK

Article 448(1), point (e) (ii); Article 448(2)

A description of the key modelling and parametric assumptions different from those used for disclosure of template EU IRRBB1 (if applicable)

The general interest rate risk limit is measured as the change in profit and economic value of all interest rate risk sensitive items on and off the balance sheet when there is a 1 percentage point change in current interest rate levels. Non-parallel gap risk limit is measured in a steepening scenario (short rates fall and long rates increase), short rates down scenario, long rates down scenario, and mid rates down scenario. The specific interest rate risk limit is calculated as the changes in value for credit-sensitive holdings in the case of a one basis point parallel shift in current credit spreads.

The regulatory capital requirement for interest rate risk is measured based on the EBA guidelines. Model and parametric assumptions are detailed by the Swedish FSA (FI dnr 24-4186). The internal capital assessment for IRRBB is included in the Bank's model for economic capital. IRRBB in the economic capital model is based on empirical scenarios for general interest rate risk, credit spread risk and basis spread risk. Scenarios span from the 1980s to the present day and cover the Swedish banking crisis in the early 1990s, the financial crisis of 2008 and the Covid-19 pandemic in the early 2020s. Net interest income stress testing includes various scenarios formulated by Handelsbanken Risk Control and Treasury. The selected scenarios all represent possible adverse economic trends for the Bank. Net interest income risk is also measured and reported for a 1 percentage point parallel shift of interest curves over a one-year horizon.

Article 448(1), point (e) (iv); Article 448(2)

A high-level description of how the bank hedges its IRRBB, as well as the associated accounting treatment (if applicable).

Interest rate risk in the non-trading book is generally hedged at portfolio level. Derivatives are used to transform the duration and currency of assets and liabilities in order to reach a suitable match and ensuring stable earnings. The Bank employs hedge accounting to hedges and hedged items.

Article 448(1), point (c); Article 448(2)

A description of key modelling and parametric assumptions used for the IRRBB measures in template EU IRRBB1 (if applicable)

Handelsbanken has been modelling the interest rate adjustment periods of non-maturity deposits (NMD) since 2015. The starting point of the model is to assign deposit customers into Retail-transactional, Retail-non-transactional and Wholesale. Within each category there are a number of deposits products. The repricing of each product type is then determined based on historical Handelsbanken deposit rates, market rates and customer behaviour. NMD from financial institutions are excluded from the modelling. For net interest income risk, additional repricing assumptions are made for mortgage loans. The mortgage loans are divided into subgroups to take into consideration different behavioural aspects.

Article 448(1), point (d)

Explanation of the significance of the IRRBB measures and of their significant variations since previous disclosures

The regulatory capital requirement for IRRBB is calculated daily and reported quarterly to the Board and senior management. Regulatory capital is evaluated together with the internal capital requirement for IRRBB calculated in Handelsbanken's model for economic capital and with the results from internal models for IRRBB.

i) Any other relevant information regarding the IRRBB measures disclosed in template EU IRRBB1 (optional)

(1) (2) Article 448(1), point (g)

Disclosure of the average and longest repricing maturity assigned to non-maturity deposits

The Bank applies a duration of 0.29 years for non-maturity deposits on average. The average duration for core is 1.09 years and 10 years the longest.

EU IRRBB1

Interest rate risks of non-trading book activities 2024		Changes of the economic value of equity		Changes of the net interest income	
Supervisory shock scenarios					
SEK m		Current period	Last period	Current period	Last period
1	Parallel up	-1 099	-897	4 476	4 263
2	Parallel down	1 425	561	-5 117	-5 208
3	Steepener	-850	-203		
4	Flattener	206	-670		
5	Short rates up	-281	-933		
6	Short rates down	-146	-106		

Credit risk

Handelsbanken's low risk tolerance is maintained by means of a strong credit policy and credit culture. The Bank's credit policy states that credits must normally have satisfactory collateral. A weak repayment capacity can never be accepted on the grounds that good collateral has been offered to the Bank. The same principles for the Bank's approach to risks apply in all countries where the Bank operates and are sustainable over time. The decentralised working method combined with a local presence and the Bank's low risk tolerance are important reasons for the Bank reporting very low credit losses over a long period.

CREDIT QUALITY

EU CRA General qualitative information about credit risk
Institutions shall describe their risk management objectives and policies for credit risk by providing the following information:

In the concise risk statement in accordance with point (f) of Article 435(1) CRR, how the business model translates into the components of the institution's credit risk profile.
 See EU OVA.

When discussing their strategies and processes to manage credit risk and the policies for hedging and mitigating that risk in accordance with points (a) and (d) of Article 435(1) CRR, the criteria and approach used for defining the credit risk management policy and for setting credit risk limits.

The Board has overall responsibility for the Bank's risk management and establishes internal rules for this. The Board establishes various steering documents and the CEO establishes guidelines describing how risks should be managed and reported.

The Bank's operations entail a variety of risks that are systematically identified, measured, managed and reported in all parts of the Group. Handelsbanken's restrictive approach to risk means that the Bank deliberately avoids high-risk transactions. This low risk tolerance is maintained through a strong risk culture that is sustainable in the long term and applies to all areas of the Group. The risk culture is an integral part of the Bank's work and is deeply rooted among the Bank's employees. The Bank is characterised by a clear division of responsibility where each part of the business operations bears full responsibility for its business and for risk management. As a consequence, there are strong incentives for high risk awareness and for prudence in business operations. However, the decentralised business model is combined with strong centralised controls. The same principles for the Bank's approach to risks apply in all countries where the Bank operates.

The credit policy and credit instructions describe the Bank's risk tolerance, including credit risk limits and risk strategy, and apply to the entire Group. These steering documents are evaluated and adopted by the Board on an annual basis. Handelsbanken has a low tolerance of credit risks and strives to maintain its historically low level of credit losses compared to other banks.

Each branch has full financial responsibility for granted credits. Therefore, it addresses problems that arise when a customer has repayment difficulties and also bears any credit losses. If necessary, the local branch obtains support from the local head office and central departments. The Bank makes sure that all employees whose work involves transactions linked to credit risk acquire a solid and well-founded approach to this type of risk. This approach forms an important part of the Bank's culture. The working method and approach described are important reasons for the Bank's very low credit losses over a long period. Customer and credit responsibility lies with the branch manager or with the employees appointed by the manager of the local branch. In Handelsbanken's decentralised organisation, the documentation that forms the basis for credit decisions is always prepared by the branch responsible for the credit, regardless of whether the final decision is to be made at the branch, at local level, in the Board's credit committee or by the Board. The Bank has an established method, including criteria for evaluating customers which is laid down by the Board in the credit policy. Branch managers and most branch staff have personal decision limits allowing them to decide on credits to the customers they manage. For decisions on larger credit limits, there are local and central decision levels. Each additional level of decision adds credit expertise and experience. Each decision level has the right to reject credit limits both within their own decision level and also credit limits which would otherwise have been approved at a higher level. All staff throughout the decision process who are responsible for granting credits, regardless of level, must be in agreement in order to positively decide on a credit limit. If there is the slightest doubt among any of these

staff, the credit application is rejected. The largest credits are reviewed by Handelsbanken Credit and decided by the Board or the credit committee set up by the Board. However, no credit application may be processed in the Bank without the recommendation of the branch manager who is responsible for the credit, with the exception of retail credit commitments made via automatic processes.

In Handelsbanken's decentralised organisation, where a large proportion of the credit and credit limit decisions are made by individual branches, a well-functioning review process is crucial for ensuring high-quality decision-making. The branch manager examines the quality of the staff's decisions and the local credit departments examine the quality of decisions made by branch managers. The purpose of the quality review is to ensure that the Bank's credit policy and internal instructions are complied with, that credit quality is maintained, and that credit and credit limit decisions show that there is good credit judgement and a sound business approach. A corresponding quality review is also performed for credit limit decisions made at higher levels in the Bank. Credit limits granted by county manager in tandem with head of local credit department, or country credit committees, and national boards, are examined by Handelsbanken Credit, which also prepares and examines credit limits decided by the Board or the credit committee set up by the Board.

The Policy for risk control states that Handelsbanken should have a risk control function that is independent of the functions that are to be monitored. Risk control should be enforced regarding all material risks in Handelsbanken, with the exception of compliance risks, which are within the purview of Handelsbanken Compliance. The risk control function should verify that all material risks to which the Group is exposed, or may be exposed to in the future, are identified and managed by the relevant functions, and should also supervise and monitor the Group's risk management. In addition, the function must identify risks arising as a result of deficiencies in the Group's risk management. The risk control function should also verify that every business unit monitors all its material risks in an efficient manner.

The Bank's credit policy states that credits must normally have satisfactory collateral. A weak repayment capacity can never be accepted on the grounds that good collateral has been offered to the Bank. Collateral may, however, substantially reduce the Bank's loss if the borrower cannot fulfil his or her obligations. Credits must therefore be adequately secured. The local branch's close contact with its customers enables the branch to quickly identify any problems and take action. In many cases, this means that the Bank can take action more rapidly than would have been possible with a more centralised management of problem loans. The Bank's measures to limit its credit risk include the acceptance of collateral from customers. The primary means of reducing credit risk in the Bank is the pledging of immovable property, such as residential properties and other real estate, floating charges on assets, guarantees (including guarantor commitments) and the use of netting agreements.

The basic principle applied in property finance is that credits must be covered by collateral in the form of properties. For exposures with properties as collateral, a loan-to-value (LTV) ratio is calculated by dividing the credit exposure by the value of the collateral. The Bank follows internal recommendations and external regulations which limit the maximum amount of a loan for which the collateral is property.

The value of collateral is reviewed in accordance with internal instructions on an annual basis and is based on the estimated market value. Reviews are carried out more often if the market conditions have changed significantly.

The size of counterparty exposures is restricted by credit limits in the regular credit process. The size of the exposures may vary substantially due to fluctuations in the price of the underlying asset. In order to take into consideration the risk that the exposure may increase, supplements are added to the value of the exposure when

CREDIT RISK

setting credit limits. These add-ons are calculated using standard amounts that depend on the type of contract and the time to maturity. The exposures are calculated and followed up daily. The counterparty risk in derivatives is reduced through close-out netting agreements, which involve offsetting positive values against negative values in all derivative transactions with the same counterparty. Netting agreements are supplemented with agreements for issuing collateral for the net exposure (Credit Support Annex, CSA), which further reduce the credit risk. The collateral for these transactions is mainly cash, but government securities are also used. Due to the high proportion of cash, concentration risks in the collateral are limited. The majority of Handelsbanken's agreements include close-out netting, and the agreements with the largest exposures, which are to financial institutions, also include CSAs. Derivatives which are cleared via central counterparties also give rise to capital requirements. Central counterparties are clearing houses which act as the counterparty for both the buyer and seller in various transactions, and thus take over the responsibility for fulfilling the parties' obligations.

All parties which use a central counterparty must provide collateral for all transactions. In most cases the risk weight for centrally cleared derivatives is considerably lower than for other types of derivatives.

When informing on the structure and organisation of the risk management function in accordance with point (b) of Article 435(1) CRR, the structure and organisation of the credit risk management and control function.

At Handelsbanken, the credit process is based on a conviction that a decentralised organisation with local presence ensures high quality in credit decisions. The Bank is a relationship bank whose branches maintain regular contact with the customer. This gives the branch an in-depth knowledge of each individual customer and a continually up-to-date picture of the customer's financial situation.

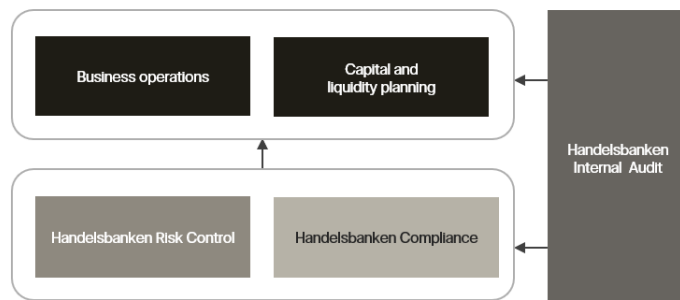
In Handelsbanken's decentralised organisation, a well-functioning review process, involving the local credit department and Handelsbanken Credit, is crucial for ensuring high-quality decision-making. The branch manager examines the quality of the staff's decisions and the local credit departments examine the quality of decisions made by branch managers. A corresponding quality review is also performed for credit limit decisions made at higher levels in the Bank. The purpose of the quality review is to ensure that the Bank's credit policy and internal instructions are complied with, that credit quality is maintained, and that credit and credit limit decisions show that there is good credit judgement and a sound business approach. Credit limits granted by a county manager in tandem with head of local credit department, or country credit committees, and national boards, are examined by Handelsbanken Credit, which also prepares and examines credit limits decided by the Board or the credit committee set up by the Board.

The Board's Policy for risk control states that the risk control should be independent from the functions it monitors.

Handelsbanken's framework for risk control also shows that the independent risk control and risk control units for subsidiaries are independent and organisationally separated from the units they monitor. Handelsbanken Risk Control's role and independence from the operations under review is described in Handelsbanken's Corporate Governance Report, for example.

When informing on the authority, status and other arrangements for the risk management function in accordance with point (b) of Article 435(1) CRR, the relationships between credit risk management, risk control, compliance and internal audit functions.

Handelsbanken's risk management and risk control



Handelsbanken Credit, part of the business operations and the first line of defence, bears the overall responsibility for the Bank's credit process, and for preparing every major credit case that the Board's credit committee or the Board as a whole decides on. The Chief Credit Officer reports to the CEO and is a member of the credit committee established by the Board. The Chief Credit Officer also reports to the Board about losses and risks in the credit portfolio.

Handelsbanken Risk Control, the second line of defence, is responsible for independent monitoring and control of the credit risk management carried out by the business operations. Handelsbanken Risk Control is further responsible for identifying, measuring, analysing and for continuously reporting the current credit risk situation in the Group to the Bank's management and Board internally at an aggregated level. The risk control function is also responsible for ensuring that the measurement methods used for the calculation of capital requirements are fit for purpose and also for regularly evaluating the IRB system. Handelsbanken Risk Control reports continually to the CEO and on a regular basis to the risk committee and the Board.

Handelsbanken Compliance is an independent second line function whose main tasks comprise identifying, monitoring, controlling and reporting on compliance risks within the Group, as well as providing advice and support about compliance. Handelsbanken Compliance is also responsible for the Group's contacts with public authorities regarding supervision of the Group's licensed operations. The Chief Compliance Officer reports continually to the CEO on matters regarding compliance in the Group, as well as quarterly to the risk committee and the Board.

Handelsbanken Internal Audit, the third line of defence, is governed by, and reports to, the Board. It performs independent periodic reviews and verifies that Handelsbanken Risk Control's, Handelsbanken Credit's and the business operations' risk management is adequate and compliant. The internal auditors are in turn evaluated by external auditors.

EU CRB Additional disclosure related to the credit quality of assets.

The scope and definitions of 'past-due' and 'impaired' exposures used for accounting purposes and the differences, if any, between the definitions of past due and default for accounting and regulatory purposes as specified by the EBA Guidelines on the application of the definition of default in accordance with Article 178 CRR.

"Past-due" is defined as a borrower having an unsettled, overdue payment (interest, repayment instalment or fee not paid by the due date). The definition of "impaired" is identical with the definition of default. There is no difference between the definitions of past due and default for accounting and regulatory purposes.

The extent of past-due exposures (more than 90 days) that are not considered to be impaired and the reasons for this.

There are some cases where exposures that are more than 90 days past due are not considered to be impaired. Those cases are: either the past-due amount is insignificant or the reason for the overdraft is technical, meaning that it has been caused by deficiencies in systems outside the control of the customer and the customer is not considered to be in default for any other reason. The definition of insignificant is:

For retail exposures (Private individuals and Small companies) default is reported when the unpaid, overdue amount exceeds the equivalent of

- 1) SEK 1 000, and
- 2) 1% of the agreement's exposure

For corporate exposures (Corporate, Bank, Sovereign and Municipality), when the unpaid, overdue amount exceeds the equivalent of

- 1) SEK 5 000, and
- 2) The relative threshold of 1% of the borrower's total exposure in Handelsbanken.

Description of methods used for determining general and specific credit risk adjustments.

In the Capital Requirements Regulation (CRR), credit risk adjustments are loss provisions that are divided into two categories: specific and general. The term 'Credit risk adjustments' in CRR corresponds to 'provisions' in accounting rules. Expected credit losses (ECL) determined in accordance with IFRS 9 correspond to Specific Credit Risk Adjustments in CRR.

The impairment rules presented in IFRS 9 apply to financial assets at amortised cost, financial assets at fair value through other comprehensive income, as well as financial guarantees and other irrevocable commitments, and are based on a model for the recognition of expected credit losses (ECL). The assets to be tested for impairment are divided into three stages, depending on the degree of credit impairment.

- Stage 1 comprises financial assets with no significant increase in credit risk since initial recognition.
- Stage 2 comprises financial assets with a significant increase in credit risk since initial recognition, but for which there is no objective evidence that the claim is credit impaired at the time of reporting.
- Stage 3 comprises financial assets for which objective circumstances have been identified indicating that the claim is credit-impaired.

Model-based calculation

The quantitative models which form the basis for the calculation of expected credit losses for agreements in Stage 1 and Stage 2 make use of several assumptions and assessments. One key assumption is that the quantifiable relationships between macroeconomic risk factors and risk parameters in historical data are representative of future events. The quantitative models applied are based on a history of approximately 10 years, although this history varies by product and region due to inconsistency in the availability of historical outcomes. The quantitative models have been constructed with the help of econometric models, applying the assumption that the observations are independently conditioned by the risk factors. This means that the risk parameters can be predicted without distortion. Furthermore, a selection of the most significant macroeconomic risk factors is made on the basis of the macroeconomic risk factors' ability to demonstrate to individual risk parameters. The selection of the macroeconomic risk factors and specification of the model are based

on achieving a balance between simplicity, demonstrative ability and stability.

Manual and expert-based calculation

As a rule, manual calculation is used for agreements in Stage 3, with the exception of a small portfolio of homogeneous claims in Stage 3. Expert-based calculation is carried out for model outcomes on agreements in Stage 1 and Stage 2, in order to incorporate the estimated impact of factors not deemed to have been considered in the model.

During the year, the Bank applied an expert-based provision based on elevated credit risks relating to uncertainty factors which were not deemed to be fully considered in the Bank's risk models. These uncertainty factors are primarily linked to macroeconomic conditions and potentially substantial changes in demand. Given the challenges, at the end of the year, in assessing how the uncertainty factors noted above affect the credit risk at individual company level, the Bank therefore applied an expert-based stress in sectors at risk of extra sensitivity. This stress has been applied in addition to the model-based calculations and results in an additional provision requirement.

The institution's own definition of a restructured exposure used for the implementation of point (d) of Article 178(3) CRR specified by the EBA Guidelines on default in accordance with Article 178 CRR when different from the definition of forbore exposure defined in Annex V to Commission Implementing Regulation (EU) 680/2014.

Forborne exposure is defined as debt contracts to which forbearance measures have been extended. Forbearance measures are concessions towards debtors facing, or about to face, difficulties in meeting their financial commitments. Pursuant to regulations from the EBA, the Bank is required to manage credit agreements where the borrower has insufficient payment capacity at an early stage. At the stage where there are already delays to payment for a credit agreement, or where there are suspicions that payment will be delayed, the Bank must take action. If changes to credit terms and conditions, or other terms and conditions affecting the credit agreement, are made by the Bank to facilitate payment, this is to be considered forbearance. However, it is important that the granting of forbearance does not delay the implementation of any further necessary measures, such as managing credit losses. Forbearance on a credit includes both concessions in terms and conditions for existing credits and concessions through the issuance of new credit used to fully or partially repay existing credits. For the concession to be considered forbearance, all of the following conditions must be met:

- The borrower has, or is going to have, financial difficulties.
- The borrower is no longer able to fulfil existing credit terms and conditions.
- The concession gives a benefit that the borrower would have been unable to attain without having, or being about to have, financial difficulties.

When assessing forbearance measures, a simultaneous assessment is to be made as to whether payment is unlikely, in which case default should be reported.

All contractual agreements including overdrafts, credit cards, loans and loan commitments (revocable and irrevocable) are considered credit agreements, as are debt instruments, although not when these are held by the Bank for trading purposes. Loan commitments refer to agreed or contracted loan facilities. Changes to credit terms and conditions for financially stable borrowers are not normally considered forbearance.

When the following indications are identified, default is set automatically.

- If the decided forbearance measures result in the classification of the concession as material.
- If a concession is granted to a customer who has one or more other agreements that are in default, the agreement with the concession is placed in default.
- If an agreement is 30 days late and has previously been in default, the agreement is placed in default because of the delay, even if it is only a matter of 30 days.
- If a new concession is granted to a customer that already has a concession, the agreement is placed in default (this is also how it is coded).
- If the agreement is in a trial period according to the regulations for 'non-performing' agreements and the customer is granted a concession, the agreement is placed in default and classified as a distressed restructuring.

CREDIT RISK

EU CQ1

Gross carrying amount of forborne exposures and the related accumulated impairment, provisions, accumulated change in fair value due to credit risk and collateral and financial guarantees received, according to the scope of regulatory consolidation in accordance with Chapter 2 of Title II of Part One of the CRR.

Credit quality of forborne exposures 2024		Gross carrying amount/nominal amount of exposures with forbearance measures				Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions		Collateral received and financial guarantees received on forborne exposures	
		Performing forborne	Non-performing forborne		On performing forborne exposures	On non-performing forborne exposures			Of which collateral and financial guarantees received on non-performing exposures with forbearance measures
			Of which defaulted	Of which impaired					
SEK m									
005	Cash balances at central banks and other demand deposits								
010	Loans and advances	8 201	2 212	2 212	584	-33	-220	6 185	1 898
020	Central banks								
030	General governments								
040	Credit institutions								
050	Other financial corporations							3	
060	Non-financial corporations	7 439	1 006	1 006	266		-99	4 466	891
070	Households	761	1 203	1 203	318	-14	-121	1 717	1 005
080	Debt Securities								
090	Loan commitments given	1 472	6	6	2		0	104	5
100	Total	9 673	2 218	2 218	587	-35	-220	6 290	1 903

EU CQ4

Quality of non-performing exposures by geography 2024		Gross carrying/nominal amount				Accumulated impairment	Provisions on off-balance- sheet commitments and financial guarantees given	Accumulated negative changes in fair value due to credit risk on non- performing exposures
		Of which non-performing			Of which subject to impairment			
			Of which defaulted					
SEK m								
010	On-balance-sheet exposures	2 541 556	8 090	7 916	2 349 891	-1 369		
020	Sweden	1 768 372	3 707	3 595	1 597 218	-736		
030	United Kingdom	250 487	2 998	2 939	250 487	-240		
040	Norway	354 708	966	965	354 708	-193		
060	Finland	12 792	304	301	12 792	-149		
070	the Netherlands	104 043	19	19	104 043	-5		
080	other countries	51 155	96	96	30 644	-45		
090	Off-balance-sheet exposures	505 946	166	160				
100	Sweden	320 302	68	67				
110	United Kingdom	55 455	60	54				
120	Norway	63 154	9	9				
140	Finland	12 767	30	30				
150	the Netherlands	4 555						
160	other countries	49 714	0	0				
170	Total	3 047 502	8 257	8 077	2 349 891	-1 369		

EU CQ5

Credit quality of loans and advances to non-financial corporations by industry 2024		Gross carrying amount				Accumulated impairment	Accumulated negative changes in fair value due to credit risk on non-performing exposures
		Of which non-performing		Of which loans and advances subject to impairment			
SEK m							
010	Agriculture, forestry and fishing	7 788	15	15	7 788	-6	
020	Mining and quarrying	1 555	1		1 555	-1	
030	Manufacturing	31 726	47	46	31 726	-36	
040	Electricity, gas, steam and air conditioning supply	8 258	9	9	8 258	-1	
050	Water supply	1 577			1 577	0	
060	Construction	32 413	276	276	32 413	-239	
070	Wholesale and retail trade	25 360	110	104	25 360	-82	
080	Transport and storage	4 729	7	7	4 729	-6	
090	Accommodation and food service activities	25 652	134	134	25 652	-18	
100	Information and communication	1 795	11	11	1 795	-13	
110	Real estate activities	785 460	1 911	1 849	785 460	-239	
120	Financial and insurance activities	25 685	3	3	25 685	-5	
130	Professional, scientific and technical activities	29 080	19	17	29 080	-13	
140	Administrative and support service activities	11 744	16	16	11 744	-11	
150	Public administration and defence, compulsory social security	3			3	0	
160	Education	1 300	2	2	1 300	-1	
170	Human health services and social work activities	2 163	6	6	2 163	-3	
180	Arts, entertainment and recreation	3 111	9	5	3 111	-3	
190	Other services	17 882	50	50	17 882	-42	
200	Total	1 017 281	2 626	2 550	1 017 281	-720	

EU CQ7

Information on the instruments that were cancelled in exchange for the collateral obtained by taking possession and on the value of the collateral obtained by taking possession.

Collateral obtained by taking possession and execution processes 2024		Value at initial recognition	Accumulated negative changes
SEK m			
010	Property, plant and equipment (PP&E)		
020	Other than PP&E	2	
030	Residential immovable property		
040	Commercial immovable property		
050	Movable property (auto, shipping, etc.)	2	
060	Equity and debt instruments		
070	Other		
080	Total	2	

CREDIT RISK

EU CR1

Gross carrying amount of performing and non-performing exposures and the related accumulated impairment, provisions, accumulated change in fair value due to credit risk, accumulated partial write-off, and collateral and financial guarantees received, according to the scope of regulatory consolidation in accordance with Chapter 2 of Title II of Part One of the CRR. Exposures in Finland are not included in this table as they have been moved to assets held for sale on the balance sheet.

Performing and non-performing exposures and related provisions 2024		Gross carrying amount/nominal amount						Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions						Accumulated partial write off	Collateral and financial guarantees received	
		Performing exposures			Non-performing exposures			Performing exposures accumulated impairment and provisions			Non-performing exposures – accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions				On performing exposures	On non-performing exposures
		Of which stage 1	Of which stage 2		Of which stage 2	Of which stage 3	Of which stage 1	Of which stage 2		Of which stage 2	Of which stage 3					
SEK m																
005	Cash balances at central banks and other demand deposits	530 919	530 919													
010	Loans and advances	2 328 542	2 263 870	64 672	8 090	166	7 924	-506	-209	-297	-861	-4	-857		2 163 379	6 409
020	Central banks	12 547	12 547													
030	General governments	3 266	3 261	5				0	0	0					467	
040	Credit institutions	21 892	21 892	0	0		0	-1	-1	0	0		0			
050	Other financial corporations	27 757	27 560	197	85		85	-2	-2	0					5 229	85
060	Non-financial corporations	1 014 654	977 671	36 983	2 626	69	2 557	-360	-145	-215	-360	-2	-358		924 315	2 235
070	Of which SMEs	710 267	685 197	25 069	2 403	57	2 347	-298	-114	-184	-221	-2	-219		697 766	2 169
080	Households	1 248 426	1 220 939	27 487	5 379	97	5 282	-143	-61	-82	-501	-2	-500		1 233 369	4 089
090	Debt securities	204 924	13 259					-2	-2							
100	Central banks	136 927														
110	General governments	30 818														
120	Credit institutions	37 180	13 259					-2	-2							
130	Other financial corporations															
140	Non-financial corporations															
150	Off-balance-sheet exposures	498 479	292 428	6 502	166	6	160	129	39	90	26	0	26		178 432	101
160	Central banks															
170	General governments	23 673	14 339	2				0	0	0					20	
180	Credit institutions	11 477	8 745	32	0		0	1	1	1						
190	Other financial corporations	21 783	17 951	89	0		0	1	1	0					5 353	0
200	Non-financial corporations	349 525	160 333	5 419	130	0	130	114	29	85	26	0	26		102 196	75
210	Households	92 020	91 060	960	36	6	30	12	9	3	0	0			70 863	26
220	Total	3 562 864	3 100 476	71 174	8 257	172	8 085	-636	-250	-387	-887	-4	-883		2 341 811	6 511

EU CR1-A

Maturity of exposures 2024		Net exposure value					No stated maturity	Total
SEK m		On demand	< = 1 year	> 1 year < = 5 years	> 5 years			
1	Loans and advances	8 361	456 647	628 770	1 264 543	12 374		2 370 695
2	Debt securities		143 860	60 287	1 110			205 258
3	Total	8 361	600 508	689 057	1 265 653	12 374		2 575 952

EU CR2

Changes in the stock of non-performing loans and advances 2024		
SEK m		Gross carrying amount
010	Initial stock of non-performing loans and advances	8 084
020	Inflows to non-performing portfolios	4 448
030	Outflows from non-performing portfolios	-2 697
040	Outflows due to write-offs	-2 697
050	Outflow due to other situations	
060	Final stock of non-performing loans and advances	9 835

EU CQ3

Credit quality of performing and non-performing exposures by past due days 2024		Gross carrying amount/nominal amount											
		Performing exposures			Non-performing exposures								
			Not past due or past due ≤ 30 days	Past due > 30 days ≤ 90 days		Unlikely to pay that are not past due or are past due ≤ 90 days	Past due > 90 days ≤ 180 days	Past due > 180 days ≤ 1 year	Past due > 1 year ≤ 2 years	Past due > 2 years ≤ 5 years	Past due > 5 years ≤ 7 years	Past due > 7 years	Of which defaulted
SEK m													
005	Cash balances at central banks and other demand deposits	530 919	530 919										
010	Loans and advances	2 328 542	2 327 647	894	8 090	5 159	453	1 149	744	466	57	63	7 924
020	Central banks	12 547	12 547										
030	General governments	3 266	3 265	1									
040	Credit institutions	21 892	21 892	0	0	0							0
050	Other financial corporations	27 757	27 757	0	85	25	13	46	1	1			85
060	Non-financial corporations	1 014 654	1 014 367	287	2 626	1 557	79	676	145	139	11	18	2 557
070	Of which SMEs	710 267	710 036	230	2 403	1 455	62	645	121	121			2 347
080	Households	1 248 426	1 247 820	606	5 379	3 576	361	427	598	326	46	45	5 282
090	Debt securities	204 924	204 924										
100	Central banks	136 927	136 927										
110	General governments	30 818	30 818										
120	Credit institutions	37 180	37 180										
130	Other financial corporations												
140	Non-financial corporations												
150	Off-balance-sheet exposures	498 479			166								160
160	Central banks												
170	General governments	23 673											
180	Credit institutions	11 477			0								0
190	Other financial corporations	21 783			0								0
200	Non-financial corporations	349 525			130								130
210	Households	92 020			36								30
220	Total	3 562 864	3 063 490	894	8 257	5 159	453	1 149	744	466	57	63	8 085

CREDIT RISK MITIGATION TECHNIQUES

EU CRC Qualitative disclosure requirements related to CRM techniques

Article 453 (a) CRR

A description of the core the policies and processes for on- and off-balance sheet netting and an indication of the extent to which institutions make use of balance sheet netting.

The Bank does not use on- or off-balance sheet netting as a credit risk mitigation technique.

Article 453 (b) CRR

The core features of policies and processes for eligible collateral evaluation and management eligible collateral evaluation and management.

The Bank follows up and regularly updates the market value of the collateral used for credit risk mitigation purposes. A control procedure is established whereby the market value is checked at least every third year for residential properties, and at least annually for other types of property. The value is checked more frequently when there are material changes in factors affecting the property market. For properties with an exposure exceeding EUR 3 million, a new valuation by an independent assessor is made at least every third year.

Article 453 (c) CRR

A description of the main types of collateral taken by the institution to mitigate credit risk.

The Bank has real estate collateral for a large majority of its exposures and a large majority of this collateral consists of residential properties.

Article 453 (d) CRR

For guarantees and credit derivatives used as credit protection, the main types of guarantor and credit derivative counterparty and their creditworthiness used for the purposes of reducing capital requirements, excluding those used as part of synthetic securitisation structures.

Guarantees from sovereigns with very high creditworthiness represent the type of guarantee with the largest impact on capital requirements. The Bank also has guarantees from a wide range of banks and corporate guarantors which have a lesser impact on capital requirements.

Article 453 (e) CRR

Information about market or credit risk concentrations within the credit mitigation taken.

The Bank monitors the credit risk concentrations, within the credit mitigation taken, as part of its process of monitoring large exposures. The effect of financial collateral received is measured and added to the relevant client's total exposure. The effect of credit risk mitigations taken is measured regularly and has only minor impact on the Bank's credit risk concentrations.

EU CR3

The table shows secured exposures and unsecured exposures. The outstanding secured exposures are broken down by amounts secured by collateral, guarantees and credit derivatives. Relations are in line with the previous period.

CRM techniques overview: Disclosure of the use of credit risk mitigation techniques 2024		Unsecured carrying amount	Secured carrying amount		
			Of which secured by collateral	Of which secured by financial guarantees	
				Of which secured by credit derivatives	
SEK m					
1	Loans and advances	697 762	2 169 789	2 160 600	9 189
2	Debt securities	204 922			
3	Total	902 685	2 169 789	2 160 600	9 189
4	Of which non-performing exposures	820	6 409	6 402	7
EU-5	Of which defaulted				

CREDIT RISK STANDARDISED APPROACH

EU CRD Qualitative disclosure requirements related to standardised model

Article 444 (a) CRR

Names of the external credit assessment institutions (ECAIs) and export credit agencies (ECAs) nominated by the institution, and the reasons for any changes over the disclosure period.

When calculating risk weights according to the standardised approach, information regarding the external rating from the external rating agency Standard & Poor's is used, where applicable.

Article 444 (b) CRR

The exposure classes for which each ECAI or ECA is used.

The Bank uses external ratings from Standard & Poor's for exposures to sovereigns, institutions and corporates.

Article 444 (c) CRR

A description of the process used to transfer the issuer and issue credit ratings onto comparable assets items not included in the trading book.

Not applicable.

Article 444 (d) CRR

The association of the external rating of each nominated ECAI or ECA (as referred to in row (a)) with the risk weights that correspond with the credit quality steps as set out in Chapter 2 of Title II of Part Three CRR (except where the institution complies with the standard association published by the EBA).

The Bank complies with the standard association in accordance with Commission Implementing Regulation (EU) 2016/1799 as illustrated below.

Credit quality steps and external credit ratings from Standard & Poor's 2024		Risk Weights (%)		
		Corporates	Institutions and regional and local authorities	Central governments and central banks
S&P				
Step 1	AAA to AA-	20	20	0
Step 2	A+ to A-	50	50	20
Step 3	BBB+ to BBB-	100	100	50
Step 4	BB+ to BB-	100	100	100
Step 5	B+ to B-	150	100	100
Step 6	CCC+ and below	150	150	150
unrated		100	100	100

Article 444 (e) CRR

Exposure calculated according to standardised approach broken down into credit quality steps based on external ratings 2024	Sovereign and central banks		Municipalities		Institutions		Corporate	
	Exposure	Exposure value	Exposure	Exposure value	Exposure	Exposure value	Exposure	Exposure value
SEK m								
Step 1	127 208	126 538	0	0	2 179	2 177	1	1
Step 2					3	3	2 416	339
Step 3							6 290	1 218
Step 4							2 861	573
Step 5								
Step 6					311	311	2 049	752

CREDIT RISK

EU CR4

The table shows exposures before and after credit conversion factors and credit risk mitigation, and risk exposure amounts and risk weights according to the standardised approach. The amounts and risk weights are specified by exposure class. The total exposures are in line with previous year.

Standardised approach – Credit risk exposure and CRM effects 2024		Exposures before CCF and before CRM		Exposures post CCF and post CRM		RWAs and RWA density	
		On-balance-sheet exposures	Off-balance-sheet exposures	On-balance-sheet exposures	Off-balance-sheet exposures	RWAs	RWA density, %
SEK m							
1	Central governments or central banks	125 773	1 339	125 871	669		
2	Regional governments or local authorities	0	0	0	0	0	20.00
3	Public sector entities						
4	Multilateral development banks	2 107		2 107			
5	International organisations						
6	Institutions	14		14		3	24.66
7	Corporates	12 039	33 175	11 114	2 096	11 902	90.09
8	Retail	8 651	11 099	7 695	1 911	7 152	74.45
9	Secured by mortgages on immovable property	341 606	29 877	341 565	4 862	154 318	44.55
10	Exposures in default	3 343	66	3 343	14	3 786	112.78
11	Exposures associated with particularly high risk	1 146	410	1 146	50	1 793	150.00
12	Covered bonds						
13	Institutions and corporates with a short-term credit assessment						
14	Collective investments undertakings						
15	Equity	7 022		7 022		16 404	233.59
16	Other items	7 988	4	5 757	1	1 510	26.22
17	Total	509 691	75 970	505 634	9 603	196 867	38.21

EU CR5

The table below shows the EAD broken down by exposure class and risk weight. It comprises figures obtained using the standardised approach. Total EAD is in line with the previous period.

Standardised approach 2024		Risk weight														Total	Of which unrated	
		0%	2%	4%	10%	20%	35%	50%	70%	75%	100%	150%	250%	370%	1 250%			Others
SEK m																		
1	Central governments or central banks	126 541															126 541	2
2	Regional government or local authorities	0				0											0	0
3	Public sector entities																	
4	Multilateral development banks	2 107															2 107	2 107
5	International organisations																	
6	Institutions					12		2									14	4
7	Corporates							339			12 872						13 211	11 742
8	Retail exposures									9 606							9 606	9 606
9	Exposures secured by mortgages on immovable property						236 598	22 687		864	86 279						346 427	345 871
10	Exposures in default										2 499	858					3 357	3 357
11	Exposures associated with particularly high risk											1 196					1 196	1 196
12	Covered bonds																	
13	Exposures to institutions and corporates with a short-term credit assessment																	
14	Units or shares in collective investment undertakings																	
15	Equity exposures										768		6 254				7 022	7 022
16	Other items					5 310					448						5 757	5 757
17	Total	128 648				5 322	236 598	23 027		10 469	102 866	2 053	6 254				515 237	386 664

CREDIT RISK IRB APPROACH**EU CRE Qualitative disclosure requirements related to IRB approach****Article 452 (a) CRR**

The competent authority's permission of the approach or approved transition

The Bank has had permission from the Swedish Financial Supervisory Authority to calculate the capital requirement for credit risk using the IRB approach since 2007. The permission applies to the consolidated situation, in which the parent company Svenska Handelsbanken AB (publ) is the ultimate parent, and to the companies Svenska Handelsbanken AB (publ), Stadshypotek AB (publ) and Handelsbanken Finans AB (publ).

Handelsbanken has seven rating systems (consolidated level): retail, large corporates, medium-sized corporates, property companies, housing co-operative associations, institutions and central and regional governments.

Handelsbanken has approval to use own estimates of PD, LGD and CCF for the rating systems retail, large corporates, medium-sized corporates, property companies, and housing co-operative associations whereas the capital requirement for the remaining rating systems is calculated without own estimates of LGD and CCF.

The Swedish Financial Supervisory Authority has also granted Handelsbanken permission to apply the standardised approach instead of the IRB approach for certain exposures in accordance with Article 150(1)(c) and 150(1)(e) of the CRR. These exceptions cover 'insignificant size' portfolios and 'intra group' exposures.

The majority of the exposures subject to sequential implementation in accordance with Article 148 of the CRR consists of exposures in Handelsbanken plc and exposures in the Netherland business.

Article 452 (c) CRR

The control mechanisms for rating systems at the different stages of model development, controls and changes, which shall include information on:

i) the relationship between the risk management function and the internal audit function;

Risk Control and the subsidiaries' risk control units (risk management function) are responsible for developing IRB-models and for the oversight, supervision, ongoing review and alterations of IRB-models. Furthermore, the risk management function is responsible for the estimation and application of IRB credit risk models, while Risk Control has the overarching responsibility for the management of changes to the Bank's IRB approach.

Internal audit reviews annually the bank's rating systems and its operations, including the operations of the credit function and the estimation of PDs, LGDs, ELs and conversion factors. Areas of review includes adherence to all applicable requirements. In addition, Audit reviews all IRB model applications. The Chief Audit Executive is appointed by the Board and reports regularly to the audit committee, orally and in writing, and submits an annual summary report to the whole Board.

(ii) the rating system review;

Model validation forms part of the review of the rating systems. Over their lifecycles models are first subject to initial validation following model development. When the model has been approved, recurring validation is performed at least on an annual basis. The annual validation cycle consists of a planning, execution and post validation phases including recommendation follow-up. Validation is performed in accordance with predefined methods, which include a review of estimates, evaluation of the models' risk differentiating capabilities and evaluation of representativeness in the light of the new data and other information that has become available.

(iii) procedure to ensure the independence of the function in charge of reviewing the models from the functions responsible for the development of the models;

The validation function and the unit responsible for IRB model development and calibration are divided into two different organisational units reporting separately to the same member of the executive team, the CRO.

(iv) the procedure to ensure the accountability of the functions in charge of developing and reviewing the models

Accountability of the functions in charge of developing and reviewing the models is ensured through delegation of responsibility through job descriptions. The CRO delegates responsibility to the Head of Credit Risk Control who in turn delegates relevant responsibilities to the head of the model development unit. Furthermore, the CRO delegates responsibility to the head of the validation function.

Article 452 (d) CRR

The role of the functions involved in the development, approval and subsequent changes of the credit risk models;

The role of the model development unit involves the following:

To critically review decisions that affect the Bank's risk exposure and propose appropriate changes regarding relevant internal rules, processes and routines.

To ensure that the Bank's capital requirements for credit risk according to IRB are calculated based on models that are suitable for the purpose, that these models are maintained through ongoing review, that decided changes to the models used in the risk classification process are implemented, and that new models are developed based on the Bank's needs and authorities' requirements.

To be responsible for calculation of, and model development for, economic capital (EC) for credit risks.

To verify that the risk classification systems and changes in them are assessed and documented in accordance with the Bank's IRB Change instructions.

To ensure, within the unit's area of responsibility, that applicable regulations are complied with, that information requested by the Swedish FSA is prepared and submitted and also to otherwise ensure that the Bank's obligations to the Swedish FSA and other authorities are fulfilled.

To make sure that established rules and procedures are evaluated annually and document that the internal control within the unit is appropriate, and to ensure that necessary measures are implemented based on this together with reports from control functions.

To prepare and maintain appropriate information and reporting systems to ensure control over all significant risks in the relevant parts of the business.

The role of the model validation function is to perform initial validation of new models and validation of subsequent changes. This includes independently reviewing and assessing the main steps of model development, assessing whether models are fit for purpose and performing as intended, evaluating models against relevant regulatory requirements, assessing the implementation of models, assessing the usage of models, documenting validation results including observations and recommendations, following-up on issued recommendations and reporting validation results to relevant stakeholders.

Article 452 (e) CRR

The scope and main content of the reporting related to credit risk models;

The reporting related to credit risk models consist of the IRB evaluation report, validation of IRB-models, new estimates and material changes to the IRB approach. The objective is to provide a general understanding of the rating systems of the institution, and the reports are addressed to the Board's Risk Committee annually, and summarised to the Board.

The *IRB evaluation report* is presented to relevant members of the executive team annually. The report covers an evaluation of the Bank's rating systems performance and contains identified IRB deficiencies and the status of actions taken. A summary of the report is presented to IRB Committee and the Central Board's Risk Committee. It also includes a comparison of realised default rates, realised LGDs and realised conversion factors against expectations, migration across grades and updating of estimates

The *Credit Risk Report* is addressed to relevant members of the executive team on a monthly basis. It contains of monthly changes in the credit risk portfolio. It also covers the migrations within PD risk classes and PD risk class distribution. Defaults, lending to customers with high risk and property collaterals for corporates and private individuals are also included.

The *Group Risk Report* includes a follow-up of the Bank's risk tolerance, the CRO's assessment of the Group's material risks and an assessment of whether there are significant deficiencies to be reported. The results of stress-tests and information on capital requirements calculation is also included. The Group risk report is addressed to the Board, risk committee and CEO quarterly. The report is also presented to relevant members of the executive team.

Validation of the Bank's IRB models is performed on an annual basis. The purpose of the validation is quality assurance of the models based on a number of predefined quantitative and qualitative tests. The conclusions, observations and recommendations are compiled into detailed *validation reports* which are distributed to Group Credit Risk Control and the CRO. Validation results are presented to the Board's risk committee and to relevant members of the executive team on an annual basis. Validation results are distributed in written form through the IRB report to the Board's risk committee, and through the IRB evaluation report to relevant members of the executive team, both on an annual basis.

Article 452 (f) CRR

A description of the internal ratings process by exposure class, including the number of key models used with respect to each portfolio and a brief discussion of the main differences between the models within the same portfolio, covering:

(i) the definitions, methods and data for estimation and validation of PD, which shall include information on how PDs are estimated for low default portfolios, whether there are regulatory floors and the drivers for differences observed between PD and actual default rates at least for the last three periods;

(ii) where applicable, the definitions, methods and data for estimation and validation of LGD, such as methods to calculate downturn LGD, how LGDs are estimated for low default portfolio and the time lapse between the default event and the closure of the exposure;

(iii) where applicable, the definitions, methods and data for estimation and validation of conversion factors, including assumptions employed in the derivation of those variables.

To quantify its credit risks, the Bank calculates the probability of default, PD, the exposure the Bank is expected to have if a default occurs, EAD, and the proportion of the loan that the Bank would be expected to lose in the case of default, LGD. A default shall be considered to have occurred when the obligor is unlikely to pay its credit obligation to the institution or the obligor is past due more than 90 days on any material credit obligation.

The PD value is expressed as a percentage where, for example, a PD value of 0.5% means that one borrower of 200 with the same PD value would be expected to default within one year.

For exposures to corporates and to institutions, as well as for exposures to central governments, central banks, regional governments and local authorities (sovereign exposures), the internal rating set for each counterparty is directly converted into a risk class on a scale from 1 to 10 (where risk class 10 refers to defaulted counterparties). Corporate exposures are divided into four counterparty types, based on the business evaluation template used for the counterparty. PD is calculated individually for each risk class and counterparty type.

Regional governments and local authorities share the sovereign risk class scale with central governments and central banks. However, to account for the higher risk of the former they are assigned one risk class worse than the latter, given the same internal rating. Hence, the risk class scale for regional governments and local authorities is from 2 to 10, not 1 to 10.

The models for sovereigns, institutions and large corporates are global and the ones for medium sized corporates, real estate corporates, and housing co-operative associations apply to exposures in Sweden, Norway and Finland. LGD- and CCF-models for corporates, including large corporates, also apply to exposures in Sweden, Norway and Finland.

For retail exposures, the risk class is also based on the internal rating assigned to all credit customers. The rating is, however, not translated directly into a risk class as for corporate exposures; instead, the different exposures are sorted into a number of smaller groups based on certain factors. Such factors include the type of credit, the counterparty's debt-servicing record and whether there are one or more borrowers. An average default rate is calculated for each of the smaller groups, and based on this, the groups are sorted into one of the 10 risk classes. Different models are used for exposures to private individuals and to small companies (that are also classified as retail exposures), and by country, Sweden, Norway and Finland, but the principle is the same.

For exposures to medium-sized corporates, property companies and housing co-operative associations as well as for retail exposures, the LGD is determined using the Bank's own loss history. For exposures to large corporates that are subject to a capital requirement using the IRB approach with own estimates of LGD and CCF, the LGD is determined based on internal losses and external observations. For retail exposures secured by property in Sweden and for property exposures to medium-sized companies, property companies and housing co-operative associations, different LGD values are applied depending on the loan-to-value ratio of the collateral. For other exposures, the LGD value is determined by factors that may depend on the existence and valuation of collateral, the type of product and similar factors. For exposures that are subject to a capital requirement according to the IRB approach without own estimates of LGD and CCF, prescribed values are applied for those parameters. The prescribed value that may be used is determined by the collateral provided for each exposure.

For each exposure class, the PD is calculated for each of the risk classes that refer to non-defaulted counterparties or agreements.

The PD models for corporates are based on historical default frequencies, by risk class and by portfolio. The estimates on portfolio level are based partly on the Bank's internal data and partly on data from other sources, such as external credit rating agencies, and are based on the duration of a hypothetical business cycle in which one of five years is a downturn year and the Swedish banking crisis in the 1990s is taken into account, as required by the Swedish Financial Supervisory Authority. Significant margins of conservatism are added to the estimates at portfolio level, and these PD values are normally not expected to vary year on year. The estimates by risk class are based on the Bank's internal default data and a model that determines the relationship of PD between different risk classes. Margins are then added so that each portfolio's aggregate PD coincides with the estimate of portfolio PD. The models are recalibrated at least annually as the distribution of counterparties over risk classes varies over time. This process assures that aggregate PD does not deviate significantly from the estimated portfolio PD. This implies that the PD for each risk class may vary over time as the model is recalibrated.

An updated and recalibrated PD-model for institutions was implemented in August 2023. In the model, PD-values are estimated by mapping internal ratings to external ratings. External default rates are then used to estimate an implied internal default rate per risk class. PD values for sovereign exposures are based on default rates and PD for large corporates and expert assessments, as the Bank has no defaults at all to this type of counterparty.

The PD values for retail are based on calculations of the historical default frequencies for each risk class. The average default rates are then adjusted such that one year out of five represents a downturn year, and margins of conservatism are added.

When establishing LGD, the risk measure shall reflect the loss rates in economically unfavourable circumstances, known as 'downturn LGD'. For collateral in property, the downturn LGD is based on observed loss rates from the property crisis in the early 1990s. For other collateral relating to retail exposures, observed LGD is adjusted for downturns by a factor which depends on the PD and type of product. For corporate exposures in the IRB approach with own estimates of LGD and CCF, the LGD is adjusted for downturns so that the Bank's observed losses in the crisis years of 1991–1996 can be explained by the risk measures with a good margin. For exposures with property collateral, in many cases LGD is estimated based on the property's loan-to-value-ratio (LTV). Since the value of the property, and consequently also the LTV, usually varies with the business cycle, this means that the capital requirement will also to some extent have a cyclical dependency.

When the exposure amount, EAD, is to be calculated, certain adjustments are made to the carried exposure, e.g. regarding revolving credits. Normally this means that the credit granted is adjusted using a certain credit conversion factor (CCF) for the part of the credit that is unutilised at the time of reporting. For certain product categories, the credit conversion factors are determined by the regulatory code, while for others, the Bank uses its own calculated conversion factors. Here, it is mainly the product referred to that governs the CCF, but the utilisation level may also be relevant.

In Sweden and Norway different national regulatory floors apply. In Sweden, the average risk weight of the portfolio of mortgage loans must not be below 25%. In Norway, the LGD for mortgage loans must not be below 20% and the average risk weight must not be below 20%. Furthermore, in Norway, corporate exposures with collateral in real estate must not have a risk weight below 35%. In Sweden, the risk weight floor for corporate exposures with collateral in commercial real estate is 35% and for corporate exposures in residential real estate the risk weight floor is 25%.

The following methods are used for the validation of PD, LGD and CCF models:

Risk quantification. Assessment of the predictive ability. Primarily quantitative tests: one-sided outcome tests on observed outcomes (default rates, realised LGDs or realised CCFs) versus estimates and historical outcomes. Two-sided outcome tests on observed outcomes versus historical outcomes. For PD models binomial tests are applied, except for low default portfolios where alternative tests are used such as Jeffrey's test. For LGD and CCF models t-tests are applied, except for low default portfolios where exact tests such as the sign test are applied.

Risk differentiation. Assessment of rank order ability (AR, Somers' D, gAUC), concentration (adjusted Herfindahl index) and heterogeneity (Z-test, Welch's F-test).

Model structure tests. Qualitative and quantitative assessment of the conceptual approach, segmentation, risk factor selection and other structural components of the model.

Review of model documentation and source code. Qualitative assessment of the quality and completeness of model documentation and source code.

Manual data quality assessment of historical data. Assessment of the accuracy, completeness and appropriateness of data where deficiencies are handled with additional margins of conservatism.

Population stability and representativeness. Assessment of the representativeness of data used in model development and model calibration, based on qualitative and quantitative tests (PSI).

Model implementation. Qualitative and quantitative tests to assess the integrity of the implemented model.

Migration analysis (PD models). Analysis of migrations based on qualitative and quantitative (Notches, MWB) tests.

Long-run average default rate (PD models). Assessment based on regulatory requirements concerning long-run average default rate, complemented with quantitative tests including outcome tests.

Downturn adjustment (LGD and CCF models). Validation of conditional LGDs and CCFs appropriate for an economic downturn. This includes a qualitative assessment on the identification of an economic downturn and downturn estimation method, based on relevant regulatory requirements, complemented with quantitative tests including outcome tests.

Margin of conservatism and appropriate adjustments. Qualitative assessment based on regulatory requirements, complemented with quantitative tests including outcome tests.

Comparison with external data sources. Comparison of PD, LGD and CCF estimates and outcomes with those of other comparable banks.

In general, the data used for validation consists of all available data from the model development period (including model calibration) until the date of the validation. All available data is used, meaning the time period and data series used for validation is as long as possible. In general quantitative tests are performed on the most recent available data, depending on the test and model. In many cases this means the most recent annual data. In other cases, for instance for low default portfolios, longer time periods may be used for quantitative tests (that also include the most recent data).

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The following table shows the total EAD, undrawn commitments, exposure-weighted average PD, LGD and CCF, and exposure-weighted average risk weights broken down by exposure class and obligor grade. RWA and RWA density is here calculated using the IRB approach not including risk weight floors implemented by national authorities.

IRB approach - Credit risk exposures by exposure class and PD range 2024													
A-IRB		On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF(%)	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
SEK m	PD range												
Corporates SME	0.00 to < 0.15	428 938	7 949	40.81	432 182	0.07	24 712	12.44	2.0	15 686	0.04	40	-15
Corporates SME	0.00 to < 0.10	349 218	5 499	40.51	351 445	0.05	17 837	12.90	2.0	11 973	0.03	29	-5
Corporates SME	0.10 to < 0.15	79 720	2 450	41.47	80 736	0.13	6 875	10.43	2.0	3 713	0.05	11	-9
Corporates SME	0.15 to < 0.25						2						
Corporates SME	0.25 to < 0.50	93 909	3 528	37.53	95 233	0.32	4 293	20.66	2.0	14 189	0.15	63	-7
Corporates SME	0.50 to < 0.75	13 055	3 066	40.82	1 430 636	0.52	2 158	29.29	2.0	4 056	0.28	22	-15
Corporates SME	0.75 to < 2.50	54 573	2 685	39.55	55 636	1.23	5 081	21.61	2.0	16 911	0.30	157	-85
Corporates SME	0.75 to < 1.75	45 883	685	33.72	46 114	1.08	3 208	20.25	2.0	12 568	0.27	104	-12
Corporates SME	1.75 to < 2.5	8 691	2 000	41.55	9 522	1.98	1 873	28.21	2.0	4 343	0.46	53	-73
Corporates SME	2.50 to < 10.00	5 470	283	38.59	5 579	4.79	612	25.76	1.0	2 894	0.52	73	-16
Corporates SME	2.5 to < 5	4 343	15	33.73	4 348	4.07	302	23.04	1.0	1 839	0.42	41	-5
Corporates SME	5 to < 10	1 127	268	38.86	1 232	7.32	310	35.35	2.0	1 055	0.86	32	-11
Corporates SME	10.00 to < 100.00	3 901	194	37.53	3 974	27.75	487	18.74	2.0	2 692	0.68	207	-64
Corporates SME	10 to < 20						2						
Corporates SME	20 to < 30	3 275	162	37.25	3 336	24.68	346	17.95	2.0	2 129	0.64	142	-48
Corporates SME	30.00 to < 100.00	626	33	38.89	639	43.78	139	22.87	3.0	563	0.88	65	-16
Corporates SME	100.00 (Default)	1 252	46	33.33	1 267	100.00	131	31.50	2.0	2 941	2.32	272	-272
Corporates SME	Subtotal	601 099	17 751	39.88	608 177	0.66	37 476	15.17	2.0	59 368	0.10	832	-474
Corporates Other	0.00 to < 0.15	186 040	147 264	32.84	234 406	0.07	1 591	30.57	2.0	37 459	0.16	51	-8
Corporates Other	0.00 to < 0.10	186 040	147 264	32.84	234 406	0.07	1 585	30.57	2.0	37 459	0.16	51	-8
Corporates Other	0.10 to < 0.15						6						
Corporates Other	0.15 to < 0.25						6						
Corporates Other	0.25 to < 0.50	39 421	30 657	31.93	49 211	0.29	569	31.08	2.0	17 279	0.35	44	-9
Corporates Other	0.50 to < 0.75	4 487	4 912	36.04	6 257	0.71	242	39.00	2.0	3 981	0.64	17	-4
Corporates Other	0.75 to < 2.50	14 600	2 856	34.92	15 597	1.38	173	27.91	2.0	9 673	0.62	64	-7
Corporates Other	0.75 to < 1.75	10 026	1 685	33.18	10 586	1.14	83	22.66	1.0	4 704	0.44	27	-2
Corporates Other	1.75 to < 2.5	4 574	1 171	37.42	5 012	1.90	90	39.00	2.0	4 969	0.99	37	-5
Corporates Other	2.50 to < 10.00	10 150	191	50.81	10 248	4.07	96	24.68	2.0	7 822	0.76	103	-15
Corporates Other	2.5 to < 5	10 150	191	50.81	10 248	4.07	96	24.68	2.0	7 822	0.76	103	-15
Corporates Other	5 to < 10												
Corporates Other	10.00 to < 100.00	2 139	1 101	36.78	2 545	17.00	57	36.33	2.0	4 509	1.77	144	-10
Corporates Other	10 to < 20	1 663	1 100	36.79	2 068	12.29	33	39.00	2.0	3 893	1.88	99	-7
Corporates Other	20 to < 30	185	1	25.13	185	21.56	12	23.58	2.0	241	1.30	10	-1
Corporates Other	30.00 to < 100.00	292	0	1.00	292	47.46	12	25.53	1.0	375	1.29	35	-1
Corporates Other	100.00 (Default)	9	14	25.00	12	100.00	4	39.00	2.0			21	-21
Corporates Other	Subtotal	256 847	186 997	32.85	318 276	0.45	2 738	30.54	2.0	80 721	0.25	445	-75

CREDIT RISK

IRB approach - Credit risk exposures by exposure class and PD range 2024													
A-IRB		On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF(%)	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors ¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
SEK m	PD range												
Retail Secured by Immovable Property SME	0.00 to < 0.15	1 257	1	100.00	1 258	0.07	577	20.02		37	0.03	0	0
Retail Secured by Immovable Property SME	0.00 to < 0.10	1 257			1 257	0.07	576	20.00		37	0.03	0	0
Retail Secured by Immovable Property SME	0.10 to < 0.15		1	100.00	1	0.14	1	38.00		0	0.09	0	0
Retail Secured by Immovable Property SME	0.15 to < 0.25	962	202	78.00	1 116	0.24	1 179	22.49		94	0.08	1	0
Retail Secured by Immovable Property SME	0.25 to < 0.50	3	4	98.00	7	0.46	7	43.25		2	0.26	0	0
Retail Secured by Immovable Property SME	0.50 to < 0.75	1 977	139	77.52	2 081	0.70	1 696	22.79		375	0.18	3	-1
Retail Secured by Immovable Property SME	0.75 to < 2.50	1 006	197	79.19	1 157	1.52	1 532	31.77		475	0.41	6	-1
Retail Secured by Immovable Property SME	0.75 to < 1.75	424	175	78.78	559	0.90	931	32.11		170	0.30	2	0
Retail Secured by Immovable Property SME	1.75 to < 2.5	582	22	82.45	598	2.09	601	31.45		305	0.51	4	-1
Retail Secured by Immovable Property SME	2.50 to < 10.00	454	86	78.29	505	3.92	611	30.16		350	0.69	6	-1
Retail Secured by Immovable Property SME	2.5 to < 5	452	84	78.00	503	3.90	600	30.13		347	0.69	6	-1
Retail Secured by Immovable Property SME	5 to < 10	2	1	100.00	3	7.52	11	36.27		3	1.17	0	0
Retail Secured by Immovable Property SME	10.00 to < 100.00	374	20	79.09	384	16.81	342	27.07		454	1.18	18	-3
Retail Secured by Immovable Property SME	10 to < 20	374	20	79.09	384	16.80	340	27.06		453	1.18	17	-3
Retail Secured by Immovable Property SME	20 to < 30	0			0	22.21	1	35.00		0	1.62	0	0
Retail Secured by Immovable Property SME	30.00 to < 100.00	0			0	45.36	1	35.00		0	1.50	0	0
Retail Secured by Immovable Property SME	100.00 (Default)	49	1	78.27	49	100.00	36	37.11		99	2.02	21	-21
Retail Secured by Immovable Property SME	Subtotal	6 082	649	78.48	6 557	2.58	5 980	24.74		1 886	0.29	54	-27
Retail Secured by Immovable Property Non-SME	0.00 to < 0.15	679 598	54 391	34.43	698 449	0.08	319 379	12.26		18 967	0.03	75	-14
Retail Secured by Immovable Property Non-SME	0.00 to < 0.10	393 480	39 555	20.00	401 391	0.05	197 364	10.91		6 105	0.02	21	-6
Retail Secured by Immovable Property Non-SME	0.10 to < 0.15	286 118	14 837	72.91	297 058	0.13	122 015	14.08		12 863	0.04	54	-9
Retail Secured by Immovable Property Non-SME	0.15 to < 0.25		2 621	20.00	524	0.19	1 071	18.00		39	0.07	0	-1
Retail Secured by Immovable Property Non-SME	0.25 to < 0.50	236 328	8	100.00	236 336	0.30	132 886	16.37		22 057	0.09	115	-8
Retail Secured by Immovable Property Non-SME	0.50 to < 0.75	70 302	171	91.00	70 425	0.65	56 572	18.02		12 523	0.18	82	-3
Retail Secured by Immovable Property Non-SME	0.75 to < 2.50	25 456	18	100.00	25 473	1.56	7 790	20.41		9 153	0.36	80	-4
Retail Secured by Immovable Property Non-SME	0.75 to < 1.75	25 456	18	100.00	25 473	1.56	7 790	20.41		9 153	0.36	80	-4
Retail Secured by Immovable Property Non-SME	1.75 to < 2.5												
Retail Secured by Immovable Property Non-SME	2.50 to < 10.00	24 611	144	97.14	24 753	4.67	14 358	14.98		12 384	0.50	172	-8
Retail Secured by Immovable Property Non-SME	2.5 to < 5	24 349	132	97.65	24 484	4.64	14 212	14.85		12 074	0.49	166	-8
Retail Secured by Immovable Property Non-SME	5 to < 10	262	11	91.00	269	7.74	146	26.29		310	1.15	6	0
Retail Secured by Immovable Property Non-SME	10.00 to < 100.00	6 058	2	92.84	6 059	30.54	3 944	14.55		5 448	0.90	271	-10
Retail Secured by Immovable Property Non-SME	10 to < 20												
Retail Secured by Immovable Property Non-SME	20 to < 30												
Retail Secured by Immovable Property Non-SME	30.00 to < 100.00	6 058	2	92.84	6 059	30.54	3 944	14.55		5 448	0.90	271	-10
Retail Secured by Immovable Property Non-SME	100.00 (Default)	2 676	0	96.99	2 676	100.00	1 694	16.11		4 431	1.66	148	-148
Retail Secured by Immovable Property Non-SME	Subtotal	1 045 029	57 356	34.13	1 064 696	0.73	537 694	13.84		85 004	0.08	943	-196
Retail Other SME	0.00 to < 0.15	200	7	100.00	207	0.07	176	20.65		7	0.03	0	0
Retail Other SME	0.00 to < 0.10	200			200	0.07	169	20.00		6	0.03	0	0
Retail Other SME	0.10 to < 0.15	0	7	100.00	7	0.14	7	38.00		1	0.10	0	0
Retail Other SME	0.15 to < 0.25	254	1 970	78.00	1 744	0.24	21 433	35.75		231	0.13	2	0
Retail Other SME	0.25 to < 0.50	25	21	48.35	35	0.48	52	36.11		7	0.20	0	0
Retail Other SME	0.50 to < 0.75	1 301	1 311	73.55	2 240	0.67	11 593	34.83		530	0.24	5	-1
Retail Other SME	0.75 to < 2.50	1 057	1 369	77.17	2 101	1.45	10 183	36.68		694	0.33	11	-5
Retail Other SME	0.75 to < 1.75	241	1 243	78.57	1 208	0.92	8 512	37.73		360	0.30	4	-1
Retail Other SME	1.75 to < 2.5	816	126	63.31	893	2.17	1 671	35.27		335	0.37	7	-4
Retail Other SME	2.50 to < 10.00	540	474	77.59	847	4.58	5 375	35.94		360	0.42	14	-4

CREDIT RISK

IRB approach - Credit risk exposures by exposure class and PD range 2024													
A-IRB		On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF(%)	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
SEK m	PD range												
Retail Other SME	2.5 to < 5	470	464	78.00	772	4.23	5 205	36.02		326	0.42	12	-2
Retail Other SME	5 to < 10	70	10	57.79	75	8.14	170	35.16		34	0.45	2	-1
Retail Other SME	10.00 to < 100.00	344	124	78.52	409	17.06	1 674	35.77		246	0.60	25	-8
Retail Other SME	10 to < 20	332	124	78.52	397	16.73	1 632	35.79		238	0.60	24	-8
Retail Other SME	20 to < 30	9			9	22.21	26	35.00		6	0.66	1	0
Retail Other SME	30.00 to < 100.00	3			3	45.36	16	35.00		2	0.75	0	0
Retail Other SME	100.00 (Default)	146	10	79.50	153	100.00	341	71.21		248	1.62	118	-118
Retail Other SME	Subtotal	3 866	5 286	76.57	7 737	4.02	50 827	36.06		2 324	0.30	175	-136
Retail Other Non-SME	0.00 to < 0.15	3 454	7 033	91.07	9 774	0.12	252 885	46.26		1 415	0.14	6	-1
Retail Other Non-SME	0.00 to < 0.10	644	0	100.00	644	0.06	5 146	20.59		22	0.03	0	0
Retail Other Non-SME	0.10 to < 0.15	2 811	7 033	91.07	9 131	0.13	247 739	48.07		1 393	0.15	6	-1
Retail Other Non-SME	0.15 to < 0.25												
Retail Other Non-SME	0.25 to < 0.50	2 878	1	91.67	2 878	0.31	16 330	44.52		737	0.26	4	-1
Retail Other Non-SME	0.50 to < 0.75	1 942	234	91.00	2 122	0.65	29 249	44.86		833	0.39	6	-1
Retail Other Non-SME	0.75 to < 2.50	881			881	1.29	7 055	45.72		477	0.54	5	-1
Retail Other Non-SME	0.75 to < 1.75	881			881	1.29	7 055	45.72		477	0.54	5	-1
Retail Other Non-SME	1.75 to < 2.5												
Retail Other Non-SME	2.50 to < 10.00	594	185	91.04	731	3.56	32 633	51.27		558	0.76	13	-2
Retail Other Non-SME	2.5 to < 5	516	179	91.05	649	2.86	31 363	51.80		492	0.76	10	-2
Retail Other Non-SME	5 to < 10	78	6	91.00	81	9.15	1 270	46.98		66	0.81	4	-1
Retail Other Non-SME	10.00 to < 100.00	278	11	92.55	285	30.93	5 719	46.49		362	1.27	42	-5
Retail Other Non-SME	10 to < 20	7			7	17.43	34	19.21		3	0.43	0	0
Retail Other Non-SME	20 to < 30												
Retail Other Non-SME	30.00 to < 100.00	270	11	92.55	278	31.29	5 685	47.21		359	1.29	41	-5
Retail Other Non-SME	100.00 (Default)	229	2	91.00	231	100.00	1 316	53.18		476	2.06	163	-163
Retail Other Non-SME	Subtotal	10 255	7 467	91.07	16 902	2.31	345 187	46.07		4 857	0.29	238	-174
Total	0.00 to < 0.15	1 299 488	216 646	35.43	1 376 276		581 584		1.0	73 571	0.05	172	-38
Total	0.00 to < 0.10	930 838	192 317	30.42	989 342		221 310		1.0	55 601	0.06	100	-19
Total	0.10 to < 0.15	368 650	24 329	75.00	386 934		360 274			17 969	0.05	71	-19
Total	0.15 to < 0.25	1 215	4 794	46.28	3 384		23 660			364	0.11	2	-2
Total	0.25 to < 0.50	372 564	34 219	32.55	383 701		153 562		1.0	54 270	0.14	226	-25
Total	0.50 to < 0.75	93 064	9 833	45.38	97 432		101 265			22 299	0.23	135	-26
Total	0.75 to < 2.50	97 574	7 125	46.17	100 845		31 647		1.0	37 383	0.37	323	-103
Total	0.75 to < 1.75	82 911	3 806	50.50	84 820		27 437		1.0	27 431	0.32	223	-21
Total	1.75 to < 2.5	14 662	3 319	41.20	16 025		4 210		2.0	9 952	0.62	100	-82
Total	2.50 to < 10.00	41 819	1 362	69.67	42 664		52 485		1.0	24 368	0.57	380	-46
Total	2.5 to < 5	40 280	1 066	77.15	41 004		50 586		1.0	22 900	0.56	337	-33
Total	5 to < 10	1 538	296	42.77	1 660		1 899		1.0	1 468	0.88	43	-13
Total	10.00 to < 100.00	13 095	1 453	41.51	13 656		11 640		1.0	13 710	1.00	706	-100
Total	10 to < 20	2 377	1 244	41.63	2 856		2 013		2.0	4 587	1.61	141	-18
Total	20 to < 30	3 469	163	37.17	3 530		385		2.0	2 376	0.67	152	-49
Total	30.00 to < 100.00	7 249	45	53.93	7 271		9 242			6 747	0.93	413	-33
Total	100.00 (Default)	4 360	73	40.59	4 388		3 304		1.0	8 194	1.87	742	-742
Total	Subtotal	1 923 179	275 505	36.10	2 022 346		959 147		1.0	234 160	0.12	2 687	-1 082

¹ The amount is based on the number of agreements rather than counterparties for retail exposures

CREDIT RISK

IRB approach - Credit risk exposures by exposure class and PD range 2024													
F-IRB		On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF(%)	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors ¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
SEK m	PD range												
Central Governments and Central Banks	0.00 to < 0.15	629 643	24 700	31.60	637 449		253	44.87	1.0	8 658	0.01	7	-16
Central Governments and Central Banks	0.00 to < 0.10	629 643	24 700	31.60	637 449		253	44.87	1.0	8 658	0.01	7	-16
Central Governments and Central Banks	0.10 to < 0.15												
Central Governments and Central Banks	0.15 to < 0.25	88	0	43.44	88	0.20	11	42.55	3.0	38	0.43	0	0
Central Governments and Central Banks	0.25 to < 0.50												
Central Governments and Central Banks	0.50 to < 0.75												
Central Governments and Central Banks	0.75 to < 2.50	2	0	20.00	2	1.00	2	45.00	3.0	2	0.98	0	0
Central Governments and Central Banks	0.75 to < 1.75	2	0	20.00	2	1.00	2	45.00	3.0	2	0.98	0	0
Central Governments and Central Banks	1.75 to < 2.5												
Central Governments and Central Banks	2.50 to < 10.00												
Central Governments and Central Banks	2.5 to < 5												
Central Governments and Central Banks	5 to < 10												
Central Governments and Central Banks	10.00 to < 100.00												
Central Governments and Central Banks	10 to < 20												
Central Governments and Central Banks	20 to < 30												
Central Governments and Central Banks	30.00 to < 100.00												
Central Governments and Central Banks	100.00 (Default)												
Central Governments and Central Banks	Subtotal	629 733	24 701	31.60	637 539	0.00	266	44.87	1.0	8 697	0.01	7	-16
Institutions	0.00 to < 0.15	38 127	4 497	37.72	39 823	0.14	45	16.96	3.0	7 179	0.18	10	-3
Institutions	0.00 to < 0.10	3 783	1 324	8.88	3 901	0.07	13	12.91	3.0	381	0.10	0	0
Institutions	0.10 to < 0.15	34 343	3 173	49.75	35 922	0.15	32	17.40	3.0	6 798	0.19	9	-2
Institutions	0.15 to < 0.25												
Institutions	0.25 to < 0.50	321	2 516	17.70	766	0.33	21	39.45	3.0	507	0.66	1	0
Institutions	0.50 to < 0.75	1	136	50.05	69	0.71	8	45.00	3.0	67	0.97	0	0
Institutions	0.75 to < 2.50	57	135	50.00	125	1.55	10	45.00	3.0	161	1.29	1	0
Institutions	0.75 to < 1.75	57	135	50.00	125	1.55	10	45.00	3.0	161	1.29	1	0
Institutions	1.75 to < 2.5												
Institutions	2.50 to < 10.00	0	30	50.00	15	7.28	4	45.00	3.0	33	2.15	1	-1
Institutions	2.5 to < 5	0			0	3.37	2	45.00	3.0	0	1.71	0	0
Institutions	5 to < 10		30	50.00	15	7.35	2	45.00	3.0	32	2.15	0	-1
Institutions	10.00 to < 100.00												
Institutions	10 to < 20												
Institutions	20 to < 30												
Institutions	30.00 to < 100.00												
Institutions	100.00 (Default)												
Institutions	Subtotal	38 506	7 314	31.34	40 798	0.15	88	17.53	3.0	7 946	0.19	12	-4

IRB approach - Credit risk exposures by exposure class and PD range 2024													
F-IRB		On-balance-sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF(%)	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors ¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
SEK m	PD range												
Corporates SME	0.00 to < 0.15	3 429	4 032	72.38	6 348	0.07	746	21.28	3.0	510	0.08	1	-1
Corporates SME	0.00 to < 0.10	2 621	3 232	74.26	5 021	0.05	306	19.78	3.0	319	0.06	1	0
Corporates SME	0.10 to < 0.15	808	800	64.81	1 326	0.14	440	26.97	3.0	191	0.14	0	-1
Corporates SME	0.15 to < 0.25												
Corporates SME	0.25 to < 0.50	569	182	74.18	705	0.32	75	35.88	3.0	218	0.31	1	0
Corporates SME	0.50 to < 0.75	1 052	610	66.84	1 460	0.52	414	30.88	3.0	495	0.34	2	-3
Corporates SME	0.75 to < 2.50	662	444	64.22	947	1.70	395	32.41	3.0	499	0.53	5	-9
Corporates SME	0.75 to < 1.75	269	27	73.28	289	1.14	42	37.37	3.0	161	0.56	1	0
Corporates SME	1.75 to < 2.5	393	418	63.64	659	1.94	353	30.24	3.0	338	0.51	4	-9
Corporates SME	2.50 to < 10.00	72	65	51.90	106	7.32	60	15.39	3.0	41	0.39	1	-1
Corporates SME	2.5 to < 5	0			0	4.07	1		3.0				
Corporates SME	5 to < 10	72	65	51.90	106	7.32	59	15.39	3.0	41	0.39	1	-1
Corporates SME	10.00 to < 100.00	85	57	34.22	105	29.25	61	30.51	3.0	118	1.12	9	-4
Corporates SME	10 to < 20												
Corporates SME	20 to < 30	62	26	46.44	74	24.29	47	33.08	3.0	90	1.22	6	-3
Corporates SME	30.00 to < 100.00	24	31	23.92	31	41.06	14	24.39	3.0	27	0.88	3	-1
Corporates SME	100.00 (Default)	45	10	34.91	48	100.00	10	44.07	3.0			21	-17
Corporates SME	Subtotal	5 915	5 401	70.42	9 719	1.21	1 761	25.01	3.0	1 880	0.19	41	-36
Corporates Other	0.00 to < 0.15	11 001	76 627	71.28	65 623	0.06	353	39.89	3.0	14 173	0.22	18	-6
Corporates Other	0.00 to < 0.10	11 001	76 627	71.28	65 623	0.06	349	39.89	3.0	14 173	0.22	18	-6
Corporates Other	0.10 to < 0.15	0	1	20.00	0	0.15	4	45.00	3.0	0	0.53	0	0
Corporates Other	0.15 to < 0.25												
Corporates Other	0.25 to < 0.50	3 464	7 604	40.71	6 560	0.27	130	33.98	3.0	2 716	0.41	6	-2
Corporates Other	0.50 to < 0.75	716	5 523	27.93	2 259	0.71	80	31.73	3.0	1 367	0.61	5	-4
Corporates Other	0.75 to < 2.50	295	871	90.87	1 086	1.87	25	44.80	3.0	1 290	1.19	9	-3
Corporates Other	0.75 to < 1.75	0	44	74.95	33	1.14	4	44.82	3.0	34	1.02	0	0
Corporates Other	1.75 to < 2.5	295	827	91.71	1 053	1.90	21	44.80	3.0	1 257	1.19	9	-3
Corporates Other	2.50 to < 10.00	471			471	4.07	1	43.19	3.0	672	1.43	8	
Corporates Other	2.5 to < 5	471			471	4.07	1	43.19	3.0	672	1.43	8	
Corporates Other	5 to < 10												
Corporates Other	10.00 to < 100.00	23	1 244	74.55	950	12.45	18	44.92	3.0	2 094	2.20	53	-2
Corporates Other	10 to < 20	15	1 243	74.56	942	12.29	16	44.93	3.0	2 071	2.20	52	-2
Corporates Other	20 to < 30	9	0	20.00	9	29.41	2	44.68	3.0	22	2.62	1	0
Corporates Other	30.00 to < 100.00												
Corporates Other	100.00 (Default)												
Corporates Other	Subtotal	15 971	91 869	66.37	76 948	0.30	607	39.30	3.0	22 313	0.29	99	-17

CREDIT RISK

IRB approach - Credit risk exposures by exposure class and PD range 2024													
F-IRB		On-balance sheet exposures	Off-balance-sheet exposures pre-CCF	Exposure weighted average CCF(%)	Exposure post CCF and post CRM	Exposure weighted average PD (%)	Number of obligors ¹	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	Risk weighted exposure amount after supporting factors	Density of risk weighted exposure amount	Expected loss amount	Value adjustments and provisions
SEK m	PD range												
Total	0.00 to < 0.15	682 200	109 857	61.03	749 242		1 397		1.0	30 519	4.07	35	-25
Total	0.00 to < 0.10	647 048	105 883	61.34	711 994		921		1.0	23 530	3.30	25	-22
Total	0.10 to < 0.15	35 151	3 973	52.78	37 248		476		3.0	6 989	18.76	10	-4
Total	0.15 to < 0.25	88	0	43.44	88		11		3.0	38	42.65	0	0
Total	0.25 to < 0.50	4 355	10 302	35.68	8 030		226		3.0	3 440	42.84	8	-3
Total	0.50 to < 0.75	1 769	6 270	32.20	3 788		502		3.0	1 929	50.93	8	-7
Total	0.75 to < 2.50	1 016	1 450	78.89	2 160		432		3.0	1 952	90.36	15	-13
Total	0.75 to < 1.75	328	205	58.26	448		58		3.0	357	79.67	2	0
Total	1.75 to < 2.5	688	1 245	82.29	1 712		374		3.0	1 595	93.16	13	-12
Total	2.50 to < 10.00	543	95	51.30	592		65		3.0	746	125.97	10	-2
Total	2.5 to < 5	471			471		4		3.0	673	142.77	8	0
Total	5 to < 10	72	95	51.30	121		61		3.0	73	60.48	2	-2
Total	10.00 to < 100.00	108	1 301	72.77	1 055		79		3.0	2 211	209.59	62	-6
Total	10 to < 20	15	1 243	74.56	942		16		3.0	2 071	219.98	52	-2
Total	20 to < 30	70	27	46.14	83		49		3.0	113	136.66	7	-3
Total	30.00 to < 100.00	24	31	23.92	31		14		3.0	27	88.40	3	-1
Total	100.00 (Default)	45	10	34.91	48		10		3.0		0.00	21	-17
Total	Subtotal	690 124	129 285	57.92	765 004		2 722		1.0	40 836	5.34	159	-73
Total	(all exposures classes)	2 613 302	404 790	43.06	2 787 351	0.26	961 869	12.11	1.0	274 996	9.87	2 846	-1 155

¹ The amount is based on the number of agreements rather than counterparties for retail exposures

CREDIT RISK

EU CR6-A

Scope of the use of IRB and SA approaches 2024		Exposure value as defined in Article 166 CRR for exposures subject to IRB approach	Total exposure value for exposures subject to the Standardised approach and to the IRB approach	Percentage of total exposure value subject to the permanent partial use of the SA (%)	Percentage of total exposure value subject to IRB approach (%)	Percentage of total exposure value subject to a roll-out plan (%)
SEK m						
1	Central governments or central banks	616 599	745 911	0.30	17.00	82.70
1.1	<i>Of which Regional governments or local authorities</i>		15 556	0.00	0.00	100.00
1.2	<i>Of which Public sector entities</i>					
2	Institutions	56 184	58 794	4.20	0.20	95.60
3	Corporates	1 239 307	1 550 320	0.70	19.40	79.90
3.1	<i>Of which Corporates - Specialised lending, excluding slotting approach</i>					
3.2	<i>Of which Corporates - Specialised lending under slotting approach</i>					
4	Retail	1 135 990	1 274 987	0.90	10.00	89.10
4.1	<i>of which Retail – Secured by real estate SMEs</i>		7 443	1.50	8.10	90.40
4.2	<i>of which Retail – Secured by real estate non-SMEs</i>		1 220 063	0.40	9.20	90.40
4.3	<i>of which Retail – Qualifying revolving</i>					
4.4	<i>of which Retail – Other SMEs</i>		10 406	0.80	11.20	88.00
4.5	<i>of which Retail – Other non-SMEs</i>		37 073	15.80	36.40	47.80
5	Equity	790	7 812	89.90		10.10
6	Other non-credit obligation assets	10 955	10 955			100.00
7	Total	3 059 824	3 648 779	0.90	15.20	83.90

EU CR7

The table shows gross risk exposure amount and net risk exposure amount after taking into account the impact of netting agreements and collateral posting. Handelsbanken's risk exposure amount is not affected by credit derivatives.

IRB approach - Effect on the RWEAs of credit derivatives used as CRM techniques 2024		Pre-credit derivatives risk weighted exposure amount	Actual risk weighted Exposure amount
SEK m			
1	Exposures under F-IRB		40 836
2	Central governments and central banks		8 697
3	Institutions		7 946
4	Corporates		24 193
4.1	<i>of which Corporates – SMEs</i>		1 880
4.2	<i>of which Corporates - Specialised lending</i>		
5	Exposures under A-IRB		234 160
6	Central governments and central banks		
7	Institutions		
8	Corporates		140 090
8.1	<i>of which Corporates – SMEs</i>		59 368
8.2	<i>of which Corporates - Specialised lending</i>		
9	Retail		94 070
9.1	<i>of which Retail – SMEs - Secured by immovable property collateral</i>		1 886
9.2	<i>of which Retail – non-SMEs - Secured by immovable property collateral</i>		85 004
9.3	<i>of which Retail – Qualifying revolving</i>		
9.4	<i>of which Retail – SMEs – Other</i>		2 324
9.5	<i>of which Retail – Non-SMEs- Other</i>		4 857
10	TOTAL (including F-IRB exposures and A-IRB exposures)		274 996

EU CR7-A

IRB approach - Disclosure of the extent of the use of CRM techniques 2024		Credit risk Mitigation techniques											Credit risk Mitigation methods in the calculation of RWEAs		
		Funded credit Protection (FCP)									Unfunded credit Protection (UFCP)		RWEA without substitution effects (reduction effects only)	RWEA with substitution effects (both reduction and substitution effects)	
		Total exposures	Part of exposures covered by Financial Collaterals (%)	Part of exposures covered by Other eligible collaterals (%)	Part of exposures covered by Immovable property Collaterals (%)	Part of exposures covered by Receivables (%)	Part of exposures covered by Other physical collateral (%)	Part of exposures covered by Other funded credit protection (%)	Part of exposures covered by Cash on deposit (%)	Part of exposures covered by Life insurance policies (%)	Part of exposures covered by Instruments held by a third party	Part of exposures covered by Guarantees (%)			Part of exposures covered by Credit Derivatives (%)
SEK m															
1	Central governments and central banks														
2	Institutions														
3	Corporates	926 454		84.19	83.18	0.00	1.00	0.00	0.00					189 854	140 090
3.1	Of which Corporates - SMEs	608 177		97.88	96.50		1.38	0.00	0.00					89 513	59 368
3.2	Of which Corporats Specialised lending														
3.3	Of which Corporats Other	318 276		58.02	57.74		0.28							100 340	80 721
4	Retail	1 095 893	0.16	98.13	97.75		0.38	0.00	0.00					267 144	94 070
4.1	Of which Retail - Immoveable property SMEs	6 557	0.00	101.85	100.00		1.85	0.00	0.00					1 605	1 886
4.2	Of which retail - Immoveable property non-SMEs	1 064 696	0.00	100.00	100.00		0.00	0.00	0.00					258 358	85 004
4.3	Of which retail - Qualifying revolving														
4.4	Of which retail - Other SMEs	7 737	0.91	42.34			42.34	0.00	0.00					2 324	2 324
4.4	Of which retail - Other non-SMEs	16 902	9.69	4.50			4.50	0.01	0.01					4 857	4 857
5	Total	2 022 346	0.09	91.74	91.08		0.66	0.00	0.00					456 997	234 160

IRB approach - Disclosure of the extent of the use of CRM techniques 2024		Credit risk Mitigation techniques											Credit risk Mitigation methods in the calculation of RWEAs		
		Funded credit Protection (FCP)									Unfunded credit Protection (UFCP)				
		Total exposures	Part of exposures covered by Financial Collaterals (%)	Part of exposures covered by Other eligible collaterals (%)	Part of exposures covered by Immovable property Collaterals (%)	Part of exposures covered by Receivables (%)	Part of exposures covered by Other physical collateral (%)	Part of exposures covered by Other funded credit protection (%)	Part of exposures covered by Cash on deposit (%)	Part of exposures covered by Life insurance policies (%)	Part of exposures covered by Instruments held by a third party	Part of exposures covered by Guarantees (%)			Part of exposures covered by Credit Derivatives (%)
SEK m															
1	Central governments and central banks	637 539		1.30	1.28		0.02					0.03		6 788	8 697
2	Institutions	40 798										5.03		8 050	7 946
3	Corporates	86 667	15.68	2.59	2.51		0.08	0.01	0.01			8.23		23 728	24 193
3.1	Of which Corporates - SMEs	9 719	41.12	14.80	14.80			0.06	0.06			3.33		1 771	1 880
3.2	Of which Corporats Specialised lending														
3.3	Of which Corporats Other	76 948	12.46	1.05	0.96		0.09	0.00	0.00			8.84		21 957	22 313
4	Total	765 004	1.78	1.38	1.35		0.03	0.00	0.00			1.22		38 567	40 836

CREDIT RISK

EU CR8

The following table shows the change for risk exposure amount for credit risk calculated by the IRB approach. It further specifies the capital requirement. The change of risk exposure amount is broken down by type of driver. The risk exposure amount has decreased compared to the previous Period.

RWEA flow statements of credit risk exposures under the IRB approach 2024		Risk weighted exposure amount
SEK m		
1	RWAs as at the end of the previous reporting period	536 460
2	Asset size	-2 909
3	Asset quality	-16 799
4	Model updates	-3 131
5	Methodology and policy	-10 999
6	Acquisitions and disposals	
7	Foreign exchange movements	2 178
8	Other	13 332
9	Risk weighted exposure amount as at the end of the reporting period	518 132

EU CR9

IRB approach – Back-testing of PD per exposure class (fixed PD scale)		Number of obligors at the end of the previous year		Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
A- IRB 2024			Of which number of obligors which defaulted in the year				
Exposure class	PD range						
Corporate exposures: SMEs	0.00 to <0.15	22 006	5	0.02	0.07	0.09	0.02
Corporate exposures: SMEs	0.00 to <0.10	16 133	2	0.01	0.05	0.07	0.00
Corporate exposures: SMEs	0.10 to <0.15	5 873	3	0.05	0.13	0.14	0.05
Corporate exposures: SMEs	0.15 to <0.25	4 198				0.22	0.01
Corporate exposures: SMEs	0.25 to <0.50	2 973	8	0.27	0.32	0.46	0.08
Corporate exposures: SMEs	0.50 to <0.75	3 361	5	0.15	0.52	0.56	0.13
Corporate exposures: SMEs	0.75 to <2.50	4 964	27	0.54	1.23	1.80	0.45
Corporate exposures: SMEs	0.75 to <1.75	3 071	12	0.39	1.08	1.61	0.32
Corporate exposures: SMEs	1.75 to <2.5	1 893	15	0.79	1.98	2.11	0.62
Corporate exposures: SMEs	2.50 to <10.00	654	9	1.38	4.79	6.81	1.84
Corporate exposures: SMEs	2.5 to <5	33			4.07	3.87	1.85
Corporate exposures: SMEs	5 to <10	621	9	1.45	7.32	6.97	1.84
Corporate exposures: SMEs	10.00 to <100.00	533	51	9.57	27.75	32.08	6.90
Corporate exposures: SMEs	10 to <20					0.00	3.52
Corporate exposures: SMEs	20 to <30	231	14	6.06	24.68	20.03	5.08
Corporate exposures: SMEs	30.00 to <100.00	302	37	12.25	43.78	41.29	10.01
Corporate exposures: SMEs	100.00 (Default)	108	10	9.26	100.00	100.00	7.79
Corporates Other	0.00 to <0.15	1 588			0.07	0.08	0.04
Corporates Other	0.00 to <0.10	630			0.07	0.04	
Corporates Other	0.10 to <0.15	958				0.12	0.08
Corporates Other	0.15 to <0.25						
Corporates Other	0.25 to <0.50	628			0.29	0.34	0.03
Corporates Other	0.50 to <0.75				0.71		
Corporates Other	0.75 to <2.50	470			1.38	1.16	0.27
Corporates Other	0.75 to <1.75	426			1.14	1.06	0.11
Corporates Other	1.75 to <2.5	44			1.90	2.10	0.29
Corporates Other	2.50 to <10.00	85			4.07	5.90	0.80
Corporates Other	2.5 to <5				4.07		
Corporates Other	5 to <10	85				5.90	0.80
Corporates Other	10.00 to <100.00	76	1	1.32	17.00	26.48	3.28
Corporates Other	10 to <20	38			12.29	12.83	
Corporates Other	20 to <30				21.56		1.45
Corporates Other	30.00 to <100.00	38	1	2.63	47.46	40.14	8.19
Corporates Other	100.00 (Default)	4	1	25.00	100.00	100.00	9.68
Retail Secured by real estate property: SME	0.00 to <0.15	816	1	0.12	0.07	0.08	0.06
Retail Secured by real estate property: SME	0.00 to <0.10	659	1	0.15	0.07	0.07	0.06
Retail Secured by real estate property: SME	0.10 to <0.15	157			0.14	0.14	0.07
Retail Secured by real estate property: SME	0.15 to <0.25	1 304.00			0.24	0.24	0.03
Retail Secured by real estate property: SME	0.25 to <0.50	41			0.46	0.45	0.22
Retail Secured by real estate property: SME	0.50 to <0.75	1 812.00	3	0.17	0.70	0.69	0.19
Retail Secured by real estate property: SME	0.75 to <2.50	1 805.00	6	0.33	1.52	1.43	0.48
Retail Secured by real estate property: SME	0.75 to <1.75	1 034.00	3	0.29	0.90	0.92	0.34
Retail Secured by real estate property: SME	1.75 to <2.5	771	3	0.39	2.09	2.12	0.75
Retail Secured by real estate property: SME	2.50 to <10.00	872	15	1.72	3.92	4.28	2.26
Retail Secured by real estate property: SME	2.5 to <5	851	14	1.65	3.90	4.20	1.27
Retail Secured by real estate property: SME	5 to <10	21	1	4.76	7.52	7.51	3.38
Retail Secured by real estate property: SME	10.00 to <100.00	385	23	5.97	16.81	16.98	4.83
Retail Secured by real estate property: SME	10 to <20	383	23	6.01	16.80	16.90	5.72
Retail Secured by real estate property: SME	20 to <30	1			22.21	22.21	
Retail Secured by real estate property: SME	30.00 to <100.00	1			45.36	45.36	2.14
Retail Secured by real estate property: SME	100.00 (Default)	50	1	2.00	100.00	100.00	14.95

IRB approach – Back-testing of PD per exposure class (fixed PD scale)		Number of obligors at the end of the previous year					
A- IRB 2024							
Exposure class	PD range		Of which number of obligors which defaulted in the year	Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
Retail Secured by real estate property: Other Non-SME	0.00 to <0.15	328 790	136	0.04	0.08	0.08	0.06
Retail Secured by real estate property: Other Non-SME	0.00 to <0.10	203 374	34	0.02	0.05	0.05	0.03
Retail Secured by real estate property: Other Non-SME	0.10 to <0.15	125 416	102	0.08	0.13	0.13	0.13
Retail Secured by real estate property: Other Non-SME	0.15 to <0.25	938			0.19	0.19	0.05
Retail Secured by real estate property: Other Non-SME	0.25 to <0.50	140 334	212	0.15	0.30	0.31	0.26
Retail Secured by real estate property: Other Non-SME	0.50 to <0.75	55 669	174	0.31	0.65	0.65	0.27
Retail Secured by real estate property: Other Non-SME	0.75 to <2.50	11 749	40	0.34	1.56	1.10	1.07
Retail Secured by real estate property: Other Non-SME	0.75 to <1.75	11 749	40	0.34	1.56	1.10	0.59
Retail Secured by real estate property: Other Non-SME	1.75 to <2.5						1.65
Retail Secured by real estate property: Other Non-SME	2.50 to <10.00	19 330	403	2.08	4.67	4.33	2.92
Retail Secured by real estate property: Other Non-SME	2.5 to <5	19 183	391	2.04	4.64	4.30	2.83
Retail Secured by real estate property: Other Non-SME	5 to <10	147	12	8.16	7.74	8.29	7.41
Retail Secured by real estate property: Other Non-SME	10.00 to <100.00	4 985	566	11.35	30.54	31.64	9.88
Retail Secured by real estate property: Other Non-SME	10 to <20	1				17.43	7.61
Retail Secured by real estate property: Other Non-SME	20 to <30						
Retail Secured by real estate property: Other Non-SME	30.00 to <100.00	4 984	566	11.36	30.54	31.64	13.31
Retail Secured by real estate property: Other Non-SME	100.00 (Default)	1 446	74	5.12	100.00	100.00	19.60
Retail Other SME	0.00 to <0.15	192			0.07	0.07	
Retail Other SME	0.00 to <0.10	183			0.07	0.07	
Retail Other SME	0.10 to <0.15	9			0.14	0.14	
Retail Other SME	0.15 to <0.25	23 061	12	0.05	0.24	0.24	0.08
Retail Other SME	0.25 to <0.50	132			0.48	0.46	0.14
Retail Other SME	0.50 to <0.75	12 158	21	0.17	0.67	0.69	0.52
Retail Other SME	0.75 to <2.50	11 047	118	1.07	1.45	1.14	1.15
Retail Other SME	0.75 to <1.75	9 113	91	1.00	0.92	0.92	0.77
Retail Other SME	1.75 to <2.5	1 934	27	1.40	2.17	2.15	1.42
Retail Other SME	2.50 to <10.00	5 862	125	2.13	4.58	4.38	4.08
Retail Other SME	2.5 to <5	5 714	119	2.08	4.23	4.28	2.66
Retail Other SME	5 to <10	148	6	4.05	8.14	8.12	5.20
Retail Other SME	10.00 to <100.00	1 771	181	10.22	17.06	16.99	11.00
Retail Other SME	10 to <20	1 734	174	10.03	16.73	16.67	8.91
Retail Other SME	20 to <30	21	2	9.52	22.21	22.21	9.52
Retail Other SME	30.00 to <100.00	16	5	31.25	45.36	45.36	19.54
Retail Other SME	100.00 (Default)	321	9	2.80	100.00	100.00	8.44
Retail Other Non-SME	0.00 to <0.15	259 275	139	0.05	0.12	0.13	0.06
Retail Other Non-SME	0.00 to <0.10	7 827	7	0.09	0.06	0.05	0.06
Retail Other Non-SME	0.10 to <0.15	251 448	132	0.05	0.13	0.13	0.12
Retail Other Non-SME	0.15 to <0.25						0.20
Retail Other Non-SME	0.25 to <0.50	20 138	44	0.22	0.31	0.30	0.31
Retail Other Non-SME	0.50 to <0.75	32 079	87	0.27	0.65	0.65	0.58
Retail Other Non-SME	0.75 to <2.50	8 508	54	0.63	1.29	1.37	1.15
Retail Other Non-SME	0.75 to <1.75	8 508	54	0.63	1.29	1.37	0.96
Retail Other Non-SME	1.75 to <2.5						1.79
Retail Other Non-SME	2.50 to <10.00	33 736	485	1.44	3.56	2.86	3.78
Retail Other Non-SME	2.5 to <5	33 381	467	1.40	2.86	2.80	4.72
Retail Other Non-SME	5 to <10	355	18	5.07	9.15	9.15	4.50
Retail Other Non-SME	10.00 to <100.00	5 574	491	8.81	30.93	31.73	15.66
Retail Other Non-SME	10 to <20	39			17.43	17.43	8.22
Retail Other Non-SME	20 to <30						
Retail Other Non-SME	30.00 to <100.00	5 535	491	8.87	31.29	31.83	26.21
Retail Other Non-SME	100.00 (Default)	1 387	67	4.83	100.00	100.00	7.88
Total A-IRB	0.00 to <0.15	596 166	270	0.05		0.10	0.06
Total A-IRB	0.00 to <0.10	228 647	44	0.02		0.05	0.04
Total A-IRB	0.10 to <0.15	367 519	226	0.06		0.13	0.12
Total A-IRB	0.15 to <0.25	29 472	12	0.04		0.24	0.14
Total A-IRB	0.25 to <0.50	161 417	250	0.15		0.31	0.28
Total A-IRB	0.50 to <0.75	104 796	287	0.27		0.65	0.45
Total A-IRB	0.75 to <2.50	38 394	245	0.64		1.28	1.11
Total A-IRB	0.75 to <1.75	33 778	200	0.59		1.16	0.89
Total A-IRB	1.75 to <2.5	4 616	45	0.97		2.13	1.53
Total A-IRB	2.50 to <10.00	59 006	1 005	1.70		3.56	3.79
Total A-IRB	2.5 to <5	57 633	960	1.67		3.46	2.87
Total A-IRB	5 to <10	1 373	45	3.28		7.74	4.14
Total A-IRB	10.00 to <100.00	12 431	1 191	9.58		29.11	14.66
Total A-IRB	10 to <20	2 160	193	8.94		16.65	9.69
Total A-IRB	20 to <30	253	16	6.32		20.22	4.64
Total A-IRB	30.00 to <100.00	10 018	982	9.80		32.02	25.68
Total A-IRB	100.00 (Default)	3 116	152	4.88		100.00	8.57

IRB approach – Back-testing of PD per exposure class (fixed PD scale)		Number of obligors at the end of the previous year					
F- IRB 2024			Of which number of obligors which defaulted in the year	Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
Exposure class	PD range						
Central governments or central banks	0.00 to <0.15	284				0.01	
Central governments or central banks	0.00 to <0.10	284				0.01	
Central governments or central banks	0.10 to <0.15						
Central governments or central banks	0.15 to <0.25	13			0.20	0.20	
Central governments or central banks	0.25 to <0.50						
Central governments or central banks	0.50 to <0.75						
Central governments or central banks	0.75 to <2.50	2			1.00	1.00	
Central governments or central banks	0.75 to <1.75	2			1.00	1.00	
Central governments or central banks	1.75 to <2.5						
Central governments or central banks	2.50 to <10.00						
Central governments or central banks	2.5 to <5						
Central governments or central banks	5 to <10						
Central governments or central banks	10.00 to <100.00						
Central governments or central banks	10 to <20						
Central governments or central banks	20 to <30						
Central governments or central banks	30.00 to <100.00						
Central governments or central banks	100.00 (Default)						
Corporates SME	0.00 to <0.15	779			0.07	0.12	0.06
Corporates SME	0.00 to <0.10	209			0.05	0.04	
Corporates SME	0.10 to <0.15	570			0.14	0.15	0.09
Corporates SME	0.15 to <0.25	10				0.22	0.02
Corporates SME	0.25 to <0.50	76	1	1.32	0.32	0.46	0.26
Corporates SME	0.50 to <0.75	472	2	0.42	0.52	0.56	0.14
Corporates SME	0.75 to <2.50	443	7	1.58	1.70	2.05	0.74
Corporates SME	0.75 to <1.75	55	2	3.64	1.14	1.62	0.88
Corporates SME	1.75 to <2.5	388	5	1.29	1.94	2.11	0.73
Corporates SME	2.50 to <10.00	61			7.32	7.74	1.90
Corporates SME	2.5 to <5	1			4.07	3.87	
Corporates SME	5 to <10	60			7.32	7.80	1.90
Corporates SME	10.00 to <100.00	65	4	6.15	29.25	28.36	5.15
Corporates SME	10 to <20						3.19
Corporates SME	20 to <30	38			24.29	20.03	3.04
Corporates SME	30.00 to <100.00	27	4	14.81	41.06	40.07	9.86
Corporates SME	100.00 (Default)	8	1	12.50	100.00	100.00	15.15
Corporates Other	0.00 to <0.15	394			0.06	0.08	0.11
Corporates Other	0.00 to <0.10	167			0.06	0.04	
Corporates Other	0.10 to <0.15	227			0.15	0.11	0.21
Corporates Other	0.15 to <0.25	4				0.15	
Corporates Other	0.25 to <0.50	160			0.27	0.31	0.25
Corporates Other	0.50 to <0.75	2			0.71	0.72	
Corporates Other	0.75 to <2.50	111			1.87	1.04	0.10
Corporates Other	0.75 to <1.75	94			1.14	0.85	0.14
Corporates Other	1.75 to <2.5	17			1.90	2.10	
Corporates Other	2.50 to <10.00				4.07		
Corporates Other	2.5 to <5				4.07		
Corporates Other	5 to <10						
Corporates Other	10.00 to <100.00	18			12.45	16.79	2.00
Corporates Other	10 to <20	14			12.29	12.83	3.03
Corporates Other	20 to <30				29.41		
Corporates Other	30.00 to <100.00	4				30.68	2.78
Corporates Other	100.00 (Default)	2	1	50.00		100.00	19.44
Special lending	0.00 to <0.15						
Special lending	0.00 to <0.10						
Special lending	0.10 to <0.15						
Special lending	0.15 to <0.25						
Special lending	0.25 to <0.50						
Special lending	0.50 to <0.75						
Special lending	0.75 to <2.50						
Special lending	0.75 to <1.75						
Special lending	1.75 to <2.5						
Special lending	2.50 to <10.00						
Special lending	2.5 to <5						
Special lending	5 to <10						
Special lending	10.00 to <100.00						
Special lending	10 to <20						
Special lending	20 to <30						
Special lending	30.00 to <100.00						
Special lending	100.00 (Default)						

IRB approach – Back-testing of PD per exposure class (fixed PD scale)		Number of obligors at the end of the previous year					
F- IRB 2024							
Exposure class	PD range		Of which number of obligors which defaulted in the year	Observed average default rate (%)	Exposures weighted average PD (%)	Average PD (%)	Average historical annual default rate (%)
Total F-IRB	0.00 to <0.15	1 457				0.09	0.07
Total F-IRB	0.00 to <0.10	660				0.03	
Total F-IRB	0.10 to <0.15	797				0.14	0.13
Total F-IRB	0.15 to <0.25	27				0.20	0.02
Total F-IRB	0.25 to <0.50	236	1	0.42		0.36	0.22
Total F-IRB	0.50 to <0.75	474	2	0.42		0.56	0.14
Total F-IRB	0.75 to <2.50	556	7	1.26		1.84	0.62
Total F-IRB	0.75 to <1.75	151	2	1.32		1.13	0.40
Total F-IRB	1.75 to <2.5	405	5	1.23		2.11	0.70
Total F-IRB	2.50 to <10.00	61				7.74	1.76
Total F-IRB	2.5 to <5	1				3.87	
Total F-IRB	5 to <10	60				7.80	1.77
Total F-IRB	10.00 to <100.00	83	4	4.82		25.85	4.85
Total F-IRB	10 to <20	14				12.83	2.68
Total F-IRB	20 to <30	38				20.03	1.36
Total F-IRB	30.00 to <100.00	31	4	12.90		38.86	9.44
Total F-IRB	100.00 (Default)	10	2	20.00		100.00	16.33

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IRB approach – Back-testing of PD per exposure class (only for PD estimates according to point (f) of Article 180(1) CRR)			Number of obligors at the end of the previous year		Observed average default rate (%)	Average PD (%)	Average historical annual default rate (%)
F-IRB 2024			Of which number of obligors which defaulted in the year				
Exposure class	PD range	External rating equivalent					
Institutions	0.00% to < 0.10%	Aaa,Aa	14			0.07	
Institutions	0.10% to < 0.20%	Aa,A	40			0.15	
Institutions	0.20% to < 0.50%	A,Baa	21			0.33	
Institutions	0.50% to < 1.00%	Baa	8			0.72	
Institutions	1.00% to < 2.00%	Baa,Ba	8			1.56	
Institutions	2.00% to < 5.00%	Ba	3			3.41	
Institutions	5.00% to < 25.00%	B	2			11.80	
Institutions	25.00% to < 35.00%	B,Caa					
Institutions	35.00% to < 100.00%	Caa,C					

SPECIALISED LENDING

EU CR10

The following table shows carrying values, exposure amounts, risk-weighted assets and capital requirements for specialised lending and equity exposures. Risk-weighted assets are calculated using the simple risk-weighted approach. Risk-weighted assets are in line with last year.

Equity exposures under the simple risk-weighted approach 2024						
SEK m	On-balance-sheet exposure	Off-balance-sheet exposure	Risk weight	Exposure value	Risk weighted exposure amount	Expected loss amount
Private equity exposures			190			
Exchange-traded equity exposures			290			
Other equity exposures	790		370	790	2 922	19
Total	790			790	2 922	19

COUNTERPARTY CREDIT RISK

EU CCRA Qualitative disclosure related to CCR

Article 439 (a) CRR

Description of the methodology used to assign internal capital and credit limits for counterparty credit exposures, including the methods to assign those limits to exposures to central counterparties.

The value fluctuation risk for transactions longer than spot (foreign exchange risk, equity risk, commodity risk and interest rate risks) is included in the Bank's credit limit for the client. For limitation purposes, the exposure for counterparty credit risk is calculated as the current mark-to-market value (MTM) plus an Add-on to cover future changes in the MTM value.

The Bank assigns limits to central counterparties for value fluctuation risk in terms of the replacement cost should the central counterparty default, and for the risk of the central counterparty needing to utilise the Bank's funds to cover losses as a result of other members defaulting.

Article 439 (b) CRR

Description of policies related to guarantees and other credit risk mitigants, such as the policies for securing collateral and establishing credit reserves.

The counterparty credit risk in derivatives is reduced through close-out netting agreements, which involve offsetting positive values against negative values in all derivative transactions with the same counterparty. Netting agreements are supplemented with credit support annex (CSA) agreements, for issuing collateral for the net exposure, which further reduces the counterparty credit risk. The collateral for these transactions is mainly cash, but government instruments and covered bonds are also used. Due to the high proportion of cash, the concentration risks in the collateral are limited.

Article 439 (c) CRR

Description of policies with respect to Wrong-Way risk as defined in Article 291 of the CRR.

The Bank has limited exposure to general wrong-way risk, as derivative transactions are generally client driven with the purpose of hedging the clients' business from market risk exposures. General wrong-way risk is measured and monitored within the credit valuation adjustment model framework.

Transactions with specific wrong-way risk are automatically identified and monitored in the derivatives execution system. The exposure under credit limit is conservatively set to the notional amount. For own funds requirements purposes, the transactions are handled according to Article 291 of the CRR.

The Bank does not accept securities associated with significant wrong-way risk as collateral for counterparty credit risk mitigation.

Article 431 (3) and (4) CRR

Any other risk management objectives and relevant policies related to CCR.

The credit policy describes the Bank's risk tolerance for counterparty credit risk. The risk tolerance concerning counterparty credit risk is expressed in terms of a level derived from a forward-looking stress test for CVA. Limits based on the stress test result are monitored daily and distributed to the business unit responsible for managing the counterparty credit risk in the Bank.

Counterparty credit risk is reported to the Board periodically via the Group risk report. Counterparty credit risk is also reported through the Bank's risk committee. The risk tolerance is monitored and reported daily within the risk control function and the business unit responsible for managing the counterparty credit risk in the Bank.

Article 439 (d) CRR

The amount of collateral the institution would have to provide if its credit rating was downgraded.

A small number of the collateral agreements entered into by the Bank include terms and conditions concerning ratings-based threshold amounts for Handelsbanken. These conditions mean that the Bank must provide further collateral for the counterparty in question, in the event of external parties lowering the Bank's rating. At year-end, a downgrading from AA/Aa2 to AA-/Aa3 would have meant the Bank having to provide additional collateral of SEK 22m (60).

EU CCR1

The table shows the approach used to calculate credit counterparty risk (CCR) exposure and REA and the main parameters used within each approach.

Analysis of CCR exposure by approach 2024		Replacement cost (RC)	Potential future exposure (PFE)	EEPE	Alpha used for computing regulatory exposure value	Exposure value pre-CRM	Exposure value post-CRM	Exposure value	RWEA
SEK m									
EU-1	EU - Original Exposure Method (for derivatives)				1.4				
EU-2	EU - Simplified SA-CCR (for derivatives)				1.4				
1	SA-CCR (for derivatives)	5 281	15 014		1.4	94 256	28 243	28 301	8 194
2	IMM (for derivatives and SFTs)								
2a	Of which securities financing transactions netting sets								
2b	Of which derivatives and long settlement transactions netting sets								
2c	Of which from contractual cross-product netting sets								
3	Financial collateral simple method (for SFTs)								
4	Financial collateral comprehensive method (for SFTs)					3 653		2 113	343
5	VaR for SFTs								
6	Total					97 909	28 243	30 413	8 537

EU CCR2

The table shows exposure value and risk-weighted assets for credit value adjustment (CVA) broken down by approach. Risk-weighted assets have decreased.

Transactions subject to own funds requirements for CVA risk 2024		Exposure value	RWEA
SEK m			
1	Total transactions subject to the Advanced method		
2	(i) VaR component (including the 3× multiplier)		
3	(ii) stressed VaR component (including the 3× multiplier)		
4	Transactions subject to the Standardised method	10 809	2 127
EU-4	Transactions subject to the Alternative approach (Based on the Original Exposure Method)		
5	Total transactions subject to own funds requirements for CVA risk	10 809	2 127

EU CCR3

The table shows EAD for credit counterparty risk (CCR) according to the standardised approach. Amounts are broken down by exposure class and risk weight. The regulatory capital requirement has decreased compared to the previous year.

Standardised approach – CCR exposures by regulatory portfolio and risk 2024		Risk weight											Total exposure value
SEK m		0%	2%	4%	10%	20%	50%	70%	75%	100%	150%	Others	
1	Central governments or central banks												
2	Regional governments or local authorities												
3	Public sector entities												
4	Multilateral development banks	93											93
5	International organisations												
6	Institutions		2 478			117							2 595
7	Corporates									0			0
8	Retail								17				17
9	Institutions and corporates with a short-term credit assessment												
10	Other items									1		0	1
11	Total exposure value	93	2 478			117			17	1		0	2 705

EU CCR4

The table shows credit counterparty risk (CCR) exposures and risk-weighted assets subject to the IRB approach. Amounts are broken down by exposure class and obligor grade. The table further specifies average PD, average LGD and resulting risk weights. The total exposure has increased compared to the previous period.

IRB approach – CCR exposures by exposure class and PD scale 2024									
SEK m		PD scale	Exposure value	Exposure weighted average PD (%)	Number of obligors	Exposure weighted average LGD (%)	Exposure weighted average maturity (years)	RWEA	Density of risk weighted exposure amounts
1	Central Governments and Central Banks	0.00 to < 0.15	7 945		45	45.00	2.00	240	3.02
2	Central Governments and Central Banks	0.15 to < 0.25							
3	Central Governments and Central Banks	0.25 to < 0.50							
4	Central Governments and Central Banks	0.50 to < 0.75							
5	Central Governments and Central Banks	0.75 to < 2.50							
6	Central Governments and Central Banks	2.50 to < 10.00							
7	Central Governments and Central Banks	10.00 to < 100.00							
8	Central Governments and Central Banks	100.00 (Default)							
9	Central Governments and Central Banks	Subtotal (exposure class)	7 945		45	45.00	2.00	240	3.02
10	Institutions	0.00 to < 0.15	7 188	0.14	37	44.88	2.00	3 413	47.48
11	Institutions	0.15 to < 0.25							
12	Institutions	0.25 to < 0.50	1 010	0.33	8	45.00	2.00	775	76.70
13	Institutions	0.50 to < 0.75	83	0.71	4	45.00	3.00	91	109.12
14	Institutions	0.75 to < 2.50							
15	Institutions	2.50 to < 10.00							
16	Institutions	10.00 to < 100.00							
17	Institutions	100.00 (Default)							
18	Institutions	Subtotal (exposure class)	8 282	0.16	49	44.90	2.00	4 279	51.67
37	Corporates other	0.00 to < 0.15	12 501	0.06	728	45.74	2.00	3 041	24.33
38	Corporates other	0.15 to < 0.25							
39	Corporates other	0.25 to < 0.50	1 158	0.29	213	43.39	2.00	562	48.52
40	Corporates other	0.50 to < 0.75	140	0.63	96	44.26	3.00	101	71.98
41	Corporates other	0.75 to < 2.50	237	1.29	138	41.71	3.00	191	80.60
42	Corporates other	2.50 to < 10.00	25	4.53	11	42.85	3.00	34	137.16
43	Corporates other	10.00 to < 100.00	50	14.49	13	45.00	3.00	106	211.18
44	Corporates other	100.00 (Default)							
45	Corporates other	Subtotal (exposure class)	14 113	0.17	1 199	45.46	2.00	4 036	28.60
54	Total	Total (all exposures classes)	30 340	0.12	1 293	45.18	2.00	8 555	28.20

EU CCR5

The table shows collateral posted or received to support or reduce counterparty credit risk (CCR) exposures related to derivative transactions and securities finance transactions, including transactions cleared through a CCP.

Composition of collateral for CCR exposures 2024		Collateral used in derivative transactions				Collateral used in SFTs			
		Fair value of collateral received		Fair value of posted collateral		Fair value of collateral received		Fair value of posted collateral	
		Segregated	Unsegregated	Segregated	Unsegregated	Segregated	Unsegregated	Segregated	Unsegregated
SEK m									
1	Cash – domestic currency		8 102		1 336		3 871		11 396
2	Cash – other currencies		36 350		4 864		404		21 883
3	Domestic sovereign debt		272				10 832		3 736
4	Other sovereign debt		394				21 367		
5	Government agency debt								
6	Corporate bonds		5 244	7 694	345	292	237		240
7	Equity securities					205	2 772		4 894
8	Other collateral	1 693		1 799					
9	Total	1 693	50 362	9 493	6 546	497	39 483		42 149

EU CCR6

The table shows exposures to credit derivative transactions broken down to derivatives bought or sold as well as notional amounts and fair value. Total fair value have increased compared to the previous year.

Credit derivative exposures 2024			
SEK m		Protection bought	Protection sold
	Notionals		
1	Single-name credit default swaps		1 615
2	Index credit default swaps	100	83
3	Total return swaps		
4	Credit options		
5	Other credit derivatives		
6	Total notionals	100	1 698
	Fair values		
7	Positive fair value (asset)		164
8	Negative fair value (liability)	-2	-17

EU CCR8

The table shows exposures to QCCPs. The exposure to QCCP is in line with the previous year

Exposures to CCPs 2024		Exposure value	RWEA
SEK m			
1	Exposures to QCCPs (total)		266
2	Exposures for trades at QCCPs (excluding initial margin and default fund contributions); of which	2 480	50
3	(i) OTC derivatives	2 277	45
4	(ii) Exchange-traded derivatives	146	3
5	(iii) SFTs	57	1
6	(iv) Netting sets where cross-product netting has been approved		
7	Segregated initial margin	7 694	
8	Non-segregated initial margin	338	
9	Prefunded default fund contributions	551	217
10	Unfunded default fund contributions	999	
11	Exposures to non-QCCPs (total)		
12	Exposures for trades at non-QCCPs (excluding initial margin and default fund contributions); of which		
13	(i) OTC derivatives		
14	(ii) Exchange-traded derivatives		
15	(iii) SFTs		
16	(iv) Netting sets where cross-product netting has been approved		
17	Segregated initial margin		
18	Non-segregated initial margin		
19	Prefunded default fund contributions		
20	Unfunded default fund contributions		

Operational risk

EU ORA Qualitative information on operational risk

Points (a), (b), (c) and (d) Article 435(1) CRR

Disclosure of the risk management objectives and policies.

Operational risk refers to the risk of loss due to inadequate or failed internal processes, human error, erroneous systems or external events. The definition includes legal risk and model risk as well as information and communication technology (ICT) risk.

The Board establishes the Handelsbanken Group’s tolerance for operational risk. Handelsbanken has a low tolerance for operational risk, although this risk is an inevitable component in all operations. As far as possible, Handelsbanken must endeavour to prevent this risk. Operational losses must be low. An operational risk which could have serious adverse consequences for the Bank, the Bank’s customers, or the financial system in the event of an incident must be reduced to a lower risk level. Risk mitigation measures must be taken so that the risk is made acceptable. Losses resulting from an operational risk event can be covered by insurance or other solutions. Risk assessments are conducted by assessing the impact and probability of events occurring, based on a scale from 1 to 5. The assessed impact, coupled with the assessed probability of the event, will determine the scope of the risk limitation measures required. If an action plan is missing or if Risk Control considers that the work is taking too long or not progressing according to plan, the risk is outside of the Bank’s risk tolerance. Handelsbanken’s recognised operational losses during 2024, which comprise expected and actual operational losses above SEK 25 000 and any recoveries, totalled SEK 119m (102). Operational risks and incidents which have occurred are reported continuously by branches and units throughout the Handelsbanken Group to Handelsbanken Risk Control, where they are subsequently monitored. In turn, Handelsbanken Risk Control reports operational risks and incidents which have occurred to the Chief Executive Officer, the risk committee and the Central Board.

Organisational Structure

The responsibility for identifying, assessing and managing operational risk is an integral part of managerial responsibility at all levels in the Handelsbanken Group. The Bank’s decentralised way of working and cost-consciousness promote good management of operational risk, which leads to vigilance against potential loss risks in daily procedures and events.

Methods For Identifying, Assessing And Managing Operational Risk

The business operations are responsible for owning and managing risks associated with day-to-day operational activities by gathering relevant risk facts within their units. The Bank monitors the development of operational risk according to different categories, including the following:

- execution, delivery and process management
- business disruptions and system failures
- clients, products and business practices
- external crime
- damage to physical assets
- employment practices and workplace safety
- internal fraud

The Group-wide methods for identifying, assessing and managing operational risk are incident reporting, risk indicators and operational risk self-assessments.

Incident reporting: Reporting of operational risk incidents which have resulted in financial losses in excess of SEK 25 000 is mandatory. Other incidents illustrating operational risk must also be reported, and risk facts must be collected.

Risk indicators: Risk indicators are monitored in order to warn of heightened operational risk. If a threshold for a risk indicator is exceeded, a risk assessment must be carried out to serve as a basis for assessing any risk management measures to be taken. For some risk indicators, limits are set by the CEO.

Self-assessment: The Group-wide process for operational risk provides support for a systematic risk inventory of the areas of responsibility of the units and is used to assess identified operational risks in accordance with a Group-wide assessment scale, document these in a risk register and report operational risks. It is carried out on a regular basis by all units. Risk assessment can also be event driven and shall be performed in case of serious incident, threshold or limit breaches or serious external events.

Change Management

The change management area covers new or materially changed products, services, markets, processes and IT systems, or when there are material changes in the Group’s operations or organisational structure. The activities and actors involved in the process are described in the Bank’s instructions and approval process for change management, which also describe how and when to involve the control functions. The process also includes requirements that risk analyses are carried out and that these consider, for example, areas such as financial crime, environment and climate, information security and data quality. Decisions related to changes must also be documented.

Continuity Planning And Crisis Management

The CEO has issued guidelines that, together with supplementary instructions, state that impact analyses are to be performed each year, in order to ascertain which operations and IT systems are of such critical importance that they require continuity plans. The continuity plans include planning the maintenance of operations during the disruption and recovery to normal operations. For essential processes, the plans must include the longest permitted duration of a stoppage. There is a Central Crisis Team for the entire Group. In addition, certain subsidiaries and units require a designated crisis function. Work in the crisis functions is to be undertaken according to special crisis manuals. Continuity plans and crisis manuals must be revised on an annual basis at a minimum. The plans must be tested each year, at the least, and crisis drills are carried out by the units required to have crisis functions. The work is evaluated annually and reported to the Board, which is also informed of the Bank’s strategy for continuity management.

Article 446 CRR

Disclosure of the approaches for the assessment of minimum own funds requirements.

Handelsbanken uses the standardised approach to calculate the capital requirement for operational risk. According to the standardised approach, the capital requirement is calculated by multiplying a factor specified in the regulations by the average operating income during the last three years of operation. Different factors are applied in different business segments. At the end of 2024, the total capital requirement for operational risk for the consolidated situation was SEK 6 841m (6 017).

Article 446 CRR

Description of the AMA methodology approach used (if applicable) Not applicable.

Article 454 CRR

Disclose the use of insurance for risk mitigation in the Advanced Measurement Approach (if applicable). Not applicable.

EU OR1

Operational risk own funds requirements and risk-weighted exposure amounts 2024					Relevant indicator			Own funds requirements	Risk weighted exposure amount
SEK m					Year-3	Year-2	Last year		
1	Banking activities subject to basic indicator approach (BIA)								
2	Banking activities subject to standardised (TSA) / alternative standardised (ASA) approaches				45 393	49 725	62 326	6 841	85 517
3	Subject to TSA:				45 393	49 725	62 326		
4	Subject to ASA:								
5	Banking activities subject to advanced measurement approaches AMA								

Remuneration policy

The Bank's principles for remuneration to employees are long established. In general, Handelsbanken has low tolerance of risk and holds the opinion that fixed remuneration contributes to healthy and sustainable operations. Performance-based variable remuneration is applied with great caution and to a very limited extent. Performance-based variable remuneration is not given to qualitative risktakers.

EU REMA Remuneration policy

Institutions shall describe the main elements of their remuneration policies and how they implement these policies. In particular, the following elements, where relevant, shall be described:

Information relating to the bodies that oversee remuneration
Name, composition and mandate of the main body (management body or remuneration committee where established) overseeing the remuneration policy and the number of meetings held by that main body during the financial year.

Management body: Chief Executive Officer (CEO) and the Central Board (*the Board").

Remuneration Committee: Chairman of the Board and two Board members.

Mandate: The Board's remuneration committee evaluates the employment conditions for the Bank's executive officers in the light of prevailing market terms. The committee's tasks include preparing the Board's proposals to the AGM concerning guidelines for remuneration to executive officers, monitoring and evaluating the application of these guidelines, and preparing the Board's decisions on remuneration and other terms of employment for executive officers, as well as for the Chief Audit Executive. The committee also makes an assessment of Handelsbanken's remuneration policy and remuneration system.

Number of meetings: 8 (8)

External consultants whose advice has been sought, the body by which they were commissioned, and in which areas of the remuneration framework.

No advice has been sought.

A description of the scope of the institution's remuneration policy (e.g. by regions, business lines), including the extent to which it is applicable to subsidiaries and branches located in third countries.

The remuneration policy applies throughout the Handelsbanken Group. The Group policy is implemented within subsidiaries and branches. If there are obstacles to this policy being applied, due to binding regulations in a country where Handelsbanken pursues its operations, or due to regulations that are binding upon subsidiaries, adapted rules are to be formulated for these operations.

A description of the staff or categories of staff whose professional activities have a material impact on institutions' risk profile).

The following categories have been identified as risk-takers at Handelsbanken:

- a) Members of the Board of the parent company and the Boards of material subsidiaries
- b) CEO of the parent company and CEOs of the material subsidiaries
- c) Heads of units or staff functions at Central Head Office
- d) Heads of business areas
- e) Country General Managers for Norway, the Netherlands and the UK, as well as the Head of Business Support who reports to the CEO
- f) District Heads
- g) The Heads of Handelsbanken Compliance, Handelsbanken Risk Control and Handelsbanken Internal Audit
- h) Managers who report to the heads specified in points b-g above
- i) The Country General Manager of the Bank's operations in a country of operations not specified in e) above
- j) The Head of Handelsbanken Treasury and managers who report to the Head of Handelsbanken Treasury
- k) Members of the Risk Forum and Asset and Liability Committee (ALCO)
- l) Persons taking decisions on new products
- m) Any person with total earned remuneration equal to or exceeding the average remuneration paid to members of the parent company's Board, as well as employees who are part of executive team and have total earned remuneration equal to or exceeding EUR 500 000 and work in an essential business unit,

where their position has a significant impact on the risk profile of the unit concerned.

- n) Any person who is among the 0.3% of employees at Handelsbanken with the highest remuneration, or who has a total earned remuneration equal to or exceeding EUR 750 000
- o) Any person who is not covered by points a-n above, but who is considered to have a material impact on the Bank's risk profile.

Information relating to the design and structure of the remuneration system for identified staff

An overview of the key features and objectives of remuneration policy, and information about the decision-making process used for determining the remuneration policy and the role of the relevant stakeholders.

The Bank's principles for remuneration to employees are long established. In general, Handelsbanken has a low tolerance of risk and holds the opinion that fixed remuneration contributes to healthy and sustainable operations. This is, therefore, the main principle. Performance-based variable remuneration is applied with great caution and to a very limited extent. It is only offered to employees in the Capital Markets business area and in mutual fund and asset management operations. The profit-sharing system covers all employees in the Handelsbanken Group. The provision is classified as variable remuneration and is based on profitability metrics linked to Handelsbanken's corporate goals being met, in combination with the Board's overall assessment regarding the Bank's performance.

At Handelsbanken, the Board decides on the remuneration policy. The AGM decides on guidelines for remuneration to executive officers.

Information on the criteria used for performance measurement and ex ante and ex post risk adjustment.

Salaries are based on factors known in advance: the nature and level of difficulty of the work, competency and skills, work performance and results achieved, leadership, and being a cultural ambassador for the Bank.

Performance-based variable remuneration is based on Handelsbanken's factors for setting salaries and it must be designed so that it does not encourage unhealthy risk-taking. The financial results of business areas with performance-based variable remuneration are adjusted for risk and charged with the actual cost of the capital and liquidity required by the operations.

Whether the management body or the remuneration committee, where established, reviewed the institution's remuneration policy during the past year, and if so, an overview of any changes that were made, the reasons for those changes and their impact on remuneration.

The remuneration policy was reviewed by the remuneration committee during the past year. Only editorial changes were made, and the policy was adapted to changes in the organisational structure which has impacted the categorisation of risk-takers. Clarification has been made regarding whom the board takes decisions regarding remuneration as well as clarification regarding whom remuneration is decided after consultation with the chairman of the Board.

Information of how the institution ensures that staff in internal control functions are remunerated independently of the businesses they oversee.

No performance-related variable remuneration is provided at internal control functions. Internal control functions only participate in the profit-sharing scheme. For employees within the Bank's control functions, the contribution is based on criteria adapted to the control function's assignment, independent of profitability. Fixed remuneration is determined independently of the business areas the control functions are assigned to control.

REMUNERATION POLICY

Policies and criteria applied for the award of guaranteed variable remuneration and severance payments.

Guaranteed variable remuneration is not permitted according to the remuneration policy. Termination benefits can only be paid when an employment contract is terminated by means of mutual agreement on the remuneration, taking into account laws, collective bargaining agreements and the prevailing practices in the labour market; they must not encourage failure or negligence.

Description of the ways in which current and future risks are taken into account in the remuneration processes.

Disclosures shall include an overview of the key risks, their measurement and how these measures affect remuneration.

The Bank's principles for remuneration to employees are long established. In general, Handelsbanken has a low tolerance of risk and holds the opinion that fixed remuneration contributes to healthy operations. This is, therefore, the main principle.

Performance-based variable remuneration:

An assessment of performance, which forms the basis for the allocation and transfer of performance-based variable remuneration, must be primarily based on risk-adjusted profit metrics. Both current and future risks are to be taken into consideration. The performance assessment must be based on a perspective of several years, to take into account the underlying business cycle and any business risks, and on long-term sustainable profits. The assessment must also take into account the operations' cost of capital and liquidity. In the assessment, it must be possible to take into account the employee and the unit's contribution to Handelsbanken's total business operations, even if these cannot be quantified. Proposals for the allocation and transfer of performance-based variable remuneration must include thorough documentation of performance and risks.

In addition to the stipulations above regarding performance assessments, the results that form the basis for performance-based variable remuneration must be based on results achieved without incurring credit, market, or liquidity risk for Handelsbanken. The assessment must also include how well the unit has been able to attract, recruit, retain and develop competent employees, thus being able to maintain high quality in its operations, in order to contribute to the achievement of Handelsbanken's corporate goal in the long term. The individual performance-based variable remuneration must also reflect a sustainable, risk-adjusted performance, with the Bank's salary-setting factors being taken into account.

Profit-sharing scheme:

Assessments that form the basis for the allocation to the profit-sharing scheme are to be based on Handelsbanken's corporate goals, calculated as return on equity (ROE) compared with peer competitors in the home markets, and on the Board's overall assessment of the Bank's performance.

The performance assessment must be risk adjusted, and based on a perspective over several years, to take into account the underlying business cycle and any business risks, and on long-term sustainable profits. The assessment must also take into account the Bank's cost of capital and liquidity.

The ratios between fixed and variable remuneration set in accordance with point (g) of Article 94(1) CRD.

No employee may receive performance-based variable remuneration equivalent to more than 100% of their fixed remuneration. According to the rules of the profit-sharing scheme, the amount per employee is limited to maximum of SEK 100 000 per year. The total amount allocated for performance-based variable remuneration for one year for Handelsbanken employees must not exceed 0.4% of the Bank's common equity tier 1 capital.

For 2024, the allocation for performance-based variable remuneration corresponds to approximately 0.4% of total salaries and approximately 0.03% of the Bank's common equity tier 1 capital.

Description of the ways in which the institution seeks to link performance during a performance measurement period with levels of remuneration.

An overview of main performance criteria and metrics for institution, business lines and individuals.

Fixed remuneration:

The level of fixed remuneration is based on salary factors known in advance: the nature and level of difficulty of the work, competency and skills, work performance and results achieved, leadership, and being a cultural ambassador for the Bank.

Profit-sharing scheme:

Assessment that forms the basis for allocation to the profit-sharing scheme shall be based on Handelsbanken's corporate objectives, measured as return on equity (ROE) compared with peer competitors in the home markets, and the Board's overall assessment of the Bank's performance. The performance assessment must be risk-adjusted and made with a multi-year perspective to take into account the underlying business cycle and any business risks and on long-term sustainable results. The assessment must also take into account the Bank's costs for capital and liquidity.

In order to receive an allocation from the profit-sharing scheme, it is required that the employee does not act in violation of Handelsbanken's internal policies and guidelines. This is followed up based on issued written warnings or local equivalent.

The quantitative criterion is based on the employee's contribution to the Group's financial performance. For employees within those of the Bank's control functions which are covered by the scheme, the allocation is instead based on criteria adapted to the control function's assignment, independent of profitability considerations. This is followed up within the annual review process.

Performance-based variable remuneration:

The performance assessment must be based on a perspective over several years, to take into account the underlying business cycle and any business risks, and on long-term sustainable profits. The assessment must also take into account the operations' cost of capital and liquidity. In the assessment, it must be possible to take into account the employee's and the unit's contributions to Handelsbanken's total business operations. In addition, the results that form the basis for performance-based variable remuneration must be based on results achieved without incurring credit, market, or liquidity risk for Handelsbanken. The assessment must also include how well the unit has been able to attract, recruit, retain and develop competent employees, thus being able to maintain high quality in its operations, in order to contribute to the achievement of Handelsbanken's corporate goal in the long term.

Evaluation takes place in an evaluation tool, which is based on the Bank's salary-based factors: The nature and degree of difficulty of the work, Performance ability and achieved work results, Competence, Leadership, Culture bearer including Compliance & Risk and the Market. Through the evaluation, the Bank considers that excessive risk-taking on the part of the employee is counteracted.

The manager evaluates employees where specific issues under each salary-based factor have been formulated by business unit managers for their respective operations. There are different sets of questions based on whether the employee is a manager or employee. In units where there are several different roles, questions have been adapted based on the role of the employee. The individual evaluations per salary-based factor are documented in a separate system which supports and forms the basis for the award of performance-based variable remuneration.

An overview of how amounts of individual variable remuneration are linked to institution-wide and individual performance.

Profit-sharing scheme

The assessment that forms the basis for allocation to the profit-sharing scheme shall be based on Handelsbanken's corporate goals, measured as return on equity (ROE) compared with peer banks in the Bank's home markets and the Board's overall assessment of the Bank's development. The assessment must also take into account the Bank's costs for capital and liquidity.

The allocated amount is based on working hours and the fulfilment of individual qualitative and quantitative criteria.

Performance-based variable remuneration

The performance assessment must be based on a perspective over several years, to take into account the underlying business cycle and any business risks, and on long-term sustainable profits. The assessment must also take into account the operations' cost of capital and liquidity. In the assessment, it must be possible to take into account the employee's and the unit's contributions to Handelsbanken's total business operations. In addition, the results that form the basis for performance-based variable remuneration must be based on results achieved without incurring credit, market, or liquidity risk for Handelsbanken. The assessment must also include how well the unit has been able to attract, recruit, retain and develop competent employees, thus being able to maintain high quality in its operations, in order to contribute to the achievement of Handelsbanken's corporate goal in the long term.

The individual allocation is based on the Bank's salary base factors.

Information on the criteria used to determine the balance between different types of instruments awarded including shares, equivalent ownership interest, options and other instruments.

Only mutual funds are used as instruments as regards performance-based variable remuneration within subsidiaries where required.

Information of the measures the institution will implement to adjust variable remuneration in the event that performance metrics are weak, including the institution's criteria for determining 'weak' performance metrics.

Profit-sharing scheme

The allocation to the profit-sharing scheme is adjusted based on an evaluation of Handelsbanken's corporate goals, calculated as return on equity (ROE) compared with peer competitors in the home markets, and on the Board's overall assessment of the Bank's performance, as well as evaluation of the individual criteria.

Performance-based variable remuneration

The allocation is adjusted based on the unit's contribution to Handelsbanken's total business operations.

The following criteria are considered:

- whether Handelsbanken's financial position or ability to fund its operations is materially weakened, or whether the Bank is subject to specific regulations under the legislation on state support to credit institutions or similar, in order to continue pursuing its operations
- whether unknown risks or losses materialise in the remuneration-setting profit figures/data at the unit or individual level
- whether there has been exposure to long-term illiquid assets, whose value has declined materially since the decision on allocation of variable remuneration and has thus incurred significant losses for Handelsbanken
- whether there has been exposure to assets which, following the decision on allocation of performance-based variable remuneration, have declined in value without the employee taking appropriate precautionary measures to minimise the risk of loss
- whether the allocation of performance-based variable remuneration was based on clearly erroneous grounds, of which the employee was aware, and
- the employee's compliance with internal and external regulations and instructions.

Description of the ways in which the institution seeks to adjust remuneration to take account of long-term performance.

An overview of the institution's policy on deferral, pay out in instrument, retention periods and vesting of variable remuneration including where it is different among staff or categories of staff.

The main rule for performance-based variable remuneration is that at least 40% is to be deferred for at least four years. For particularly large amounts of performance-based variable remuneration, 60% is deferred. Payment and the right of ownership to the variable remuneration do not accrue to the person with the entitlement until the expiry of the deferment period. Deferred variable remuneration can be removed or reduced if losses, increased risks, or increased expenses arise during the deferment period, or if payment is deemed to be unjustifiable in view of the Bank's financial situation. No employee may receive performance-based variable remuneration equivalent to more than 100% of their fixed remuneration.

Variable remuneration may consist solely of cash remuneration, or partly of cash remuneration and partly of financial instruments including mutual fund units, or solely of mutual fund units if the prevailing rules or the subsidiary's remuneration rules so specify.

Performance-based variable remuneration is applied with great caution and to a very limited extent. It is only offered to employees in the Capital Markets business area and in mutual fund and asset management operations. In these operations, performance-based variable remuneration may only be paid to employees at units whose profits derive from commissions or intermediary transactions that take place without the Bank being subject to credit risk, market risk or liquidity risk. Approximately 1% of the Group's employees are eligible to receive performance-based variable remuneration.

Information of the institution's criteria for ex post adjustments (malus during deferral and clawback after vesting, if permitted by national law).

The following criteria are considered:

- whether Handelsbanken's financial position or ability to fund its operations is materially weakened, or whether the Bank is subject to specific regulations under the legislation on state support to credit institutions or similar, in order to continue pursuing its operations
- whether unknown risks or losses materialise in the remuneration-setting profit figures/data at the unit or individual level
- whether there has been exposure to long-term illiquid assets, whose value has declined materially since the decision on allocation of variable remuneration and has thus incurred significant losses for Handelsbanken
- whether there has been exposure to assets which, following the decision on allocation of performance-based variable remuneration, have declined in value without the employee taking appropriate precautionary measures to minimise the risk of loss
- whether the allocation of performance-based variable remuneration was based on clearly erroneous grounds, of which the employee was aware, and
- the employee's compliance with internal and external regulations and instructions.

Where applicable, shareholding requirements that may be imposed on identified staff.

Not applicable.

The description of the main parameters and rationale for any variable components scheme and any other non-cash benefit in accordance with point (f) of Article 450(1) CRR.

Information on the specific performance indicators used to determine the variable components of remuneration and the criteria used to determine the balance between different types of instruments awarded, including shares, equivalent ownership interests, share-linked instruments, equivalent non cash-instruments, options and other instruments.

Allocations under the profit-sharing scheme are distributed in cash, and performance-based variable remuneration is distributed in cash to employees that are not identified as risk-takers, and in mutual funds to risk-takers, where required.

Upon demand from the relevant Member State or competent authority, the total remuneration for each member of the management body or senior management.

Not applicable.

Information on whether the institution benefits from a derogation laid down in Article 94(3) CRD in accordance with point (k) of Article 450(1) CRR.

For the purposes of this point, institutions that benefit from such a derogation shall indicate whether this is on the basis of point (a) and/or point (b) of Article 94(3) CRD. They shall also indicate which of the remuneration principles they apply the derogation(s), the number of staff members that benefit from the derogation(s) and their total remuneration, split into fixed and variable remuneration.

Employees whose professional activities have a material impact on the Bank's risk profile, qualitative risk-takers, are not eligible for performance-based variable remuneration.

The profit-sharing scheme covers all employees in the Handelsbanken Group. The amount per employee is limited according to the rules of the profit-sharing scheme (maximum SEK 100 000 per year), and article 94(3) b) CRD has been applied.

Large institutions shall disclose the quantitative information on the remuneration of their collective management body, differentiating between executive and non-executive members in accordance with Article 450(2) CRR.

The total remuneration to the executive member of the management body amounts to SEK 19.0 m and the total remuneration to the non-executive members of the management body amounts to SEK 20.4 m.

EU REM1

Remuneration awarded for the financial year 2024			MB Supervisory function	MB Management function	Other senior management	Other identified staff
1		Number of identified staff	9	1	25	713
2		Total fixed remuneration	20	19	112	1 450
3		Of which: cash-based	20	19	112	1 450
EU-4a	Fixed remuneration	Of which: shares or equivalent ownership interests				
5		Of which: share-linked instruments or equivalent non-cash instruments				
EU-5x		Of which: other instruments				
7		Of which: other forms				
9		Number of identified staff		1	16	705
10		Total variable remuneration		0	0	63
11		Of which: cash-based		0	0	63
12		Of which: deferred				
EU-13a	Variable remuneration	Of which: shares or equivalent ownership interests				
EU-14a		Of which: deferred				
EU-13b		Of which: share-linked instruments or equivalent non-cash instruments				
EU-14b		Of which: deferred				
EU-14x		Of which: other instruments				0
EU-14y		Of which: deferred				0
15		Of which: other forms				
16		Of which: deferred				
17	Total remuneration (2 + 10)		20	19	112	1 513

EU REM2

Special payments to staff whose professional activities have a material impact on institutions' risk profile (identified staff) 2024						
SEK m		MB Supervisory function	MB Management function	Other senior management	Other identified staff	
Guaranteed variable remuneration awards						
1	Guaranteed variable remuneration awards - Number of identified staff					
2	Guaranteed variable remuneration awards -Total amount					
3	Of which guaranteed variable remuneration awards paid during the financial year, that are not taken into account in the bonus cap					
Severance payments awarded in previous periods, that have been paid out during the financial year						
4	Severance payments awarded in previous periods, that have been paid out during the financial year - Number of identified staff					2
5	Severance payments awarded in previous periods, that have been paid out during the financial year - Total amount					3
Severance payments awarded during the financial year						
6	Severance payments awarded during the financial year - Number of identified staff					18
7	Severance payments awarded during the financial year - Total amount					50
8	Of which paid during the financial year					25
9	Of which deferred					
10	Of which severance payments paid during the financial year, that are not taken into account in the bonus cap					
11	Of which highest payment that has been awarded to a single person					7

EU REM3

Deferred and retained remuneration 2024		Total amount of adjustment during the financial year due to ex post implicit adjustments (i.e. changes of value of deferred remuneration due to the changes of prices of instruments)							Total amount of deferred remuneration awarded for previous performance period that has vested but is subject to retention periods	
SEK m		Total amount of deferred remuneration awarded for previous performance periods	Of which due to vest in the financial year	Of which vesting in subsequent financial years	Amount of performance adjustment made in the financial year to deferred remuneration that was due to vest in the financial year	Amount of performance adjustment made in the financial year to deferred remuneration that was due to vest in future performance years			Total amount of deferred remuneration awarded before the financial year actually paid out in the financial year	
1	MB Supervisory function									
2	Cash-based									
3	Shares or equivalent ownership interests									
4	Share-linked instruments or equivalent non-cash instruments									
5	Other instruments									
6	Other forms									
7	MB Management function									
8	Cash-based									
9	Shares or equivalent ownership interests									
10	Share-linked instruments or equivalent non-cash instruments									
11	Other instruments									
12	Other forms									
13	Other senior management									
14	Cash-based									
15	Shares or equivalent ownership interests									
16	Share-linked instruments or equivalent non-cash instruments									
17	Other instruments									
18	Other forms									
19	Other identified staff	1		1					1	
20	Cash-based								1	
21	Shares or equivalent ownership interests									
22	Share-linked instruments or equivalent non-cash instruments									
23	Other instruments	1		1						
24	Other forms									
25	Total amount	1		1					1	

EU REM4

Remuneration of 1 million EUR or more per year 2024		Identified staff that are high earners as set out in Article 450(i) CRR
EUR		
1	1 000 000 to below 1 500 000	5
2	1 500 000 to below 2 000 000	1
3	2 000 000 to below 2 500 000	
4	2 500 000 to below 3 000 000	
5	3 000 000 to below 3 500 000	
6	3 500 000 to below 4 000 000	
7	4 000 000 to below 4 500 000	
8	4 500 000 to below 5 000 000	
9	5 000 000 to below 6 000 000	
10	6 000 000 to below 7 000 000	
11	7 000 000 to below 8 000 000	

EU REM5

Information on remuneration of staff whose professional activities have a material impact on institutions' risk profile (identified staff) 2024	Management body remuneration			Business areas						Total
	MB Supervisory function	MB Management function	Total MB	Investment banking	Retail banking	Asset management	Corporate functions	Independent internal control functions	All other	
Total number of identified staff										748
Of which: members of the MB	9	1	10							10
Of which: other senior management				2	3	4	15	1		25
Of which: other identified staff				16	580	6	80	31		713
Total remuneration of identified staff	20	19	39	77	1071	47	359	71		1664
Of which: variable remuneration		0	0	0	32	10	20	1		63
Of which: fixed remuneration	20	19	39	77	1039	37	339	70		1601

ESG Prudential disclosures

This section describes the integration of ESG risks in Handelsbanken's business strategy and processes, governance and risk management, in accordance with Article 449a in conjunction with Article 435 CRR. Sustainability risk for Handelsbanken is the risk that the Bank fails to identify and manage risks related to the environment and climate, social conditions, and corporate governance in accordance with the policies, guidelines and positions in the area, which could ultimately have negative financial consequences for the Bank, or damage the Bank's reputation. Also included is the risk that the Bank overlooks sustainability risks in its operations that fall outside the framework of existing policies and guidelines. The disclosure consists of three qualitative sections to define Environmental, Social and Governance risks, and ten quantitative tables covering climate change related transition and physical risks.

QUALITATIVE INFORMATION ON ENVIRONMENTAL RISK

Environmental risk - Business strategy and processes

Sustainability is integrated into Handelsbanken's corporate culture and working methods, permeating the Group's operations in all markets. For Handelsbanken, the customer meeting is at the centre of all we do and the starting point for the Bank's business operations. Through a decentralised way of working, stable finances, accountability regarding sustainability issues and a low risk tolerance, Handelsbanken builds long-term customer relationships. By developing and offering sustainable products within the Bank's core operations of financing, investment and advisory services, the Bank can work to maximise positive impact, minimise negative impact and, by doing so, promote a more sustainable society. The essence of Handelsbanken's business model has remained unchanged for a long time, which has created the right conditions to apply the principles mentioned above.

To mitigate and reduce environmental risks, Handelsbanken has policies and guidelines which apply to and affect both new and existing counterparties. Handelsbanken's Policy for sustainability sets the direction for the Bank's sustainability activities, in terms of Handelsbanken's approach to material topics relating to customers, the Bank's actions as an employer and part of society, and the relationship with owners and investors. The policy includes the environment, human rights and working conditions, anti-corruption, money laundering and taxes. Handelsbanken has guidelines established by the Chief Executive Officer (CEO) for business decisions related to the environment and climate change. These state that Handelsbanken must be aware of, and act upon, the risks linked to climate change and environmental damage faced by the companies the Bank does business with. The guidelines are complemented with further guidance in the form of a sector framework, detailing the specific criteria under which Handelsbanken considers a fossil energy company to be aligned with the 1.5°C target and thereby potentially eligible for financing.

To contribute to the fulfilment of the EU's climate targets, the Bank's home markets' respective national climate targets and the Paris Agreement's target to limit warming to close to 1.5°C, the Bank's customers are required to reduce their emissions in line with targets set for the respective industries within the EU and in these countries. Handelsbanken's ambition is to support its customers in their transition journey through its products, services and advice. Handelsbanken aims to reduce its absolute Scope 1 and 2 emissions by 50 percent by 2030 from the 2021 level. The base year has been chosen based on recommendations from the Science Based Targets initiative (SBTi) regarding how base years should be set.

Identifying, and assessing climate risks is an integrated part of the Bank's credit process. At Handelsbanken, the credit process is based on a belief that a decentralised way of working with a local presence ensures a high quality in credit decisions. The Bank's overall credit risk profile is that credit risks, in which environmental aspects are integrated, are to be kept low.

With Handelsbanken's decentralised way of working, each branch has full credit responsibility. Identifying and assessing a company's climate-related risks is part of the Bank's credit risk assessment of its customers. This means assessing whether, and if so to what extent, climate change affects the risk of financial strain and the credit risk that could arise accordingly. In addition to the decentralised structure, the Chief Credit Officer reports to the CEO and is a member of the credit committee established by the Board. The Chief Credit Officer also reports to the Board on losses and risk in the credit portfolio.

Handelsbanken reports in accordance with the EU Taxonomy Regulation (EU) 2020/852. The definition of different asset classes in taxonomy reporting is based on the delegated act (EU) 2021/4987 and the financial reporting framework (EU) 2021/451. During the year Handelsbanken has updated the process for and the structure of the Sustainability Report to be in accordance with the Corporate

Sustainability Reporting Directive (CSRD) and European Sustainability Reporting Standards (ESRS).

Environmental risk – Governance

Handelsbanken's Board has overall responsibility for the Bank's risk management and establishes internal rules for this. The Board has established a risk committee, an audit committee and a remuneration committee, which prepare matters to be decided by the Board. The members of the risk committee, audit committee and remuneration committee are comprised entirely of Board members. In addition, the CEO has instituted the Risk and Compliance Committee, which aims to highlight and comment on the Bank's most material risks, including ESG risks, in order to ensure that they are managed effectively. The Risk and Compliance Committee is thus also a forum for preparing the CEO on matters to be discussed by the Board or risk committee. The work of the Board is undertaken at strategy meetings, usually twice per year, and at regular Board meetings, with sustainability a recurring topic at both of these. The Board receives regular updates on the operation's progress towards the fulfilment of the Bank's ambition within the sustainability area.

The Board has adopted an overarching Policy for sustainability, which sets out the direction for the Group's sustainability work. The direction of the sustainability work is that Handelsbanken aims to integrate financial, social and environmental sustainability into all the Bank's operations, which means that the Bank is to run financially sound, sustainable operations and to encourage and contribute to sustainable development. This way, risks and costs can be reduced, while new business opportunities can be identified, employees stay motivated, and confidence in Handelsbanken is maintained. The CEO also establishes guidelines describing how various risks should be managed and reported including the Guidelines on Environment and Climate change.

The Bank's central sustainability department, Handelsbanken Sustainability, has the task of co-ordinating, supporting and acting as a driving force behind its sustainability work. This includes the responsibility of developing proposed improvements to the Bank's sustainability strategy, as well as compiling and communicating the work externally. The work is led by Handelsbanken's Chief Sustainability and Climate Officer (CSO), who reports directly to the CEO. The CSO is part of the executive team which means that sustainability-related matters are factored into the ongoing executive work and strategic decisions.

The CSO is also the Chair of Handelsbanken's Sustainability Committee which convenes at least three times per year, or more often if necessary. The Sustainability Committee analyses the sustainability work undertaken by the Bank and, where necessary, takes on a co-ordinating role. Potential problems and business opportunities are highlighted, and pre-emptive plans of action are established. Decision-makers from both the business operations and central departments make up the Sustainability Committee. Several of the members are also part of the Bank's executive team.

In order to ensure that Handelsbanken makes the best use of its capability for innovation, and that work is undertaken collectively across all parts of the Bank, there are additional working groups with a remit relating to sustainability. One example is the Green Finance Committee (GFC), which is responsible for determining technical criteria for green/sustainability related loans and products, and for approving assets for inclusion in Handelsbanken's portfolio of green assets. GFC is a Group-wide committee where the Group's in-depth sustainability expertise is represented. The committee evaluates the overall ESG benefits according to a standardised process that includes qualifications such as life cycle considerations, potential rebound effects, resilience, scientific targets and possible significant harm to other sustainability objectives. Technical criteria for green loans are approved by a majority vote by the GFC, where the Bank's CSO holds a veto.

The work to realise the Bank's Transition Plan – Towards net zero 2040 is aligned with the Bank's overall corporate structure, comprising four home markets, Sweden, Norway, the UK and the Netherlands. Each home market established steering committees during the year composed of sustainability experts, relevant decision-makers and the respective Country Manager as chairman. These have developed and decided on national action plans for how the operations will be aligned with the Bank's climate ambitions. The process of developing the action plans is based on the Bank's Transition Plan coordinated by the Group-wide specialist function headed by Handelsbanken's CSO.

Handelsbanken has a programme to meet the growing reporting and transparency requirements relating to ESG data. The programme supports the business operations and enables the Bank to follow up and communicate on the ambitions within the sustainability area, as well as report according to regulations, requirements from public authorities and external obligations.

Performance-based variable remuneration is applied with great prudence and to a very limited extent. Remuneration must also be structured in a manner that promotes a healthy and efficient management of ESG risks. For more information about remuneration, see Pillar 3, chapter Remuneration Policy.

Environmental risk - Risk management

In accordance with the Policy for Sustainability, environmental risks must be identified and be an integral part of risk assessment in the Bank's general risk areas, such as credit risk, liquidity risk, market risk, operational risk and compliance risk. ESG risks must be managed in line with Handelsbanken's generally low risk tolerance and comply with risk tolerance for the types of risk in which ESG risks are an integral part of the risk assessment. Handelsbanken is selective in its choice of customers, which means that the Bank seeks customers with high creditworthiness. The quality requirement is never neglected in favour of higher credit volumes or to achieve higher returns. The Bank can abstain from granting a credit if the ESG risks are considered too high. Furthermore, business activities for achieving the Bank's ambition within the sustainability area must comply with the Bank's generally low risk tolerance.

Handelsbanken has a significant exposure to the real estate sector, where climate risks are important. Physical climate risks can have an impact, including damage to properties that the Bank has financed, which could reduce the value of collateral. It can also result in customers facing increased costs or reduced income if the properties are used in, for example, production or for rental, and negatively affect the operations and repayment capacity of customers. Similarly, transition risks, such as stricter energy efficiency requirements for buildings, can induce costs affecting the repayment capacity of customers, as well as affecting the value of collateral. During the year, internal credit risk assessment instructions for property companies were updated with further guidance for the assessment of these sector relevant risks.

Handelsbanken supports the EU's action plan for financing sustainable growth and works actively to incorporate the various parts of the action plan, including the CSRD and EU taxonomy, into the Bank's business operations. The Bank's reporting of key figures linked to the EU taxonomy will, over time, become increasingly important as a metric of business opportunities linked to climate change mitigation as well as for identification and management of environmental risks.

Climate change is a global problem requiring global solutions and co-operation. Handelsbanken advocates co-operation and supports international initiatives aimed at reinforcing global efforts to ensure a reduced environmental impact and to counteract climate change. Handelsbanken refers to several international initiatives such as the UN Global Compact, the Equator Principles, and the Principles for Responsible Banking, which the Bank considers in its work on climate adaptation and energy. Handelsbanken does not take part in lobbying activities aimed at weakening international climate-related activities, and we expect the same approach to be taken by the companies with which the Bank has business relationships.

An analysis of the customer's business must always be carried out before credit is granted. ESG risks are integrated into Handelsbanken's analysis of the customer's repayment capacity. The credit policy states that the Bank's lending must be responsible and meet high ethical standards. The CEO's Guidelines on Environment and climate change state for example, that the Bank will not enter into new business relationships with, or finance, companies that operate within coal mining. Handelsbanken also excludes financing for new oil or gas extraction, or the expansion of existing oil or gas extraction, or any infrastructure directly linked thereto. The Bank can abstain from granting a credit if the ESG risks are considered too high, and if, for

example, a company does not adhere to the above-mentioned guidelines.

To identify potential ESG risks, the credit-granting process for companies must consider environmental, social and governance factors and the associated risks – particularly environmental factors and the impact of climate change. The Bank's limit processing is integrated into the standard credit process, whereby the Bank sets limits at the counterparty level, based on, among other things, a credit risk assessment including an assessment of the customer's repayment capacity, in which ESG risks are factored in. Since the assessment is integrated into the Bank's standard credit process, the regular monitoring of the impact of ESG risks on credit risk is also carried out in this process. The Bank's assessment creates an understanding of the customer's need for transition, and how Handelsbanken can support their work to reduce the risks in their business. Handelsbanken's work to support its real estate customers' energy efficiency enhancements is an example of how the Bank works in a concrete way to minimize the risks relating to the future EU minimum requirements for energy efficiency.

The actions Handelsbanken has taken to mitigate the environmental and climate-related risks are:

- Continuous development and improvement of Handelsbanken's capacity to identify, measure, manage and report risks associated with both physical climate-related risks and transition risks in the investment and credit processes, as well as the Bank's process for risk control and reporting. This involves developing existing procedures and processes in relevant areas, with the aim of being able to more effectively identify, value and stress test assets exposed to climate-related risks. One example being ESG questionnaires in the credit risk assessment process, supported by the guidance of sector specific ESG risks established by external and internal experts.
- Periodic screening of companies Handelsbanken invests in.
- Supplier Code of Conduct.
- Policy documents and instructions for responsible investment and responsible credits.
- Reporting in line with the Task Force on Climate-related Financial Disclosures (TCFD) recommendations.
- Mandatory training for employees.

In regard to addressing climate financial risks, Handelsbanken has intensified its efforts to understand and assess potential risks within its lending portfolio. A significant portion of the loans is secured by property collateral and the Bank has focused its physical climate and transition risk assessments on property related risks within the credit risk area.

Physical Climate Risk

To assess physical climate risks in the Bank's lending portfolio, scenario analyses have been conducted, utilising severe climate scenario data and adopting long time horizons extending to 2050-2100. The Bank has primarily focused its climate risk analysis on the risks of flooding, stemming from watercourses and sea level rise, in the Bank's four home markets.

The scenario analyses indicate that properties in Sweden have limited exposure to flooding risks, partly because land elevation compensates for the sea level rise. For Norway, the exposure to flooding risks is somewhat larger but still limited. The Netherlands has implemented mitigating flood measures to safeguard properties and the analysis indicates limited exposures in this region as well, even though much of the country lies below sea level. Flooding risks are generally more pronounced in the UK compared to the other home markets, which is also reflected in the Bank's exposures. The current flooding risks in the UK are already elevated, and climate change is projected to increase these risks further. However, it is important to note that the results of these analyses are indicative rather than directly comparable across countries, due to data uncertainties as well as differences in data vendors, climate scenarios and time horizons.

To further assess the implications of physical climate risk on credit risk, the Bank has examined the exposure to flooding risk across different credit risk classes. This indicates that, despite flooding risks to property collateral, the creditworthiness of the affected counterparties remains high, and the associated credit risk is considered low.

Transition Risk

To assess the transition risks within the Bank's lending portfolio, scenario analyses have been conducted to evaluate the financial impacts of mandatory improvements in energy performance for collateral properties and the broader effects of climate transition on the real economy and, by extension, the Bank's clients.

The European Union's revised Energy Performance of Buildings Directive (EPBD) requires energy efficiency improvements for

ESG PRUDENTIAL DISCLOSURES

properties. To assess the financial implications of these regulatory changes, the Bank has conducted scenario analyses covering lending to Swedish and Norwegian real estate companies and Swedish households. Each client was analysed based on their individual balance sheet and income statement, using different macroeconomic scenarios developed by Handelsbanken over a five-year time horizon. The analyses explored the effect of a decrease in the collateral property value by an amount equivalent to the investment costs. The analyses indicate that credit losses are expected to remain low.

To evaluate the effects of the introduction of stringent climate policies on the real economy and their potential impact on the Bank's clients, the Bank has conducted scenario analyses based on the Net Zero 2050 scenario. This scenario is developed by the Network for the Greening of the Financial System (NGFS) and assumes the global implementation of climate policies aimed at achieving net zero greenhouse gas emissions before 2050, thereby limiting global warming to 1.5°C. Under this scenario, clients incur costs associated with the greenhouse gas emissions generated by their properties. Emission data was sourced from energy performance certificates and estimates from the Partnership for Carbon Accounting Financials (PCAF). Using the same scope and methodology with individual balance sheets and income statements as described earlier, and with a five-year time horizon, these analyses also project low credit losses.

To meet the many new requirements for ESG-related data, the Bank has identified its needs and worked on solutions to obtain this data and make it available. Implementation is in progress, and the data requirements will gradually be fulfilled through existing data, purchased data, and data obtained from customers. Access to data is currently limited, but this is expected to improve in the next few years, as customers/companies expand their reporting.

Handelsbanken's view is that responsible actions are essential to long-term value creation. The climate-related risks and environmental risks are primarily linked to increased credit losses and capital costs that would arise from a deterioration of customers' financial positions. They are also linked to non-compliance, which could eventually lead to legal consequences in the form of fines or other sanctions, risk of impaired reputation and decreased customer satisfaction.

QUALITATIVE INFORMATION ON SOCIAL RISK

Social risk - Business strategy and processes

Sustainability is integrated into Handelsbanken's corporate culture and working methods, permeating the Group's operations in all markets. For Handelsbanken, the customer meeting is at the centre of all we do and the starting point for the Bank's business operations. Through a decentralised way of working, stable finances, accountability regarding sustainability issues and a low risk tolerance, Handelsbanken builds long-term customer relationships. By developing and offering sustainable products within the Bank's core operations of financing, investment and advisory services, we can work to maximise positive impact, minimise negative impact and, by doing so, promote a more sustainable society. The essence of Handelsbanken's business model has remained unchanged for a long time, which has created the right conditions to apply the principles mentioned above.

Handelsbanken's values and strong corporate culture are vital to the Bank's success. The concept of how to run a successful bank is based on trust and respect for the individual – applying to both customers and employees. The Bank's decentralised way of working generates commitment and gives every employee both responsibility and the opportunity to make an impact on the Bank's operations.

Handelsbanken's Sustainability Committee has analysed the 17 Sustainable Development Goals and their 169 targets to determine the focus of the operations, and how the Bank can integrate them into operations within the framework of the Bank's material topics. The analysis was based on the degree of influence, both indirect and direct, identified risks and opportunities, and the Bank's most material sustainability topics. Consequently, in the next few years Handelsbanken will focus on the following goals regarding the social aspects of sustainability:

- Gender equality
- Decent work and economic growth
- Industry, innovation and infrastructure
- Sustainable cities and communities
- Peace, justice and strong institutions

To mitigate and reduce social risks, Handelsbanken has policies and guidelines which apply to and affect both new and existing counterparties. Handelsbanken's Policy for sustainability sets the direction for the Bank's sustainability activities, in terms of Handelsbanken's approach to material topics relating to customers, the Bank's actions as an employer and part of society, and the relationship with owners and investors. The policy covers issues such as the environment, human rights and working conditions, anti-

corruption, money laundering and taxes. The Bank has clear guidelines for its business relations regarding, among other things, human rights and working conditions. Handelsbanken's CEO guidelines for human rights and working conditions state that Handelsbanken stands behind the UN's Guiding Principles on Business and Human Rights. Handelsbanken aims to avoid causing or contributing to any negative impact on human rights in its own operations, through business relationships and in the supply chain. This also includes working to ensure no discrimination, child labour, slave labour or human trafficking occurs in the supply chain.

Handelsbanken does not accept any form of child labour, slave labour or human trafficking. The Bank works to prevent the occurrence of these in the Group's supply chain and in other companies with which Handelsbanken has business relations. The UK Modern Slavery Act 2015 requires that certain organisations annually state the actions that they have taken to ensure that modern slavery and human trafficking do not occur in their supply chains or in their operations. Internal instructions and procedures are in place so that employees know what to do if they are faced with or suspect a case of modern slavery or human trafficking.

Employees of the Bank must conduct themselves in a manner that upholds confidence in Handelsbanken. All operations in the Bank must be characterised by high ethical standards. Financial advice must be based on the customer's requirements. Conflicts of interest must be identified and handled correctly vis à vis all parties involved. In the case of doubt as to what is ethically acceptable, the matter must be discussed with the employee's immediate superior. There must be no discrimination on grounds such as gender or religion. The Policy for ethical standards also describes how employees who suspect internal fraud or other irregularities should act, for example with the aid of Handelsbanken's separate whistleblowing system provided by an external supplier.

Social risk – Governance

Handelsbanken's Board has overall responsibility for the Bank's risk management and establishes internal rules for this. The Board has established a risk committee, an audit committee and a remuneration committee, which prepare matters to be decided by the Board. The members of the risk committee, audit committee and remuneration committee are comprised entirely of Board members. In addition, the CEO has instituted the Risk and Compliance Committee, which aims to highlight and comment on the Bank's most material risks, including ESG risks, in order to ensure that they are managed effectively. The Risk and Compliance Committee is thus also a forum for preparing the CEO on matters to be discussed by the Board or risk committee. The work of the Board is undertaken at strategy meetings, usually twice per year, and at regular Board meetings, with sustainability a recurring topic at both of these meetings. The Board receives regular updates on the operation's progress towards the fulfilment of the Bank's ambition within the sustainability area.

The Board has adopted an overarching Policy for sustainability, which sets out the direction for the Group's sustainability work. The direction of the sustainability work is that Handelsbanken aims to integrate financial, social and environmental sustainability into all of the Bank's operations, which means that the Bank is to run financially sound, sustainable operations and to encourage and contribute to sustainable development. This way, risks and costs can be reduced, while new business opportunities can be identified, employees stay motivated, and confidence in Handelsbanken is maintained. The CEO also establishes guidelines describing how various risks should be managed and reported.

Handelsbanken's sustainability is coordinated by a Group-wide specialist function headed by Handelsbanken's CSO, who reports directly to the CEO. The CSO is part of the executive team which means that sustainability-related matters are factored into the ongoing executive work and strategic decisions.

The CSO is also the Chair of Handelsbanken's Sustainability Committee which convenes at least three times per year, or more often if necessary. The Sustainability Committee analyses the sustainability work undertaken by the Bank and, where necessary, takes on a co-ordinating role. Potential problems and business opportunities are highlighted, and pre-emptive plans of action are established. Decision-makers from both the business operations and central departments make up the Sustainability Committee. Several of the members are also part of the Bank's executive team.

In order to ensure that Handelsbanken makes the best use of the Bank's capability for innovation, and works together across all parts of the Bank, there are additional working groups with a remit relating to sustainability. One example is the Green Finance Committee (GFC), which is responsible for determining technical criteria for green/sustainability related loans and products. GFC is a Group-wide committee where the Group's in-depth sustainability expertise is represented. The committee evaluates the overall ESG benefits according to a standardised process that includes qualifications such as life cycle considerations, potential rebound effects, resilience, scientific targets and possible significant harm to other sustainability

objectives. Technical criteria for green loans are approved by a majority vote by the GFC, where the Bank's CSO holds a veto.

To meet the many new requirements for ESG-related data, the Bank has identified its needs and worked on solutions to obtain this data and make it available. Implementation is in progress, and the data requirements will gradually be fulfilled through existing data, purchased data, and data obtained from the customer. Access to data is currently limited, but this is expected to improve in the next few years, as customers/companies expand their reporting.

Performance-based variable remuneration is applied with great prudence and to a very limited extent. Remuneration must also be structured in a manner that promotes a healthy and efficient management of ESG risks. For more information about remuneration, see Pillar 3, chapter Remuneration Policy.

Social risk - Risk management

According to Handelsbanken's Policy for sustainability, social risks must be identified and be an integral part of risk assessment in the Bank's general risk areas, such as credit risk, liquidity risk, market risk, operational risk and compliance risk. ESG risks must be managed in line with Handelsbanken's generally low risk tolerance and comply with the specific risk tolerance for the types of risk in which ESG risks are an integral part of the risk assessment.

The 2030 Agenda and the Sustainable Development Goals provide a clear direction and objectives as regards human rights, good working conditions and gender equality. As an important provider of financial services, Handelsbanken has a role to play in the realisation of the 2030 Agenda and the transition to a sustainable economy. Handelsbanken stands behind the UN's Guiding Principles on Business and Human Rights and undertakes to act in accordance with national plans of action regarding these principles in the countries where the Group operates. Handelsbanken advocates co-operation and supports international initiatives aimed at reinforcing global efforts to ensure sustainable development. Initiatives and guidelines to encourage and facilitate corporate sustainability and sustainable development are an important basis for Handelsbanken's sustainability work. Regarding human rights and working conditions, the following international initiatives, guidelines and conventions can be mentioned:

- The UN Convention on the Rights of the Child (developed by the United Nations Global Compact, UNICEF and Save the Children)
- The Equator Principles
- The UN Global Compact
- The UN Principles of Responsible Investment (PRI)
- The UN Principles for Responsible Banking (PRB)
- The UN Guiding Principles on Business and Human Rights
- OECD Guidelines for Multinational Enterprises
- Modern Slavery Act 2015
- The UN Universal Declaration of Human Rights
- The International Labour Organisation's core conventions

The Bank's overarching Policy for sustainability applies across the Group and states that the Bank must integrate financial, social and environmental sustainability into all its business operations. In the credit-granting process, the corporate customer's operations must be conducted in line with the Bank's guidelines as these apply to business relationships within certain sectors. As regards the Bank's credit process, this is partly dictated by the Bank's credit policy and partly by Group-wide instructions which clearly stipulate how credit risks are to be assessed.

Handelsbanken can abstain from granting a credit if the ESG risks are considered too high, and if, for example, a company does not adhere to such guidelines. To identify potential ESG risks affecting the credit risk, the credit-granting process must consider environmental, social and governance factors and the associated risks.

One requirement in the process is that the Bank's lending must be responsible and meet high demands for sound ethical standards. Moreover, it is also made clear that the Bank must respect human rights and fundamental principles for working conditions and supporting anti-corruption measures. The policy and instructions also clarify the Bank's method for assessing credit risks, and specify which risks are of relevance when making a credit decision.

The Bank's instructions for assessing ESG risks include an ESG questionnaire, which can be used to support and document the credit risk assessment. It includes several questions about whether the company has policies regarding different sustainability topics, such as a policy for human rights or a policy for working conditions. During the year, updated instructions have created improved support for the analysis and documentation of relevant ESG risks within the credit process.

A key part of the Bank's credit risk assessment is assessing the customer's repayment capacity, in order to ensure that the customer can meet its obligations to the Bank. The assessment includes an analysis of the customer's financial position, as well as the risks to which the customer is exposed which could affect the stability of the customer's financial position over time. The Bank's instructions provide guidance on how input from an ESG research and rating firm can be used in the Bank's internal assessment of repayment capacity of a counterparty.

One of the steps in analysing the repayment capacity is determining which sector the customer belongs to. Handelsbanken has to understand the challenges and the risks that are specific to the sector in question before the Bank can analyse the individual customer. This leads up to the risk analysis where the Bank assesses how the customer is affected by ESG risks, including social risks.

In addition to the Bank's internal instructions, credit analysts also review external sources to support their assessments of how ESG risks affect customers. The primary source is the information received directly from the customer. This is comprised of both the information made publicly available by the customer in the form of its sustainability reporting and steering documents for sustainability, as well as information obtained through direct dialogue with the customer. A further source of information is if the customer is monitored by external credit rating agencies – one example being Moody's, whose analysis includes the effects of ESG risks. If the customer is monitored by an ESG research and rating firm, such as Sustainalytics, this also serves as a source of information. The latter two external sources do not, however, monitor all customers. They are mainly used in analyses of publicly listed companies. The information is obtained from the ESG research and rating firm on the basis of a contractual agreement. Under the terms of the contract, the Bank gains access to the ESG research and rating firm's services, including their ESG ratings of customers, with the Bank able to authorise credit analysts to access the ESG research and rating firm's database.

The Bank's management of social risks is undertaken at the level of individual customer, and a description of the risks in the area, if any are identified, is provided in the relevant credit case.

The actions Handelsbanken has taken to mitigate social risks are the following:

- Mandatory training for employees.
- Supplier Code of Conduct and supplier audits.
- The revision and strengthening of related processes connected with the Bank's operations and its range of products and services.
- Periodic screening of companies Handelsbanken invests in
- ESG questionnaires in the credit risk assessment process, support with the guidance of sector-specific ESG risks established by external and internal experts, documentation requirements and systems support.
- Policy documents for responsible investment and responsible credits.

Social risks, such as human rights, social conditions and working conditions, are also inherent to other risks. The potential risk impact stemming from these risks on Handelsbanken is primarily linked to increased credit losses and capital costs that would arise from a deterioration of customers' financial positions. These risks can also lead to reputational damage and weaker financial position and non-compliance, which could lead to legal consequences in the form of fines or other sanctions.

QUALITATIVE INFORMATION ON GOVERNANCE RISK**Governance risk – Governance**

The Bank's overarching Policy for sustainability applies across the Group and states that the Bank must integrate financial, social and environmental sustainability into all its business operations. Moreover, it is also made clear that the Bank must respect human rights and fundamental principles for working conditions and environmental considerations, as well as supporting anti-corruption measures. The Bank also supports international initiatives and guidelines with the common aim of encouraging and facilitating corporate sustainability.

As regards the Bank's credit process, this is partly dictated by the Bank's credit policy and partly by Group-wide instructions which clearly stipulate how credit risks are to be assessed. One requirement in the process is that the Bank's lending must be responsible and meet high demands for sound ethical standards. The policy and instructions also clarify the Bank's method for assessing credit risks, and specify which risks are of relevance when making a credit decision.

Governance risk - Risk management

According to Handelsbanken's Policy for sustainability, ESG risks must be identified and be an integral part of risk assessment in the Bank's general risk areas, such as credit risk, liquidity risk, market risk, operational risk and compliance risk. ESG risks must be managed in line with Handelsbanken's generally low risk tolerance and comply with the specific risk tolerance for the types of risk in which ESG risks are an integral part of the risk assessment.

In the credit risk assessment, the Bank must consider whether the customer's operations involve risks relating to the field of sustainability, and the extent to which these might lead to financial strain for the customer. The assessment of the customer's repayment capacity is a key part of the Bank's credit risk assessment. This allows the credit analysts to ensure that the customer can meet its obligations to the Bank. The assessment includes an analysis of the customer's financial position, as well as the risks to which the customer is exposed, which could affect the stability of the customer's financial position over time. Part of the risk analysis is the Bank's assessment of how the customer is affected by ESG risks. Handelsbanken has to understand the challenges and the risks that are specific to the sector in question before the Bank can analyse the individual customer.

The Bank's instructions for assessing ESG risks in the credit risk assessment include an ESG questionnaire, which can be used to support and document credit assessments including discovering which policies a customer has, how these are followed up, and whether the customer has signed up to any relevant international initiatives. The Bank's instructions on corporate governance risks focus on awareness of ESG risks and the will and capacity to take action and manage these risks. Handelsbanken's objective is to gain an understanding of the overall situation based on published external information and dialogue with the customer. The Bank does not apply any internationally listed indicators within these areas.

In addition to Handelsbanken's internal instructions, credit analysts also review external sources to support their assessments of how ESG risks affect customers. The primary source is the information received directly from the customer. This is comprised of both the information made publicly available by the customer in the form of its sustainability reporting and steering documents for sustainability, as well as information obtained through direct dialogue with the customer. A further source of information is if the customer is monitored by external credit rating agencies – one example being Moody's, whose analysis includes the effects of ESG risks. If the customer is monitored by an ESG rating agency, such as Sustainalytics, this can also serve as a source of information. The latter two external sources do not, however, monitor all customers. They are mainly used in analyses of large publicly listed companies. The information is obtained from the ESG research and rating firm on the basis of a contractual agreement. Under the terms of the contract, the Bank gains access to the ESG research and rating firm's services, including their ESG ratings of customers, with the Bank able to authorise credit analysts to access the ESG research and rating firm's database.

The Bank's management of corporate governance risks is undertaken at the level of individual customer, and a description of the risks in the area, if any are identified, is provided in the relevant credit case.

ESG PRUDENTIAL DISCLOSURES

ESG 1

The template includes assets in the banking book representing loans and advances, debt securities and equity exposures to non-financial counterparties in all countries, excluding assets held for trading and assets held for sale.

In recent years, we have seen a reduction in exposures to high emitting sectors, in line with our pathway, policies and strategies to reduce financed emissions. Our aim is to reduce our financed emissions both through financing the transition of our customers and through strict policies on new credits to sectors such as oil and gas. The transition is perceived to be a tool to reduce risk in the face of future impact of climate change and being in line with the risk tolerance of the bank.

The identification of exposures to counterparties excluded from EU Paris-aligned benchmarks is made using data from an external provider. Company NACE codes are collected from external official sources.

Handelsbanken calculates financed emissions as part of our membership in PCAF. ESG Pillar 3 financed emissions are calculated using the PCAF methods for real estate and business loans. Calculations are based on the most recently available reported and estimated emissions for our counterparties from an external provider. The percentage of gross carrying amount based on reported emissions is defined as where reported emissions are available for Scope 1, 2 or 3 for a counterparty.

Banking book- Climate change transition risk: Credit quality of exposures by sector, emissions and residual maturity 2024		Gross carrying amount (SEK m)				Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions			GHG financed emissions (scope 1, scope 2 and scope 3 emissions of the counterparty) (in tons of CO2 equivalent)		GHG emissions gross carrying amount percentage of the portfolio derived from company-specific reporting	<= 5 years	> 5 year <= 10 years	> 10 year <= 20 years	> 20 years	Average weighted maturity
SEK m		Of which exposures towards companies excluded from EU **	Of which environmentally sustainable (CCM)	Of which stage 2 exposures	Of which non-performing exposures		Of which Stage 2 exposures	Of which non-performing exposures		Of which Scope 3 financed emissions						
Exposures towards sectors that highly contribute to climate change*	925 148	2	2 433	35 007	2 513	-632	-193	-316	4 959 354	4 328 656	3	868 942	25 385	8 612	22 209	3
A - Agriculture, forestry and fishing	7 788			271	15	-6	-1	-3	63 002	57 976		7 457	290	40	0	2
B - Mining and quarrying	1 555		0	7	1	-1	0	0	30 914	27 509	0	1 263	35	257	0	3
B.05 - Mining of coal and lignite																
B.06 - Extraction of crude petroleum and natural gas	0											0	0	0	0	3
B.07 - Mining of metal ores	0					0			26	21		0	0	0	0	2
B.08 - Other mining and quarrying	598			7	1	0	0	0	27 998	24 988		563	35	0	0	4
B.09 - Mining support service activities	957		0			0	0		2 891	2 500	0	699	0	257	0	1
C - Manufacturing	31 820	0	316	1613	48	-36	-5	-26	2 126 134	2 018 534	53	31 018	788	6	7	1
C.10 - Manufacture of food products	4 453		0	21	3	-5	0	-3	95 202	89 528	38	4 448	4	0	0	2
C.11 - Manufacture of beverages	610		0	6		0	0		6 282	5 455		609	0	0	0	1
C.12 - Manufacture of tobacco products	0			0		0	0		0	0		0	0	0	0	2
C.13 - Manufacture of textiles	129			0		0	0		4 843	4 704		115	14	0	0	1
C.14 - Manufacture of wearing apparel	6			0		0	0		689	596		6	0	0	0	2
C.15 - Manufacture of leather and related products	6			0		0	0		373	345		6	0	0	0	1
C.16 - Manufacture of wood and of products of wood and cork, except furniture; manufacture of articles of straw and plaiting materials	922		0	14	4	-2	0	-2	20 813	15 989	0	902	16	2	3	5
C.17 - Manufacture of pulp, paper and paperboard	723		0	3		0	0		41 340	31 015	0	208	516	0	0	4
C.18 - Printing and service activities related to printing	60			2	5	-6	0	-6	2 300	2 152		56	1	0	2	2
C.19 - Manufacture of coke oven products	43			0		0	0	0	254	217		43	0	0	0	2
C.20 - Production of chemicals	817		8			-1	0		215 800	152 422	70	789	29	0	0	1
C.21 - Manufacture of pharmaceutical preparations	853		0	1		0	0		424	396	0	853	0	0	0	1
C.22 - Manufacture of rubber products	4 344		0	0	0	0	0	0	101 411	95 904	24	4 285	59	0	0	2
C.23 - Manufacture of other non-metallic mineral products	282		2	128	1	-1	0	-1	331 849	331 188	54	266	16	0	0	1
C.24 - Manufacture of basic metals	434		18	1	2	0	0	0	8 046	7 435	33	419	15	0	0	2
C.25 - Manufacture of fabricated metal products, except machinery and equipment	2 260		8	25	1	-1	0	0	322 012	318 881	42	2 186	71	2	2	1
C.26 - Manufacture of computer, electronic and optical products	10 024		97	0	6	-1	0	-1	621 622	619 886	85	10 022	1	0	0	2
C.27 - Manufacture of electrical equipment	2 385		141	1	5	-2	0	-2	192 750	189 683	90	2 385	0	0	0	1
C.28 - Manufacture of machinery and equipment n.e.c.	773		42	43	5	-3	-1	-1	51 793	49 625	34	747	24	2	0	1
C.29 - Manufacture of motor vehicles, trailers and semi-trailers	267		0	12	4	-4	0	-4	9 394	8 619	0	265	0	1	0	1
C.30 - Manufacture of other transport equipment	64		0			0	0		4 892	4 754	0	64	0	0	0	0
C.31 - Manufacture of furniture	1 432		0	1 343	7	-6	-3	-4	83 089	79 752	91	1 430	2	0	0	1
C.32 - Other manufacturing	784	0	0	4	2	-3	0	-2	4 466	3 793	9	773	12	0	0	2
C.33 - Repair and installation of machinery and equipment	150		0	8	2	0	0	0	6 491	6 195	0	142	8	0	0	1

ESG PRUDENTIAL DISCLOSURES

Banking book- Climate change transition risk: Credit quality of exposures by sector, emissions and residual maturity 2024																
SEK m	Gross carrying amount (SEK m)					Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions			GHG financed emissions (scope 1, scope 2 and scope 3 emissions of the counterparty) (in tons of CO2 equivalent)		GHG emissions gross carrying amount percentage of the portfolio derived from company-specific reporting	<= 5 years	> 5 year <= 10 years	> 10 year <= 20 years	> 20 years	Average weighted maturity
	Of which exposures towards companies excluded from EU**	Of which environmentally sustainable (CCM)	Of which stage 2 exposures	Of which non-performing exposures	Of which Stage 2 exposures	Of which non-performing exposures	Of which Scope 3 financed emissions	Of which Scope 3 financed emissions								
D - Electricity, gas, steam and air conditioning supply	8 258	0	905	4	9	-1	0	-1	323 041	297 297	13	7 932	322	0	3	1
D35.1 - Electric power generation, transmission and distribution	3 011		0	0	0	0	0	0	91 661	86 726	0	3 011	0	0	0	1
D35.11 - Production of electricity	4 137	0	905	3	8	-1	0	-1	175 201	157 941	25	3 812	322	0	3	1
D35.2 - Manufacture of gas; distribution of gaseous fuels through mains	0					0			1	1		0	0	0	0	2
D35.3 - Steam and air conditioning supply	1 110			1		0	0		56 178	52 629		1 110	0	0	0	3
E - Water supply; sewerage, waste management and remediation activities	1 577		0	0		0	0		19 723	13 297	0	952	620	5	0	2
F - Construction	32 417		41	3 168	279	-242	-86	-135	809 510	783 479	6	30 219	1 358	677	162	2
F.41 - Construction of buildings	27 086		24	2 454	230	-176	-56	-105	106 936	89 110	5	25 247	1 016	664	158	3
F.42 - Civil engineering	624		13	84	1	-3	-2	-1	27 421	26 251	2	582	41	0	0	2
F.43 - Specialised construction activities	4 707		4	631	48	-63	-28	-29	675 153	668 118	14	4 390	301	13	3	1
G - Wholesale and retail trade; repair of motor vehicles and motorcycles	24 469		0	547	110	-82	-9	-65	956 926	921 285	37	24 172	269	26	3	3
H - Transportation and storage	4 729	2	0	251	7	-6	-1	-3	117 661	102 495	0	4 311	405	13	0	3
H.49 - Land transport and transport via pipelines	2 246			65	7	-5	-1	-3	87 654	76 169		2 012	234	0	0	2
H.50 - Water transport	57	2	0	2	0	0	0	0	2 165	1 779	4	56	1	0	0	0
H.51 - Air transport	13			0		0	0		456	398		13	0	0	0	3
H.52 - Warehousing and support activities for transportation	2 377		0	184		-1	0		24 731	21 632	0	2 197	167	13	0	1
H.53 - Postal and courier activities	36			1		0	0		2 656	2 518		34	3	0	0	2
I - Accommodation and food service activities	26 743		179	974	134	-18	-8	-5	79 106	67 990	0	26 128	554	35	26	3
L - Real estate activities	785 792		992	28 171	1 911	-239	-82	-79	433 335	38 793	0	735 488	20 744	7 553	22 007	3
Exposures towards sectors other than those that highly contribute to climate change*	94 670		1 830	2 048	117	-91	-25	-47				81 896	8 692	3 261	821	2
K - Financial and insurance activities	26 339		68	511	3	-5	-1	-2				23 609	2 624	106	0	3
Exposures to other sectors (NACE codes J, M - U)	68 331		1 762	1 537	113	-86	-24	-45				58 287	6 068	3 155	820	3
Total	1 019 818	2	4 263	37 055	2 630	-723	-217	-364	4 959 354	4 328 656	3	950 838	34 076	11 874	23 030	3

* In accordance with the Commission delegated regulation (EU) 2020/1818 supplementing regulation (EU) 2016/1011 as regards minimum standards for EU Climate Transition Benchmarks and EU Paris-aligned Benchmarks - Climate Benchmark Standards Regulation - Recital 6: Sectors listed in Sections A to H and Section L of Annex I to Regulation (EC) No 1893/2006.

** Paris-aligned Benchmarks in accordance with points (d) to (g) of Article 12.1 and in accordance with Article 12.2 of Climate Benchmark Standards Regulation

ESG PRUDENTIAL DISCLOSURES

ESG 2

The availability of EPC labels for the real estate portfolio is limited since energy declarations are not compulsory and are required only when selling or letting properties. The source of information is public registries in each market and internal data originating from bilateral information from clients. EPC labels are defined according to national rules. The methods prescribed by PCAF for estimating energy efficiency scores are utilised for the part of the portfolio lacking EPC data. All credit agreements collateralised in some part by immovable property are included.

Non-EU exposures are comprised of the real estate portfolios in the UK and Norway. The country classification is based on the location of the collateral.

Banking book - Climate change transition risk: Loans collateralised by immovable property - Energy efficiency of the collateral 2024		Total gross carrying amount														
		Level of energy efficiency (EP score in kWh/m² of collateral)						Level of energy efficiency (EPC label of collateral)						Without EPC label of collateral		
		0: ≤ 100	> 100: ≤ 200	> 200: ≤ 300	> 300: ≤ 400	> 400: ≤ 500	> 500	A	B	C	D	E	F			G
SEK m																
Total EU area	1 591 737	448 263	993 811	145 046	3 219	1 322	77	37 432	87 877	183 286	241 895	296 720	127 225	33 797	583 505	100%
Of which Loans collateralised by commercial immovable property	251 515	56 504	68 855	123 263	1 721	1 133	39	17 480	19 001	29 621	26 945	25 592	9 492	5 207	118 178	100%
Of which Loans collateralised by residential immovable property	1 340 222	391 760	924 955	21 783	1 498	188	37	19 952	68 876	153 666	214 950	271 128	117 733	28 590	465 327	100%
Of which Collateral obtained by taking possession: residential and commercial immovable properties	0															
Of which Level of energy efficiency (EP score in kWh/m² of collateral) estimated	648 032	33 926	490 251	121 556	1 206	1 093									583 505	100%
Total non-EU area	534 656	35 841	369 935	113 281	14 201	1 399		14 181	58 285	85 714	90 700	59 481	33 002	39 269	154 024	100%
Of which Loans collateralised by commercial immovable property	208 900	18 714	122 822	51 765	14 201	1 399		9 920	31 378	39 262	36 066	21 184	7 292	5 731	58 068	100%
Of which Loans collateralised by residential immovable property	325 756	17 126	247 113	61 517				4 262	26 907	46 452	54 634	38 297	25 710	33 539	95 956	100%
Of which Collateral obtained by taking possession: residential and commercial immovable properties	0															
Of which Level of energy efficiency (EP score in kWh/m² of collateral) estimated	534 656	35 841	369 935	113 281	14 201	1 399									154 024	100%

ESG 3

The Bank is currently in the process of overseeing the way to best work with sustainable transition in the credit portfolio. Methods for estimating and monitoring emissions are evolving, and the Bank is continually working with our customers to increase sustainable business practices. As financing real estate property is a large part of the credit portfolio the sector is included in the template. In line with the sector level approach of the template, only exposures to properties owned by counterparties in the real estate sector are shown here. As calculations are based on the latest available energy declarations for properties, the reference year is not meaningful for the sector. The Bank has enforced strict policies on financing coal, oil and gas activities, there is little or no financing of production of fossil fuels. For more information about the Bank's position on fossil energy, please see 'Sector Framework – Fossil energy'. The suggested NACE codes for sector definitions have been assessed for applicability regarding the IEA metrics. The process determines the counterparties for sectors disclosed in this template. The lack of publicly available intensity figures from counterparties continues to be a challenge. Intensity figures and distances are not disclosed for sectors where only one counterparty has published metrics.

Banking book - Climate change transition risk: Alignment metrics 2024		NACE Sectors (a minima)	Portfolio gross carrying amount (SEK m)	Alignment metric**	Year of reference	Distance to IEA NZE2050 in % ***	Target (year of reference + 3 years)
1	Power		5 247	kg/kWh	2023	-32.9	
2	Fossil fuel combustion		982	kg/kgoe	2023		
3	Automotive		267	gCO2/km	2023		
4	Aviation		29	gCO2/km	2023		
5	Maritime transport		71	gCO2/km	2023		
6	Cement, clinker and lime production		281	tCO2/t	2023		
7	Iron and steel, coke, and metal ore production		477	tCO2/t	2023		
8	Chemicals						
9	Real estate commercial		289 477	kg/m2	2024	1.8	
#	Real estate residential		480 545	kg/m2	2024	0.4	

*** PIT distance to 2030 NZE2050 scenario in % (for each metric)

*

List of NACE sectors to be considered

IEA sector	Column b - NACE Sectors (a minima) - Sectors required		**Examples of metrics - non-exhaustive list. Institutions shall apply metrics defined by the IEA scenario
Sector in the template	sector	code	
Maritime transport	shipping	301	Average tonnes of CO2 per passenger-km Average gCO ₂ /MJ and Average share of high carbon technologies (ICE).
Maritime transport	shipping	3011	
Maritime transport	shipping	3012	
Maritime transport	shipping	3315	
Maritime transport	shipping	50	
Maritime transport	shipping	501	
Maritime transport	shipping	5010	
Maritime transport	shipping	502	
Maritime transport	shipping	5020	
Maritime transport	shipping	5222	
Maritime transport	shipping	5224	
Maritime transport	shipping	5229	
Power	power	27	Average tonnes of CO2 per MWh and Average share of high carbon technologies (oil, gas, coal).
Power	power	2712	
Power	power	3314	
Power	power	35	
Power	power	351	
Power	power	3511	
Power	power	3512	
Power	power	3513	
Power	power	3514	
Power	power	4321	
Fossil fuel combustion	oil and gas	06	Average tons of CO2 per GJ. and Average share of high carbon technologies (ICE).
Fossil fuel combustion	oil and gas	061	
Fossil fuel combustion	oil and gas	0610	
Fossil fuel combustion	oil and gas	062	
Fossil fuel combustion	oil and gas	0620	
Fossil fuel combustion	coal	08	
Fossil fuel combustion	coal	09	
Fossil fuel combustion	oil and gas	091	
Fossil fuel combustion	oil and gas	0910	
Fossil fuel combustion	oil and gas	192	
Fossil fuel combustion	oil and gas	1920	
Fossil fuel combustion	oil and gas	2014	
Fossil fuel combustion	oil and gas	352	
Fossil fuel combustion	oil and gas	3521	
Fossil fuel combustion	oil and gas	3522	
Fossil fuel combustion	oil and gas	3523	
Fossil fuel combustion	oil and gas	4612	
Fossil fuel combustion	oil and gas	4671	
Iron and steel, coke, and metal ore production	coal	05	Average tonnes of CO2 per tonne of output and Average share of high carbon technologies (ICE).
Iron and steel, coke, and metal ore production	coal	051	
Iron and steel, coke, and metal ore production	coal	0510	
Iron and steel, coke, and metal ore production	coal	052	
Iron and steel, coke, and metal ore production	coal	0520	
Iron and steel, coke, and metal ore production	steel	07	
Iron and steel, coke, and metal ore production	steel	072	
Iron and steel, coke, and metal ore production	steel	0729	
Iron and steel, coke, and metal ore production	steel	24	
Iron and steel, coke, and metal ore production	steel	241	
Iron and steel, coke, and metal ore production	steel	2410	
Iron and steel, coke, and metal ore production	steel	242	
Iron and steel, coke, and metal ore production	steel	2420	
Iron and steel, coke, and metal ore production	steel	2434	
Iron and steel, coke, and metal ore production	steel	244	
Iron and steel, coke, and metal ore production	steel	2442	
Iron and steel, coke, and metal ore production	steel	2444	
Iron and steel, coke, and metal ore production	steel	2445	
Iron and steel, coke, and metal ore production	steel	245	
Iron and steel, coke, and metal ore production	steel	2451	
Iron and steel, coke, and metal ore production	steel	2452	
Iron and steel, coke, and metal ore production	steel	25	
Iron and steel, coke, and metal ore production	steel	251	
Iron and steel, coke, and metal ore production	steel	2511	
Iron and steel, coke, and metal ore production	steel	4672	

IEA sector	Column b - NACE Sectors (a minima) - Sectors required		**Examples of metrics - non-exhaustive list. Institutions shall apply metrics defined by the IEA scenario
Sector in the template	sector	code	
Cement, clinker and lime production	cement	0811	Average tonnes of CO2 per tonne of output and Average share of high carbon technologies (ICE).
Cement, clinker and lime production	cement	089	
Cement, clinker and lime production	cement	235	
Cement, clinker and lime production	cement	2351	
Cement, clinker and lime production	cement	2352	
Cement, clinker and lime production	cement	236	
Cement, clinker and lime production	cement	2361	
Cement, clinker and lime production	cement	2363	
Cement, clinker and lime production	cement	2364	
aviation	aviation	3030	Average share of sustainable aviation fuels and Average tonnes of CO2 per passenger-km
aviation	aviation	3316	
aviation	aviation	511	
aviation	aviation	5110	
aviation	aviation	512	
aviation	aviation	5121	
aviation	aviation	5223	
automotive	automotive	2815	Average tonnes of CO2 per passenger-km and Average share of high carbon technologies (ICE).
automotive	automotive	29	
automotive	automotive	291	
automotive	automotive	2910	
automotive	automotive	292	
automotive	automotive	2920	
automotive	automotive	293	
automotive	automotive	2932	

ESG 4

The list of top carbon-emitting companies is sourced from the Carbon Majors database from the Climate Accountability Institute (2022).

No materiality restrictions have been applied to exposures. All loans and advances, debt securities and equity instrument exposures in the banking book to the identified corporations and their subsidiaries have been included, regardless of purpose, line of business or economic activity. The purpose of the credit may be to aid transition or to instigate mitigation, or it may be that the financed economic activity may even be included in the taxonomy.

Banking book - Climate change transition risk: Exposures to top 20 carbon-intensive firms 2024		Gross carrying amount towards the counterparties compared to total gross carrying amount (aggregate)*	Of which environmentally sustainable (CCM)	Weighted average maturity	Number of top 20 polluting firms included
Gross carrying amount (aggregate)					
SEK m	4	0.0	0	1.5	1

*For counterparties among the top 20 carbon emitting companies in the world

ESG 5

The gross carrying amount (GCA) column includes all exposures to non-financial counterparties in the sector for all countries and regions of the Bank regardless of their exposure to physical risk. Subsequent columns include only the gross carrying amount linked to collateral and counterparties exposed to high physical risk. Additional sectors are included where the physical risk of the sector is estimated to exceed 10 per cent of the gross carrying amount of the sector due to chronic and acute climate change events.

The sources for physical risk data concerning flooding and sea level rise are governmental agencies from Sweden, Norway, and the Netherlands and are applied based on geolocation of counterparties and real estate collateral. In the UK data is sourced from an external provider based on postal codes. Data from a global external provider covers other aspects of chronic and acute physical risks as listed in Appendix A of the delegated climate act, 2021/2139 (EU), such as drought, extreme heat and cold, cyclones, water stress and wildfire. A sectoral approach is used for water stress, where it is deemed to be a material risk only for sectors A and E. A more granular analysis may be undertaken for assessment of risk in sub sectors. In addition to the climate model assessment based on geolocation, large counterparties are individually assessed for the same physical risks.

In conclusion, the physical risk encompasses acute risks due to flooding, drought, extreme heat and cold, cyclones, and wildfires and chronic physical risks due to sector based water stress and sea level rise.

The scenario used is RCP 8.5 (the worst- case scenario of business as usual with no climate mitigating actions resulting in a temperature increase up to 4 degrees). The outlook is long-term due to a large part of the portfolio being real estate financing. Thus the time horizon selected is the year 2050, except for the risk of flooding in Norway and Sweden and sea level rise in Norway which is only available for year 2100.

Exposure to the impact of climate change events is reported in gross amounts, i.e. before mitigating actions such as insurance, mitigating actions taken by counterparties, local governments, or other parties (such as flooding or sea erosion barriers, sewage upgrades), etc. It is expected that the effect of physical risk on the Bank's portfolio is significantly decreased by such mitigating factors.

Banking book - Climate change physical risk: Exposures subject to physical risk 2024	Gross carrying amount													
	of which exposures sensitive to impact from climate change physical events													
	Breakdown by maturity bucket					of which exposures sensitive to impact from chronic climate change events	of which exposures sensitive to impact from acute climate change events	of which exposures sensitive to impact both from chronic and acute climate change events	Of which Stage 2 exposures	Of which non-performing exposures	Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions			
	<= 5 years	> 5 year <= 10 years	> 10 year <= 20 years	> 20 years	Average weighted maturity						of which Stage 2 exposures	Of which non-performing exposures		
SEK m														
A - Agriculture, forestry and fishing	7 788	1 194	53	0	0	1	962	285		2	1	-1	0	-1
B - Mining and quarrying	1 555	21	0	0		1	0	21		0	0	0	0	0
C - Manufacturing	31 820	234	0	0	0	2	26	208		34	0	-1	-1	0
D - Electricity, gas, steam and air conditioning supply	8 258	6	0		0	2	0	6		0	0	0	0	0
E - Water supply; sewerage, waste management and remediation activities	1 577	80	4	0		2	13	71		0		0	0	
F - Construction	32 417	1 686	60	0	0	2	236	1 509		156	24	-18	-4	-14
G - Wholesale and retail trade; repair of motor vehicles and motorcycles	24 469	488	0	1	0	2	50	434	5	2	6	0	0	0
H - Transportation and storage	4 729	128	23	1		4	21	131		0	0	0	0	0
L - Real estate activities	785 792	23 095	932	61	168	2	3 520	20 293	443	844	120	-13	-5	0
Loans collateralised by residential immovable property	519 420	9 340	315	59	168	3	711	9 125	46	402	81	-7	-5	0
Loans collateralised by commercial immovable property	376 712	19 967	901	7	0	2	4 602	15 865	408	696	81	-28	-7	-14
Reposessed collaterals														
Other relevant sectors (breakdown below where relevant)														
J - Information and communication														
K - Financial and insurance activities														

ESG PRUDENTIAL DISCLOSURES

ESG 5 SE

Sweden Banking book - Climate change physical risk: Exposures subject to physical risk 2024		Gross carrying amount												
		of which exposures sensitive to impact from climate change physical events												
		Breakdown by maturity bucket					of which exposures sensitive to impact from chronic climate change events	of which exposures sensitive to impact from acute climate change events	of which exposures sensitive to impact both from chronic and acute climate change events	Of which Stage 2 exposures	Of which non- performing exposures	Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions		
												<= 5 years	> 5 year <= 10 years	> 10 year <= 20 years
SEK m		<= 5 years	> 5 year <= 10 years	> 10 year <= 20 years	> 20 years	Average weighted maturity	of which exposures sensitive to impact from chronic climate change events	of which exposures sensitive to impact from acute climate change events	of which exposures sensitive to impact both from chronic and acute climate change events	Of which Stage 2 exposures	Of which non- performing exposures		of which Stage 2 exposures	Of which non- performing exposures
A - Agriculture, forestry and fishing	5 635	1 034	5		0	1	962	77		2	1	-1	0	-1
B - Mining and quarrying	142	0	0				0			0	0	0	0	0
C - Manufacturing	24 374	27	0	0	0	0	0	27		0	0	0	0	0
D - Electricity, gas, steam and air conditioning supply	4 083	0	0		0		0			0	0	0	0	0
E - Water supply; sewerage, waste management and remediation activities	935	11	2			2	13			0		0	0	
F - Construction	9 346	11	0	0	0	1	0	11		1	0	0	0	0
G - Wholesale and retail trade; repair of motor vehicles and motorcycles	15 589	42	0	0	0	2	12	30		2	6	0	0	0
H - Transportation and storage	2 219	0	0	0		1	0	0		0	0	0	0	0
L - Real estate activities	492 156	4 654	75	1	0	1	244	4 177	309	52	4	0	0	0
Loans collateralised by residential immovable property	395 134	3 835	75	0	0	1	251	3 612	46	60	10	0	0	0
Loans collateralised by commercial immovable property	135 250	2 173	2	1	0	1	990	918	268	6	0	0	0	0
Reposessed collaterals														
Other relevant sectors (breakdown below where relevant)														
J - Information and communication														

ESG 5 UK

United Kingdom Banking book - Climate change physical risk: Exposures subject to physical risk		Gross carrying amount												
		of which exposures sensitive to impact from climate change physical events												
		Breakdown by maturity bucket					of which exposures sensitive to impact from chronic climate change events	of which exposures sensitive to impact from acute climate change events	of which exposures sensitive to impact both from chronic and acute climate change events	Of which Stage 2 exposures	Of which non- performing exposures	Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions		
		<= 5 years	> 5 year <= 10 years	> 10 year <= 20 years	> 20 years	Average weighted maturity						of which Stage 2 exposures	Of which non- performing exposures	
SEK m														
A - Agriculture, forestry and fishing	1 826	160	48			3		208		0	0	0	0	0
B - Mining and quarrying	67	21				1	0	21				0		
C - Manufacturing	2 951	180	0			2	0	180		34	0	-1	-1	0
D - Electricity, gas, steam and air conditioning supply	37	6				2	0	6				0		
E - Water supply; sewerage, waste management and remediation activities	285	69	2			2		71				0	0	
F - Construction	9 137	1 436	60			2	0	1 496		153	24	-18	-4	-14
G - Wholesale and retail trade; repair of motor vehicles and motorcycles	3 029	357	0			2	0	357		0	0	0	0	0
H - Transportation and storage	630	109	22			4	0	131		0		0	0	
L - Real estate activities	127 108	14 695	845	9	17	3	0	15 565		636	115	-12	-5	0
Loans collateralised by residential immovable property	66 015	5 191	232	9	17	3		5 448		327	71	-7	-4	0
Loans collateralised by commercial immovable property	92 332	13 430	894	0	0	3		14 325		538	81	-27	-6	-14
Reposessed collaterals														
Other relevant sectors (breakdown below where relevant)														
K - Financial and insurance activities	2 017	393	55			4	0	448		6		0	0	
M - Professional, scientific and technical activities	2 186	211	31			3	0	242		4	0	0	0	0

ESG PRUDENTIAL DISCLOSURES

ESG 5 NO

Norway Banking book - Climate change physical risk: Exposures subject to physical risk 2024	Gross carrying amount													
	of which exposures sensitive to impact from climate change physical events													
	Breakdown by maturity bucket					of which exposures sensitive to impact from chronic climate change events	of which exposures sensitive to impact from acute climate change events	of which exposures sensitive to impact both from chronic and acute climate change events	Of which Stage 2 exposures	Of which non- performing exposures	Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions			
	<= 5 years	> 5 year <= 10 years	> 10 year <= 20 years	> 20 years	Average weighted maturity						of which Stage 2 exposures	Of which non- performing exposures		
SEK m														
A - Agriculture, forestry and fishing	326	0	0	0					0			0	0	
B - Mining and quarrying	1 347	0		0			0					0	0	
C - Manufacturing	2 220	26	0	0	0	26			0			0	0	
D - Electricity, gas, steam and air conditioning supply	3 152	0	0			0						0		
E - Water supply; sewerage, waste management and remediation activities	58	0		0								0		
F - Construction	11 199	237	0	0	0	1	236	0	1	0		0	0	0
G - Wholesale and retail trade; repair of motor vehicles and motorcycles	5 165	89	0	1	1	38	47	5	0	0		0	0	0
H - Transportation and storage	469	19	1	1	1	21			0			0	0	
L - Real estate activities	138 243	3 594	12	51	151	3	3 276	397	135	156	0	-1	0	0
Loans collateralised by residential immovable property	47 369	284	8	50	151	13	460	33		14	0	0	0	0
Loans collateralised by commercial immovable property	111 732	4 153	5	5	0	1	3 612	411	140	152	0	-1	0	0
Repossessed collaterals														

ESG 5 NL

Netherlands Banking book - Climate change physical risk: Exposures subject to physical risk 2024	Gross carrying amount											
	of which exposures sensitive to impact from climate change physical events											
	Breakdown by maturity bucket					of which exposures sensitive to impact from chronic climate change events	of which exposures sensitive to impact from acute climate change events	of which exposures sensitive to impact both from chronic and acute climate change events	Of which Stage 2 exposures	Of which non- performing exposures	Accumulated impairment, accumulated negative changes in fair value due to credit risk and provisions	
	<= 5 years	> 5 year <= 10 years	> 10 year <= 20 years	> 20 years	Average weighted maturity						of which Stage 2 exposures	Of which non- performing exposures
SEK m												
A - Agriculture, forestry and fishing												
B - Mining and quarrying												
C - Manufacturing	85	0				0					0	
D - Electricity, gas, steam and air conditioning supply												
E - Water supply; sewerage, waste management and remediation activities	115	0									0	
F - Construction	2 734	1	0		3	0	1		0		0	0
G - Wholesale and retail trade; repair of motor vehicles and motorcycles	13	0				0					0	
H - Transportation and storage	403	0				0					0	
L - Real estate activities	26 744	152	1		1	0	153		0		0	0
Loans collateralised by residential immovable property	10 902	31	0		3		31		0		0	0
Loans collateralised by commercial immovable property	35 241	210	1		2		211		0		0	0
Reposessed collaterals												
Other relevant sectors (breakdown below where relevant)												
K - Financial and insurance activities												
M - Professional, scientific and technical activities												

ESG 6

The calculation of the green asset ratio (GAR) for Pillar 3 differs slightly from the key performance indicators (KPIs) calculated for taxonomy disclosure according to Article 8 of (EU) 2021/2178 due to differences in the regulations. The main differences being that GAR in Pillar 3 is based only on the first two environmental objectives, climate change mitigation and adaptation. It is also disclosed and calculated only once using turnover KPIs for corporate counterparties, and a simplified approach for alignment of household exposures is used. Household exposures are not evaluated for physical risk in line with the do no significant harm criteria (DNSH) in the Pillar 3 GAR disclosure. Minor impacts on the green asset ratio can also be expected due to differences in classification of exposures in the two regulations. The disclosure and calculation of GAR for Pillar 3 of the Bank adheres to instructions from EBA in (EU) 2022/2453.

Summary of key performance indicators (KPIs) on the Taxonomy-aligned exposures 2024	KPI			% coverage (over total assets)*
	Climate change mitigation	Climate change adaptation	Total (Climate change mitigation + Climate change adaptation)	
GAR stock	3.40	0.00	3.40	40.97
GAR flow	3.03	0.00	3.03	41.70

* % of assets covered by the KPI over banks' total assets

ESG PRUDENTIAL DISCLOSURES

ESG 7

Gross carrying amount for assets in the balance sheet for the calculation of the green asset ratio KPIs, including the monetary value of eligible and aligned assets according to the taxonomy regulation (EU) 2020/852.

Mitigating actions: Assets for the calculation of GAR 2024		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
		2024-12-31															
		Total gross carrying amount	Climate Change Mitigation (CCM)					Climate Change Adaptation (CCA)					TOTAL (CCM + CCA)				
			Of which towards taxonomy relevant sectors (Taxonomy-eligible)					Of which towards taxonomy relevant sectors (Taxonomy-eligible)					Of which towards taxonomy relevant sectors (Taxonomy-eligible)				
			Of which environmentally sustainable (Taxonomy-aligned)				Of which enabling	Of which environmentally sustainable (Taxonomy-aligned)				Of which enabling	Of which environmentally sustainable (Taxonomy-aligned)				Of which enabling
			Of which specialised lending	Of which transitional				Of which specialised lending	Of which adaptation				Of which specialised lending	Of which transitional/adaptation			
SEK m																	
GAR - Covered assets in both numerator and denominator																	
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	1 333 834	1 275 979	84 869	78 689	666	1 305	264	7		7	7	1 276 242	84 876	78 689	666	1 312
2	Financial corporations	45 959	25 068	1 917		17	5	12	0		0	0	25 080	1 917		17	5
3	Credit institutions	44 105	24 245	1 916		17	5	12	0		0	0	24 257	1 916		17	5
4	Loans and advances	11 817	7 924	1 077		1	1	9	0		0	0	7 933	1 077		1	1
5	Debt securities, including UoP	32 288	16 321	839		15	4	3	0		0	0	16 324	839		15	4
6	Equity instruments																
7	Other financial corporations	1 854	824	2		0	1	0	0		0	0	824	2		0	1
8	of which investment firms	1 651	705	0		0	0						705	0		0	0
9	Loans and advances	1 651	705	0		0	0						705	0		0	0
10	Debt securities, including UoP																
11	Equity instruments																
12	of which management companies	0	0	0		0	0	0	0		0	0	0	0		0	0
13	Loans and advances	0	0	0		0	0	0	0		0	0	0	0		0	0
14	Debt securities, including UoP																
15	Equity instruments																
16	of which insurance undertakings	31	15	1		0	0	0	0		0	0	15	1		0	0
17	Loans and advances																
18	Debt securities, including UoP																
19	Equity instruments	31	15	1		0	0	0	0		0	0	15	1		0	0
20	Non-financial corporations (subject to NFRD disclosure obligations)	57 381	20 416	4 263		649	1 300	252	7		7	7	20 668	4 270		649	1 307
21	Loans and advances	57 381	20 416	4 263		649	1 300	252	7		7	7	20 668	4 270		649	1 307
22	Debt securities, including UoP																
23	Equity instruments	0	0	0		0	0	0	0		0	0	0	0		0	0
24	Households	1 230 494	1 230 494	78 689									1 230 494	78 689	78 689		
25	of which loans collateralised by residential immovable property	1 230 264	1 230 264	78 689									1 230 264	78 689	78 689		
26	of which building renovation loans																
27	of which motor vehicle loans	230	230										230				
28	Local governments financing																
29	Housing financing																
30	Other local governments financing																
31	Collateral obtained by taking possession: residential and commercial immovable properties																
32	Total GAR assets	1 333 834	1 275 979	84 869		666	1 305	264	7		7	7	1 276 242	84 876	78 689	666	1 312

ESG PRUDENTIAL DISCLOSURES

Mitigating actions: Assets for the calculation of GAR 2024		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p	
		2024-12-31																
		Total gross carrying amount	Climate Change Mitigation (CCM)					Climate Change Adaptation (CCA)					TOTAL (CCM + CCA)					
			Of which towards taxonomy relevant sectors (Taxonomy-eligible)					Of which towards taxonomy relevant sectors (Taxonomy-eligible)					Of which towards taxonomy relevant sectors (Taxonomy-eligible)					
			Of which environmentally sustainable (Taxonomy-aligned)					Of which environmentally sustainable (Taxonomy-aligned)					Of which environmentally sustainable (Taxonomy-aligned)					
				Of which specialised lending		Of which transitional	Of which enabling		Of which specialised lending	Of which adaptation	Of which enabling		Of which specialised lending	Of which transitional/adaptation	Of which enabling			
SEK m																		
Assets excluded from the numerator for GAR calculation (covered in the denominator)																		
33	EU Non-financial corporations (not subject to NFRD disclosure obligations)	620 079																
34	Loans and advances	619 973																
35	Debt securities																	
36	Equity instruments	106																
37	Non-EU Non-financial corporations (not subject to NFRD disclosure obligations)	339 988																
38	Loans and advances	339 988																
39	Debt securities																	
40	Equity instruments																	
41	Derivatives	25 729																
42	On demand interbank loans	653																
43	Cash and cash-related assets	6																
44	Other assets (e.g. Goodwill, commodities etc.)	151 151																
45	Total assets in the denominator (GAR)	2 494 751																
Other assets excluded from both the numerator and denominator for GAR calculation																		
46	Sovereigns	33 825																
47	Central banks exposure	679 578																
48	Trading book	47 227																
49	Total assets excluded from numerator and denominator	760 630																
50	Total assets	3 255 381	1 275 979	84 869		666	1 305	264	7		7		7	1 276 242	84 876		666	1 312

ESG PRUDENTIAL DISCLOSURES

ESG 8

The Bank's green asset ratio is calculated by looking at the proportion of eligible and aligned assets, in the stock at 31 December, 2024, and of new assets originated in the disclosure period (flow) in 2024, compared to covered assets. New assets for the calculation of flow are defined based on the origination date of the exposures.

GAR (%) 2024		a b c d e f g h i j k l m n o p													q r s t u v w x y z aa ab ac ad ae af																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																								
		Disclosure reference date 2024-12-31: KPIs on stock													Disclosure reference date 2024-12-31: KPIs on flows																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																								
		Climate Change Mitigation (CCM)				Climate Change Adaptation (CCA)				TOTAL (CCM + CCA)					Climate Change Mitigation (CCM)				Climate Change Adaptation (CCA)				TOTAL (CCM + CCA)																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																
		Proportion of eligible assets funding taxonomy relevant sectors				Proportion of eligible assets funding taxonomy relevant sectors				Proportion of eligible assets funding taxonomy relevant sectors			Proportion of total assets covered	Proportion of new eligible assets funding taxonomy relevant sectors				Proportion of new eligible assets funding taxonomy relevant sectors				Proportion of new eligible assets funding taxonomy relevant sectors			Proportion of total new assets covered																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																														
Of which environmentally sustainable			Of which specialised lending	Of which environmentally sustainable			Of which specialised lending	Of which enabling	Of which environmentally sustainable			Of which specialised lending		Of which enabling	Of which environmentally sustainable			Of which specialised lending	Of which enabling	Of which environmentally sustainable			Of which specialised lending	Of which enabling																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																																															

ESG 9.1

Mitigating actions: Assets for the calculation of BTAR 2024		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
		Disclosure reference date 2024-12-31															
		Total gross carrying amount	Climate Change Mitigation (CCM)					Climate Change Adaptation (CCA)					TOTAL (CCM + CCA)				
			Of which towards taxonomy relevant sectors (taxonomy-eligible)					Of which towards taxonomy relevant sectors (taxonomy-eligible)					Of which towards taxonomy relevant sectors (taxonomy-eligible)				
			Of which environmentally sustainable (taxonomy-aligned)					Of which environmentally sustainable (taxonomy-aligned)					Of which environmentally sustainable (taxonomy-aligned)				
					Of which specialised lending	Of which transitional	Of which enabling		Of which specialised lending	Of which adaptation	Of which enabling			Of which specialised lending	Of which transitional/adaptation	Of which enabling	
SEK m																	
1	Total GAR assets	1 333 834	1 275 979	84 869		666	1 305	264	7			7	1 276 242	84 876		666	1 312
Assets excluded from the numerator for GAR calculation (covered in the denominator) but included in the numerator and denominator of the BTAR																	
2	EU Non-financial corporations (not subject to NFRD disclosure obligations)	620 079	564 543	92 643		0	0						564 543	92 643		0	0
3	Loans and advances	619 973	564 543	92 643		0	0						564 543	92 643		0	0
4	of which loans collateralised by commercial immovable property	142 066	142 066	27 467									142 066	27 467			
5	of which building renovation loans																
6	Debt securities																
7	Equity instruments	106															
8	Non-EU Non-financial corporations (not subject to NFRD disclosure obligations)	339 988	314 698	6 105									314 698	6 105			
9	Loans and advances	339 988	314 698	6 105									314 698	6 105			
10	Debt securities																
11	Equity instruments																
12	Total BTAR assets	2 293 902	2 155 219	183 618		666	1 305	264	7			7	2 155 482	183 624		666	1 312
Assets excluded from the numerator of BTAR (covered in the denominator)																	
13	Derivatives	25 729															
14	On demand interbank loans	653															
15	Cash and cash-related assets	6															
16	Other assets (e.g. Goodwill, commodities etc.)	151 151															
17	Total assets in the denominator	2 494 751															
Other assets excluded from both the numerator and denominator for BTAR calculation																	
18	Total assets excluded from numerator and denominator	760 630															
19	Total assets	3 255 381															

ESG PRUDENTIAL DISCLOSURES

ESG 9.2

BTAR % 2024				a b c d e f g h i j k l m n o p q r s t u v w x y z aa ab ac ad ae af																														
				Disclosure reference date 2024-12-31: KPIs on stock														Disclosure reference date 2024-12-31: KPIs on flows																
				Climate Change Mitigation (CCM)				Climate Change Adaptation (CCA)				TOTAL (CCM + CCA)				Climate Change Mitigation (CCM)				Climate Change Adaptation (CCA)				TOTAL (CCM + CCA)										
				Proportion of eligible assets funding taxonomy relevant sectors				Proportion of eligible assets funding taxonomy relevant sectors				Proportion of eligible assets funding taxonomy relevant sectors				Proportion of new eligible assets funding taxonomy relevant sectors				Proportion of new eligible assets funding taxonomy relevant sectors				Proportion of new eligible assets funding taxonomy relevant sectors				Proportion of total new assets covered						
Of which environmentally sustainable				Of which environmentally sustainable				Of which environmentally sustainable				Of which environmentally sustainable				Of which environmentally sustainable				Of which environmentally sustainable														
Of which specialised lending				Of which specialised lending				Of which specialised lending				Of which specialised lending				Of which specialised lending				Of which specialised lending				Of which specialised lending										
Of which transitional				Of which transitional				Of which transitional/adaptation				Of which transitional				Of which transitional				Of which transitional/adaptation				Of which transitional/adaptation										
Of which enabling				Of which enabling				Of which enabling				Of which enabling				Of which enabling				Of which enabling				Of which enabling										
% (compared to total covered assets in the denominator)																																		
1	BTAR	86.4	7.36		0.03	0.05	0.01	0		0	0	86.4	7.36		0.03	0.05	70.5	39.9	3.27		0.02	0.08	0.02	0				0	39.9	3.27		0.02	0.08	94
2	GAR	51.1	3.4		0.03	0.05	0.01	0		0	0	51.2	3.4		0.03	0.05	41	38.9	3.03		0.02	0.08	0.02	0				0	38.9	3.03		0.02	0.08	41.7
3	EU Non-financial corporations not subject to NFRD disclosure obligations	22.6	3.71		0	0						22.6	3.71		0	0	19	0.63	0.23				0					0.63	0.23			0	26.3	
4	of which loans collateralized by commercial immovable property	5.69	1.1									5.69	1.1				4.36	0.1	0.03								0.1	0.03					7.2	
5	of which building renovation loans																																	
5	Non-EU country counterparties not subject to NFRD disclosure obligations	12.6	0.24									12.6	0.24				10.4	0.37									0.37						26	

ESG 9.3

Summary table - BTAR % 2024		KPI			% coverage (over total assets)*
		Climate change mitigation (CCM)	Climate change adaptation (CCA)	Total (CCM + CCA)	
BTAR stock		7.4	0.0	7.4	70.5
BTAR flow		3.3	0.0	3.3	94.0

ESG 10

Assets covering other climate mitigating actions in the template, include green or sustainability-linked bonds, loans and advances in the banking book. This includes loans to financial and non-financial corporations in line with Handelsbanken's Green Bond Framework or otherwise approved by Handelsbanken Green Finance Committee Bonds to non-NFRD counterparties. Bonds, loans and advances reported in this template includes only those which are not included in the numerator of the green asset ratio (GAR), neither eligible nor aligned to the taxonomy. Green bonds and sustainable linked bonds are included based on information from an external provider.

Sustainable loans and advances to non-financial counterparties not subject to NFRD reporting requirements formerly included here are now included in the calculation of BTAR (ESG 9). Household loans included are green climate and energy loans, which are not included in numerator of the GAR calculations. The same applies to motor vehicle loans originated before 2022, financing electric or hybrid cars.

The determination of green or sustainability-linked exposures is based on information in source systems and on information in the Green registry. The Green registry is an internal database which holds information on exposures in line with Handelsbanken's Green Bond Framework or otherwise approved by Handelsbanken Green Finance Committee.

The assessment of whether exposures mitigate transition and physical risk is qualitative and is based on product definitions and information in the Green registry.

Other Climate change mitigating actions that are not covered in the EU Taxonomy 2024					
Type of financial instrument	Type of counterparty	Gross carrying amount (SEK m)	Type of risk mitigated (Climate change transition risk)	Type of risk mitigated (Climate change physical risk)	Qualitative information on the nature of the mitigating actions
Bonds (e.g. green, sustainable, sustainability-linked under standards other than the EU standards)	Financial corporations	512	Yes	No	Bonds classified as green by Bloomberg. Net proceeds of the fixed income instrument will be applied toward green projects or activities that promote climate change mitigation or adaptation, or other environmental sustainability purposes.
	Non-financial corporations				
	Of which Loans collateralised by commercial immovable property				
	Other counterparties				
Loans (e.g. green, sustainable, sustainability-linked under standards other than the EU standards)	Financial corporations	617	Yes	No	Buildings with Energy label A and B are considered to be energy efficient and therefore loans towards this type of buildings leads to greenhouse gas emissions savings. Loans towards low carbon vehicles (electric and hybrid cars with CO2 emissions below 50 g/km) reduces greenhouse gas emissions compared to fossil driven cars (ICE).
	Non-financial corporations	114 804	Yes	No	Loans towards low carbon vehicles (electric and hybrid cars with CO2 emissions below 50 g/km) reduces greenhouse gas emissions compared to fossil driven cars (ICE). Loans that are in line with Handelsbanken Green Bond Framework or otherwise approved by Handelsbanken Green Finance Committee.
	Of which Loans collateralised by commercial immovable property				
	Households	214	Yes	No	Loans towards low carbon vehicles (electric and hybrid cars with CO2 emissions below 50 g/km) reduces greenhouse gas emissions compared to fossil driven cars (ICE). Green loans for improving energy efficiency in buildings through solar panels, geothermal heating and improvements in heating, insulation etc. leading to renewable energy production or energy savings contributing to greenhouse gas emissions savings.
	Of which Loans collateralised by residential immovable property				
	Of which building renovation loans				
	Other counterparties	749	Yes	Yes	Loans towards low carbon vehicles (electric and hybrid cars with CO2 emissions below 50 g/km) reduces greenhouse gas emissions compared to fossil driven cars (ICE). Loans that are in line with Handelsbanken Green Bond Framework or otherwise approved by Handelsbanken Green Finance Committee.

Definitions and explanations

ADDITIONAL TIER 1 CAPITAL

Additional tier 1 capital comprises perpetual subordinated loans which meet the requirements stated in Regulation (EU) No 575/2013 and can therefore be included in the tier 1 capital.

AFR

Available financial resources (AFR) is the Bank's equity with the addition of other financial values on and off the balance sheet, available to cover losses with a one-year time horizon.

BUFFER REQUIREMENT FOR SYSTEMICALLY IMPORTANT INSTITUTIONS

The buffer requirement for banks considered especially important to the financial system. For institutions that are systemically important on a global scale, the requirement can be up to 3.5 per cent. For other systemically important institutions, it can be up to 2 per cent.

CAPITAL CONSERVATION BUFFER

The purpose of this buffer requirement of 2.5 per cent is to ensure that all banks maintain buffer capital exceeding the minimum capital requirements.

CAPITAL REQUIREMENT

The statutory capital requirement means that an institution which is subject to CRR must have a common equity tier 1 ratio of at least 4.5 per cent, a tier 1 ratio of at least 6 per cent and a total capital ratio of at least 8 per cent. This means that own funds for the respective ratio must be at least the stated percentage of the risk exposure amount. For definitions of the respective own funds amounts, see Common equity tier 1 capital, Tier 1 capital and Total capital. In addition to the general requirements, the supervisory authority may add institution-specific requirements in accordance with Pillar 2 of the regulations.

COMBINED BUFFER REQUIREMENT

The sum of the capital conservation buffer, the countercyclical buffer, the requirement for systemically important institutions and the systemic risk buffer.

COMMON EQUITY TIER 1 CAPITAL

Common equity tier 1 capital is one of the components of own funds and mainly comprises equity. Deductions are made for dividends generated, goodwill, and other intangible assets as well as the difference between an expected loss and provisions made for probable loan losses.

COMMON EQUITY TIER 1 RATIO

Common equity tier 1 capital in relation to total risk exposure amount.

COUNTERCYCLICAL BUFFER

A buffer requirement that varies over the business cycle to counteract excessively high credit growth. The level is set by the Swedish Financial Supervisory Authority and can be between 0 and 2.5 per cent.

CRD IV

The EU Credit Institutions Directive: Directive 2013/36/EU on access to the activity of credit institutions and the prudential supervision of credit institutions and investment firms.

CREDIT CONVERSION FACTOR (CCF)

A percentage value by which off-balance sheet exposures are multiplied to calculate the exposure amount. The credit conversion factor corresponds to the expected utilisation level of the exposure in the event of default.

CREDIT RISK PROTECTION

Risk-mitigation factors and measures.

CREDITS IN DEFAULT

Impaired exposures that are also classified as 'defaulted' under Article 178 of CRR.

CRR

Regulation (EU) No 575/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms and amending Regulation (EU) No 648/2012.

CVA

The credit valuation adjustment (CVA) risk means the risk that the market value of a derivative will decrease, owing to deterioration of the creditworthiness of the counterparty. The CVA is a component in the regulations for the valuation of derivatives. An exposure to a counterparty with weaker creditworthiness must have a lower carrying amount than the equivalent exposure to a counterparty with better creditworthiness. In this context, credit risk means that if a given counterparty's creditworthiness weakens, the balance sheet values of all derivative transactions with this counterparty with a positive market value decrease – and thus the Bank's equity decreases.

DEFAULT

A default shall be considered to have occurred with regard to a particular obligor when either or both of the following have taken place:

(a) the institution considers that the obligor is unlikely to pay its credit obligations to the institution, the parent undertaking or any of its subsidiaries in full, without recourse by the institution to actions such as realising security;

(b) the obligor is more than 90 days past due on any material credit obligation to the institution, the parent undertaking or any of its subsidiaries.

ECONOMIC CAPITAL (EC)

Economic capital is a model for calculating economic capital which, in one measurement, identifies the Group's overall risks and indicates the capital which, with very high probability, will cover unexpected losses or decreases in value.

EXPECTED LOSS (EL)

Expected loss or EL means the ratio of the amount expected to be lost on an exposure from a potential default of a counterparty or dilution over a one-year period to the amount outstanding at default.

ELIGIBLE LIABILITIES AND OWN FUNDS

The sum of qualified eligible senior liabilities according to the definition in Swedish Resolution Act (SFS 2015:1016) and own funds.

EXPOSURE AMOUNT

Exposure amount (exposure at default) is the amount which is subject to capital adequacy requirements. For off-balance-sheet items, the amounts are recalculated using the credit conversion factor (CCF). For derivatives, the exposure value is calculated according to the standardised approach for counterparty credit risk (SA-CCR).

EXPOSURE VALUE

Exposure value is the same as exposure amount. The exposure value concept is used in the standardised approach for credit risk.

FORBEARANCE MEASURE

Forbearance measure is a concession by an institution towards an obligor that is experiencing or is likely to experience difficulties in meeting its financial commitments.

IRB

Internal Ratings Based approach.

IRB APPROACH

The Internal Ratings Based approach or the IRB approach is the approach provided for in Chapter 3 of regulation (EU) No 575/2013 to calculate the risk-weighted exposure amounts for the purposes of points (a) and (f) of Article 92(3).

LEVERAGE RATIO

Tier 1 capital in relation to total assets, including certain off-balance-sheet items recalculated with conversion factors defined in the standardised approach and regulatory adjustments from own funds.

LOSS GIVEN DEFAULT (LGD)

Loss given default or LGD means the ratio of the loss on an exposure due to the default of a counterparty to the amount outstanding at default.

LIQUIDITY COVERAGE RATIO (LCR)

High-quality liquid assets in relation to an estimated net outflow of liquidity over a period of 30 days.

LOAN LOSS RATIO

Loan losses and changes in value of repossessed property in relation to loans to the public and credit institutions (excluding banks), and also repossessed property and credit guarantees at the beginning of the year.

MREL REQUIREMENT

Minimum requirement for eligible liabilities and own funds. Requirement is determined annually by the SNDO, the resolution authority, in accordance with the Swedish resolution Act (SFS 2015:1016).

NET STABLE FUNDING RATIO (NSFR)

The structural liquidity measure that is the ratio between available stable funding and the stable funding required.

NPL NON-PERFORMING LOANS/NPE NON-PERFORMING EXPOSURES

Non-performing loans/exposures are defined as defaulted exposures plus forbore exposures. A default shall be considered to have occurred when the obligor is unlikely to pay its credit obligation to the institution or the obligor is past due more than 90 days on any material credit obligation.

OWN FUNDS/TOTAL CAPITAL

Own funds are the sum of tier 1 and tier 2 capital.

PD

Probability of default or PD means the probability of default of a counterparty over a one-year period.

PERFORMING CREDITS

Credits that are neither impaired nor defaulted.

PILLAR 2 GUIDANCE

Guidance in accordance with Pillar 2 of the regulations allows the supervisory authority to inform the bank of the capital level which it deems the bank must maintain, excluding the minimum and buffer requirements maintained to cover risks and manage future financial strain.

PILLAR 2 REQUIREMENT

The requirement consists of an additional minimum requirement based on a formal decision from the regulatory authorities within the Pillar 2 framework and concerns risks that a bank is or could be exposed to that are not covered by the general minimum requirements.

RISK EXPOSURE AMOUNT

The capital requirement in accordance with CRR, multiplied by 12.5. The risk exposure amount is used in conjunction with market risk and operational risk.

RISK WEIGHT

A measure to describe the level of risk an exposure is expected to have according to the capital adequacy regulations.

RISK-WEIGHTED EXPOSURE AMOUNT

Exposure amount multiplied by risk weight. The risk-weighted exposure amount is used in conjunction with credit risk including counterparty risks.

SECURITISATION

Securitisation means a transaction or scheme, whereby the credit risk associated with an exposure or a pool of exposures is tranching, having all of the following characteristics: (a) payments in the transaction or scheme are dependent upon the performance of the exposure or of the pool of exposures; (b) the subordination of tranches determines the distribution of losses during the ongoing life of the transaction or scheme; (c) the transaction or scheme does not create exposures which possess all of the characteristics listed in Article 147(8) of Regulation (EU) No 575/2013.

SPECIFIC CREDIT RISK ADJUSTMENT

Specific credit risk adjustments consist of collective and individual credit risk adjustments. These apply to exposures covered by either the standardised approach or the IRB approach.

STANDARDISED APPROACH

The Standardised approach is the approach provided for in Chapter 2 of Regulation (EU) No 575/2013 to calculate the risk-weighted exposure amounts for the purposes of points (a) and (f) of Article 92(3). The standardised approach means that the risk weights used when calculating the capital requirement for credit risk are specified in the regulations.

SYSTEMIC RISK BUFFER

A buffer requirement of 3 for the largest banks in Sweden. The aim of the systemic risk buffer is to protect the banking system as a whole in times of financial instability.

TIER 1 CAPITAL

Common equity tier 1 capital including additional tier 1 capital.

TIER 1 RATIO

Tier 1 capital in relation to total risk exposure amount.

TIER 2 CAPITAL

Tier 2 capital is one of the components of own funds and mainly consists of subordinated loans which fulfil the requirements stated in Regulation (EU) No 575/2013 and can therefore be included as tier 2 capital.

TOTAL CAPITAL RATIO

Total capital in relation to total risk exposure amount.

TOTAL LIABILITIES AND OWN FUNDS

The sum of the Bank's total liabilities and own funds

TOTAL RISK EXPOSURE AMOUNT

The sum of risk exposure amount and risk-weighted exposure amount.

Information items not disclosed according to Article 432

Tables not applicable, non-material or confidential 2024

Table	Description	Reason for non-disclosure
EU CCR7	RWEA flow statements of CCR exposures under the IMM	Not applicable
EU MRB	Qualitative disclosure requirements for institutions using the internal Market Risk Models	Not applicable
EU MR2-A	Market risk under the internal Model Approach (IMA)	Not applicable
EU MR2-B	RWA flow statements of market risk exposures under the IMA	Not applicable
EU MR3	IMA values for trading portfolios	Not applicable
EU MR4	Comparison of VaR estimates with gains/losses	Not applicable
EU CRC	The description of the main types of guarantors and counterparties for credit derivatives and their creditworthiness	Confidential
EU CR2a	Changes in the stock of non-performing loans and advances and related net accumulated recoveries	Not applicable
EU CQ2	Quality of forbearance	Not applicable
EU CQ6	Collateral valuation - loans and advances	Not applicable
EU CQ8	Collateral obtained by taking possession and execution processes – vintage breakdown	Not applicable
EU-SECA	Qualitative disclosure requirements related to securitisation exposures	Non-material
EU-SEC1	Securitisation exposures in the non-trading book	Non-material
EU-SEC2	Securitisation exposures in the trading book	Non-material
EU-SEC3	Securitisation exposures in the non-trading book and associated regulatory capital requirements - institution acting as originator or as sponsor	Non-material
EU-SEC4	Securitisation exposures in the non-trading book and associated regulatory capital requirements - institution acting as investor	Non-material
EU-SEC5	Exposures securitised by the institution - Exposures in default and specific credit risk adjustments	Non-material

Signatures of the CEO, CFO and CRO

The Information Policy for the Handelsbanken Group, adopted by Handelsbanken's Board, and the CEO's Guidelines for communication in the Handelsbanken Group are Handelsbanken's steering documents for compliance with the disclosure requirements in Regulation (EU) No 575/2013.

The control environment described in the Annual Report's Corporate Governance Report and in this report is fundamental to Handelsbanken's internal control of disclosures under Part Eight of Regulation (EU) No 575/2013: organisational structure, division of responsibilities, guidelines and steering documents. Another part of the internal control process is the identification and management of the risks that may affect the preparation of disclosures under Part Eight of Regulation (EU) No 575/2013 and the control activities incorporated in the process for preparing disclosures. The Bank has information and communication paths intended to promote the completeness, accuracy, meaningfulness, and consistency over time of disclosures under Part Eight of Regulation (EU) No 575/2013.

The responsibility for internal control of disclosures under Part Eight of Regulation (EU) No 575/2013 has been delegated from the CEO to managers who report directly to the CEO and who are in charge of internal control within their respective units.

We hereby declare that the disclosures under Part Eight of Regulation (EU) No 575/2013 have been prepared in accordance with Handelsbanken's internal control framework. The information which is provided under Part Eight of Regulation (EU) No 575/2013 is satisfactory, including in terms of control and frequency, in relation to the disclosure requirements in the Regulation and provides market participants with a comprehensive picture of Handelsbanken's risk profile.

STOCKHOLM FEBRUARY 2025

Michael Green

President and Chief Executive Officer

Carl Cederschiöld

Chief Financial Officer

Maria Hedin

Chief Risk Officer

